

July 2020

The European Bathroom & Kitchen Product Markets

- 2020 Edition -



Austria

BRG
BUILDING SOLUTIONS

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AT - Bathrooms FULL

The Austrian Bathroom Market

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CP House, 97-107 Uxbridge Road, Ealing, London, W5 5TL, United Kingdom
Tel: +44 (0) 208 832 7860 Fax: +44 (0) 208 566 4931
Email: europa@brgbuildingsolutions.com
Website: www.brgbuildingsolutions.com

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

For further information, please contact us:

BRG Building Solutions
CP House
97-107 Uxbridge Road
Ealing, London, W5 5TL
United Kingdom

Website: www.brgbuildingsolutions.com
Email: europe@brgbuildingsolutions.com

AUSTRIA

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Austria, officially the Republic of Austria, is a landlocked country situated in Central Europe. The territory of the Austrian Republic extends 294 km north to south and 573 km east to west. Austria is comparable in size to Portugal and Hungary, covering an area of 83,859 km². Historically the bridge between Western Europe and Central and Eastern Europe because of its location, Austria has common borders with Germany, Switzerland, Liechtenstein, Italy, Slovenia, Hungary, Slovakia and the Czech Republic.

Austria is divided into nine administrative regions known as '*Bundesländer*'. These nine regions are, in turn, made up of 99 political districts called '*Politische Bezirke*'. Among these, there are 15 cities with a specific status ('*Stadtbezirke*') and the remaining 84 districts are in rural areas known as '*Landbezirke*'. The lowest levels of administration are the 2,359 local districts (or '*Ortsgemeinden*'). In 2019, the total resident population stood at 8.950 million. With almost 107 inhabitants per km², Austria is one of the least densely populated countries in Europe. The resident population has been growing steadily since 1983, mainly as a result of immigration from Eastern Europe and Middle Eastern countries. The total population is expected to grow in the next 45 years, with the rate of growth declining over time. Despite significant differences in rates of growth among different regions, the fastest growing regions are Vienna and Lower Austria and the lowest growth rates are observed in Kärnten and Steiermark.

As with most other European countries, Austria has an ageing population. During 2018, 15% of the total population was under 15 years of age, 62% was between 15 and 60, and 23% was over 60. The Austrian Statistical Bureau forecasts a change in the overall population pattern by 2030. The expectation is that 14% will be under 15, 55% will be between 15 and 60 and 31% will be over 60 years old.

Macroeconomic Overview

Austria is famous for its highly developed market economy, with strong industrial and service sectors, a skilled labour force and a very high standard of living. However, after several years of robust progression, the Austrian economic growth decelerated, to 1.6% in 2019, according to IMF, against 2.4% in 2018. A modest development of main export markets and the uncertainties due to global trade conflicts and the Brexit process slowed down the economic dynamic. Exports, in particular, lost considerable momentum, while private consumption continued to expand stably. Overall, private consumption was supporting the macroeconomic demand due to the favourable development of employment and income. In addition, fiscal measures provided impetus for the economy.

In May 2019, Austria experienced a political crisis. The young chancellor and leader of the Austrian People's Party (ÖVP), Sebastian Kurz, ended his 18-month coalition with the far right Freedom Party (FPÖ) on 18 May, after secret video

footage emerged with Austrian Vice-Chancellor Heinz-Christian Strache offering lucrative business deals to a woman posing as a Russian oligarch's niece. As a result, Kurz, Strache and many ministers stepped down from their posts. Hence, the next general election was held in September with another victory for Kurz. The second Kurz government was sworn in during January 2020. The government marks an alliance of a centre-right conservative party from Kurz with the centre-left green party as junior partner in the national government, the only such coalition in Europe.

In the first quarter of 2020, the economy has been hit hard by the COVID-19 pandemic and subsequent government measures to curb the spread of the virus began in March 2020. As many sectors of the economy were forced to close and people were ordered to remain at home, household consumption fell notably over the prior quarter, while fixed investment and exports also dropped sharply. The drop in consumption had an economic impact straight away. Only two days after stores closed on 16th March, the number of unemployed rose by 74,000, mostly from tourism, construction and temporary work, according to the head of the Austrian Labour Market Service. Hence, Austria's Federal Ministry of Finance announced a total of €38 billion in support services. Of this amount, nine billion will go towards guarantees and liabilities to secure loans, 10 billion towards tax deferrals and 15 billion towards emergency aid to be paid out to 'hardship cases'.

When looking at the second quarter of 2020, the economic impact of the COVID-19 is expected to further increase and push the Austrian economy into a recession. In April 2020, the manufacturing PMI (Project Management Institute) plummeted to a record low on collapsing domestic and foreign demand, while both business and consumer confidence fell to over one-decade lows in the same month, amid a grim economic outlook. More positively, the government began gradually lifting restrictions on 1 May 2020. While this should revive economic activity somewhat, a return to normality is likely to be slow. As a whole, in 2020 the economy is expected to shrink, in turn due to a steep recession in the first half of the year, on the back of the COVID-19 pandemic, weighing on demand and supply, both domestically and globally. Moreover, unemployment is expected to rise as a result of the pandemic and translate into weak household consumption. IMF suggests forecast GDP will contract strongly in 2020, before recovering notably in 2021. Austria's inflation in 2019 stood at 1.5%. The consumer price index is expected to decrease slightly in 2020 and then increase in 2021 again. The unemployment rate reached 4.5% in 2019 and is expected to increase to 5.5% in 2020 due to the COVID-19 effects on the national economy. Despite the negative developments in 2020, a rapid normalization is anticipated for 2021 with noticeable improvement in economic conditions.

Residential Construction

Overview

In 2019, growth on the Austrian residential construction market came to an end, for the first time since 2009, along with the slowdown in economic growth. In the past,

high levels of immigration and demographic change have helped boost the housing construction, but this slowed down due to the macroeconomic indicators. However, it should decline further in the coming years, but it is predicted to keep its high level.

New Housing

Following an increase on the prior year, the Austrian new housing sector experienced an overall decline in 2019. The number of one- and two-family house completions increased slightly, whereas the number of apartments experienced a decline in 2020. However, considering the decline of the overall housing completion numbers in 2019, the new housing construction activity remained still quite high. The decline in overall residential completions is believed to be due to the strongly growing property and land prices and in turn due to the ongoing low interest rates. Due to low interest rates, many Austrian wanted to build or buy a house, which increased demand but simultaneously the price of land and properties in the country grew. As a result, it became more difficult to afford a new dwelling. The current construction forecasts remain uncertain due to the ongoing COVID-19 pandemic. However, according to recent figures from EUROCONSTRUCT new housing completions are expected to be slightly positive in 2020. During the pandemic, the government has allowed construction to continue after a short interruption, when construction sites closed to assess health risks to workers after the introduction of the lockdown on 16th March 2020.

Housing RMI

The Austrian renovation, maintenance, and improvement (RMI) sector is becoming increasingly more important, as the Austrian building products market is very mature. An important driver in the RMI sector in Austria is subsidies from the government. There are multiple renovation subsidies available on a national, regional and even local level. The Austrian RMI sector is supported by two of the country's housing policies. Firstly, the nine federal states offer renovation subsidies. These represent a total of about €700 million of financial support for renovation works. Secondly, there is financial support available for energy-efficient renovation works. This support is known as the 'renovation offensive" (*Sanierungsscheck*) and is available at federal level. The amount of money available under the *Sanierungsscheck* scheme has been gradually reduced over time: from €80 million in 2015 to €43 million in 2018. For 2019 and 2020 a similar budget has been allocated. Part of these funds is also earmarked for renovation activities outside housing, e.g. for private companies. It is notable that, despite the drastic budget cut, there was low demand for the financial support in 2019. By the spring of 2019 approximately a quarter of the funding was still available. The low rate of uptake of the financial support in 2019 demonstrates a lack of interest on the part of households to engage in renovation and energy efficiency improvements. However, in 2019 the RMI activity kept its high level and grew only slightly.

The impact on the replacement market in 2020 is strongly negative due to direct consequences of the COVID-19 lockdown measures. End users started to avoid unnecessary expenses and postponed replacement activity when possible. Part of it was due to economic uncertainty as well as the wish to remain in insulation by for example reducing the exposure to installers at home.

Non-Residential Construction

The non-residential activity in Austria highly depends on the country's current economy. Overall, non-residential construction output increased slightly in 2019, following a strong growth in 2018, according to EUROCONSTRUCT, due to slowdown in both new build and renovation activities. The largest growth was in the industry sector, which had previously shown cautious activity. However, there has been notable expansion in commercial construction in 2019. For civil engineering, 2019 saw a small growth increase as a result of investment in transport and telecommunication infrastructure. This growth is expected to stop and a small decline is anticipated for 2020.

The effect of the COVID-19 crisis is expected to hit the non-residential building sector hard. According to EUROCONSTRUCT, new non-housing building expenditure is expected to decline significantly. The only exceptions are education and health buildings, which are believed to generate a positive spending amount. In contrast, investments into industrial, storage, office, commercial and agricultural buildings are expected to plunge. Investments into hotels are likely to drop significantly, too.

II.2 Key Figures

AT - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

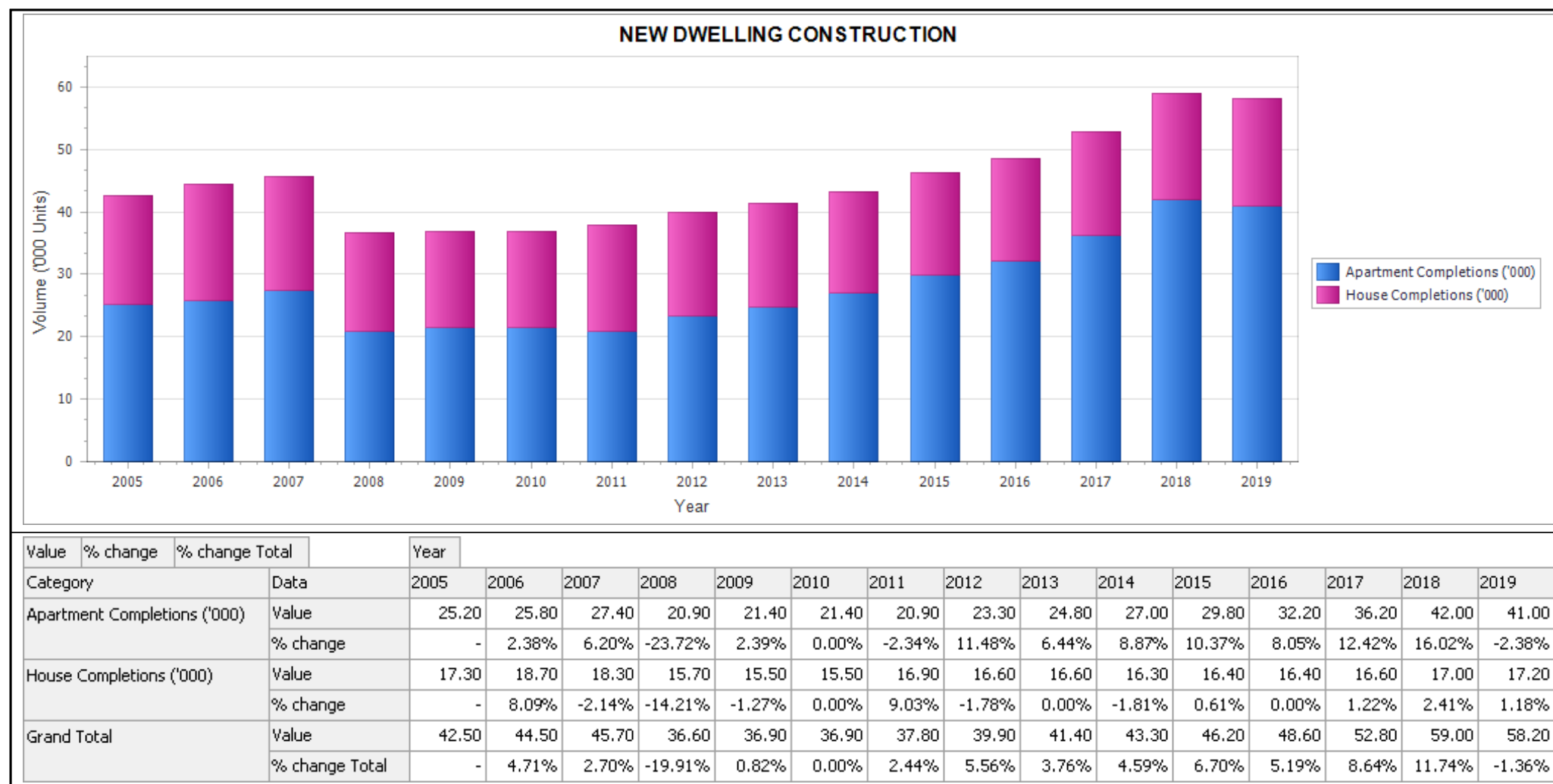
AT - KEY MACROECONOMIC INDICATORS

Value	Year																
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	2.10	1.69	2.20	3.23	0.41	1.69	3.54	2.57	2.12	1.47	0.81	0.97	2.23	2.12	1.49	0.44	1.70
GDP (% change)	2.24	3.45	3.73	1.46	- 3.77	1.84	2.92	0.68	0.03	0.83	1.09	1.45	2.48	2.42	1.59	- 7.00	4.51
Government Balance (% of GDP)	- 2.54	- 2.56	- 1.38	- 1.52	- 5.36	- 4.45	- 2.58	- 2.19	- 1.95	- 2.73	- 1.05	- 1.59	- 0.70	0.20	0.44	- 7.10	- 1.56
Household Saving Rate (% of Disposable Income)	11.14	11.62	12.41	12.35	11.40	9.59	7.88	8.86	7.11	7.30	6.74	7.70	7.35	7.68	7.72	8.04	7.92
Private Consumption (% change)	2.43	2.28	1.07	0.69	0.89	0.96	1.53	0.69	- 0.25	0.28	0.98	2.11	2.63	2.30	1.51	- 6.21	4.02
Unemployment Rate (%)	5.65	5.23	4.88	4.12	5.33	4.83	4.59	4.92	5.35	5.62	5.73	6.02	5.52	4.88	4.52	5.50	5.00

Source : IMF and OECD. N.B. No data available beyond 2021 at the time of publication

II.4 New Dwelling Construction

AT - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.5 Dwelling Stock by Type and Tenure
 AT - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	52.63
	Apartments ('000)	2 535.00
	Houses : Rural (%)	34.59
	Houses : Rural ('000)	1 666.00
	Houses : Urban (%)	12.79
	Houses : Urban ('000)	616.00
Dwelling Stock by Tenure	Primary Owned (%)	55.53
	Primary Owned ('000)	2 675.00
	Primary Rented : Private (%)	31.55
	Primary Rented : Private ('000)	1 520.00
	Primary Rented : Public (%)	2.18
	Primary Rented : Public ('000)	105.00
	Secondary (%)	5.73
	Secondary ('000)	276.00
	Vacant (%)	5.00
	Vacant ('000)	241.00

Source: BRG based on Country Statistics.

II.6 Overview of Impact of COVID-19 on Forecasts

AT – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [expected start of easing]	Austria was one of the first European countries to enter lockdown, on March 16 th . On May 1 st , Austrian were able to leave their homes again, while still having to keep a one-metre distance between them. From May 15 th , cafés and restaurants and from 18 th May schools opened again, hotels followed on May 29 th .
Number of officially confirmed cases General measures in place to support the economy	As of 22nd July, Austria has counted 19,827 cases and 711 fatalities, according to the WHO/ Population 8.86 mln (end 2019). Austria's Federal Ministry of Finance announced various tax relief measures in response to the COVID-19 epidemic. The tax relief measures address issues concerning both tax payments and tax return filings and include: reduction / non-assessment of Austrian income and corporate tax payments in 2020; deferral of tax payment deadlines and the introduction of an option to make tax payments in instalments; reduction or relief from penalties typically imposed for late payments of tax; suspension of tax audits. Employment related measures include many measures related to short-time work (Kurzarbeit). Economic stimulus measures include: support measures (EUR 100 mln) to support sectors such as tourism and air transportation; loan guarantees from the Austria Wirtschaftservice (AWS) directed at SMEs; crisis management fund, which totalled EUR 42 bln, of which EUR 9 bln in guarantees and warranties, EUR 15 bln in emergency aid, EUR 10 bln in tax deferral.
Statistics on affected employees	After the Austrian government introduced massive confinement measures on March 16 th , unemployment soared by roughly 180,000 within two weeks, from a total of 400,000 unemployed at the end of February. The most affected sectors were accommodation, where the number of unemployed persons climbed by 178% within two weeks, and construction (+64%).
Measures in place to mitigate economic impact on INDIVIDUALS	Short time work measures (Kurzarbeit) were implemented, allowing employees to carry out on average 10 per cent of their normal working time over a period of three months and it is possible to work that as a block, for instance at the end of the period. Depending on the former income level, the model grants compensation of between 80 and 90 per cent (including special remunerations).
Statistics on affected companies (% of total forced to suspend activities)	Most companies used Kurzarbeit during the lockdown including Porr (20,000 employees) and Strabag (11,000), the steel company Voestalpine (20,000) and many firms in the automotive sector, such as Porsche (6,400) and BMW (4,500). As of 20 April 2020, approximately 63,000 applications for short-time work have been filed by employers, covering approximately 875,000 jobs (i.e., almost 25% of Austria's total workforce).
Specific measures affecting BUILDING CONSTRUCTION and RMI	The Austrian Worker's insurance board AUVA has issued guidance developed with approval of the labour inspection regarding current measures to be taken on construction sites. This includes social distancing measures, provision of personal protective equipment, coordination of works at construction sites to avoid joint working, as well as the provision of resources and training for hygienic measures (e.g. cleaning and disinfection of machinery and tools after use) and additional provisions for the shared use of toilets, washing rooms and other facilities.
Measures in place to mitigate economic impact on COMPANIES	The main measures to support companies include tax relief measures mentioned above, as well as support to implement short-time work (Kurzarbeit), loan guarantees for SMEs, and various sectorial support measures.
Support measures from international organisations (EU, IMF, World Bank, other)	Suspension of the EU's deficit limits , so member states can boost spending. EU €750 bn Recovery Fund approved in July 2020. The Corona Response Investment Initiative : EUR 37 bln from EU funds is available for citizens, regions and countries hit the hardest by the pandemic.

Sources:

- <https://www.brusselstimes.com/all-news/belgium-all-news/health/108539/coronavirus-austria-to-progressively-lift-lockdown-from-1-may/>
- <https://www.euronews.com/2020/04/20/austria-begins-reopening-after-very-early-and-very-harsh-lockdown>
- <https://home.kpmg/xx/en/home/insights/2020/04/austria-government-and-institution-measures-in-response-to-covid.html>
- <https://voxeu.org/article/mitigating-mass-layoffs-covid-19-crisis-austrian-short-time-model>
- <https://investinaustria.at/en/news/2020/03/corona-short-time-work.php>
- <https://www.socialeurope.eu/austrian-short-time-work-model-a-labour-market-policy-for-the-many-not-the-few>
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- <https://osha.europa.eu/en/oshnews/ausria-sectoral-guidance-construction-sector-frame-covid-19-crisis>

AUSTRIA

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

In the Austrian merchant (*Fachgroßhandel*) sector, there is a clear distinction between builders' merchants (*Baustoffhändler*) and plumbers' merchants (*Sanitär und Heizungsfachgroßhändler*). Thus, traditionally, bathroom products have been channelled through plumbers' merchants. Mixed merchants are a rarity and the main competition to the *Fachgroßhandel* comes from direct distribution to installers and building contractors and, increasingly, DIY stores. Internet stores play only a minor role in the bath market; however, taps and mixers are the most popular online traded product available from internet stores such as SMUK or MEGABAD, as these are the cheapest and least complex sanitary products.

Wholesale Level

The Austrian sanitary and heating merchant trade is very concentrated. There are about 50 sanitary and heating merchants in Austria, but two groups share around 70% of the market. These are SANITÄR- UND HEIZUNGSTECHNIK HANDELS GMBH, formerly known as the PINGUIN GRUPPE, and ÖAG SANITÄR- UND HEIZUNGSGROßHANDELS GMBH. These are also the major wholesalers offering national coverage. All other merchants are regional players.

The distribution of building materials is separated from the distribution of heating and sanitary products in Austria. The largest groups dealing with building materials are, HAGEBAU operating 148 outlets in 2019, LAGERHAUS with 353 outlets at the end of 2018 and BAUPROFI with 80 outlets in 2019.

Plumbing merchants channel heating products through installers, who sell them on to end users. The situation is different with DIY stores, which are supplied either through specialised merchants (*Sortimenter*) or by subsidiaries of plumbing merchants.

Building material groups are an increasingly popular shopping destination for both installers and end users, with sales continuing to grow. The largest specialist retailers are ÖAG, SHT and HOLTER. Other players are STEINER, ODÖRFER, SANITÄR HEINZE and IMPEX.

Retail Level

DIY Retailers

The number of DIY stores in Austria has been growing strongly in the past 15 years. As a result, the Austrian DIY market is saturated as the density of DIY outlets is among the highest worldwide. Austria has the highest number of square metres of sales area for building products in the world. Due to this, many Austrian DIY chains are getting into financial difficulties, and it is expected that the total number of stores will decline in the long term. Key players are BAUMAX,

HAGEBAU and OBI. RWA AUSTRIA is strong in rural areas. Other chains include BAUHAUS ÖSTERREICH and HORNBACH.

As in Germany, and possibly before German DIY stores, Austrian DIY stores started to trade up their product offering and improve the level of service. DIY store chains are focusing on the atmosphere of their stores and the level of service, and also trying to develop into specialist retail shops (*Fachmärkte*). The trend is clearly towards megastores (with a surface area of over 10,000 m²).

Internet Retailers

As is the general trend worldwide, online sales are increasing in Austria. However, the Internet's share is still low when compared to the classic distribution channel. As bathroom products on average are priced high, Austrians do not want to risk buying online and spending for poor quality. The Internet is used as a research tool, instead of a platform for bathroom products. Nevertheless, some demand exists, especially for products in the price entry segment. Cheap bathroom products such as taps and mixers are the most popular items to be retailed online. It is expected, however, that new internet retailers may emerge in the foreseeable future, while the existing ones are expected to increase their share of the bathroom appliances market, as the Internet is becoming more established as an alternative distribution form. Internet retailers have both a financial and logistical advantage in that there is no necessity to hold stock on their balance sheets and sales can be done ex-works in many cases, with the internet businesses effectively taking their margin without ever taking physical possession of the product.

III.2 AT - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)														Buying Group Affiliation
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other			
								Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify		
BAYWA	RWA RAIFFEISEN WARE AUSTRIA AG	Mixed Merchant	Mixed Merchant	2019	2,536	90	National	14.5%							18%					67.50%		
HAGEBAU	HAGEBAU ÖSTERREICH GmbH	Mixed Merchant	Mixed Merchant	2019	85	46	National	xx							xxx							
3-E-GROUP	3-E AG	Wholesaler/Retailer	Mixed Merchant	2019	422	275	National, Eastern Europe	xx	X	XX	XX				xx					xx		AHS
TENGELMANN	OBI BAU- UND HEIMWERKERMÄRKTE	DIY Retailer	DIY Assortment	2011	92	79	National	xx							xx					xx		
FRAUENTHAL	ÖAG	Specialist Merchant	Heating and Sanitary/Plumbing	2019	629	105	Austria, Czech Republic, Hungary, Slovakia, Slovenia, Croatia, Romania, Turkey	100%	50%	50%												
FRAUENTHAL	SHT HAUSTECHNIK AG	Specialist Merchant	Heating and Sanitary/Plumbing	2012	300	6	Austria	100%	32%	33%	35%											
HOLTER	FRITZ HOLTER GmbH	Specialist Merchant	Heating and Sanitary/Plumbing	2018	261	9	National	xxx	30%	35%	xx									xx	Swimming Pools	
GC GROUP	ODÖRFER HAUSTECHNIK GmbH	Specialist Merchant	Heating and Sanitary/Plumbing	2011	121	25	Austria and Slovenia	100%	50%	50%												
SANITÄR HEINZE	SANITÄR HEINZE GmbH	Specialist Merchant	Heating and Sanitary/Plumbing	2018	103	10	Austria and Germany	100%	50%	50%												Sanitär Union
IMPEX	IMPEX GmbH	Specialist Merchant	Heating and Sanitary/Plumbing	2018	42	15	National	100%	50%	50%												

Source: BRG based on company information and industry interviews

X = marginal activity

XX = substantial activity

XXX = core activity

AUSTRIA

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

In the past, bath and shower tray sales have followed a similar trend to each other in the Austrian market. Throughout the 1990s, the overall Austrian bath and shower tray market (by then already mostly comprised of synthetic models) grew – although some setbacks were registered due to financial insecurities – and undoubtedly benefited from the high level of new housing construction seen in the first half of the decade.

This new housing construction growth was a direct consequence of the opening up of the Eastern Bloc and the need for housing caused by the subsequent influx of immigrants, as well as by the growing number of single person households throughout Austria. Moreover, the fall in the price of baths – resulting from the increasing presence of DIY stores and lower-priced imports on this market – also fuelled uptake. Like most other building product markets, the Austrian bath and shower tray market is mature. It is highly driven by the renovation sector, which is at a high level. New construction activity is the second largest market driver, followed by non-housing demand.

Over the last decade, bath and shower tray sales were challenged by different trends. With decreasing household size and space constraints, and growing time pressure for individuals, an increasing number of flats are now fitted with a shower rather than a bath. This is especially the case in lower and medium-priced dwellings, which typically face greater space restrictions. However, one to two family dwellings, which have on average more than one bathroom, still contain both baths and shower trays. On the other hand, the shower tray market has been challenged by the development of wet rooms, which do not require the use of a shower tray. The popularity of walk in showers has been growing due to the modern and stylish look and their ease of accessibility to elderly Austrians. However, it is believed that the growing share of walk-in showers had a turnaround in residential houses in recent years due to several reasons: Austrians had bad experiences with tiled showers when it came to cleaning and hygiene. Moreover, new building regulations for wooden/ prefabricated houses, which are very popular in Austria, limit the installation of walk in showers due to the uptake of wet rooms, therefore, has ended and it is believed that the share of walk in showers in non-housing buildings is likely to decline from 2021 onwards.

Regarding design and size of the shower trays, a trend towards flat and super flat shower trays, as well as larger sizes, is present across all materials in Austria. White coloured and square shape remain the most popular types of shower trays in the country. However, a large range of other shapes are available, such as rectangular, round, or even five corner models, as well as other different colours, mostly pastel and muted, although the classic white square remains the bestseller. There has always been a preference for acrylic shower trays in Austria, which have a price advantage over steel shower trays. Because of the rapid development of the synthetic bath market and the fact that consumers who have a bath and a

shower prefer them to be made of the same material, sales of synthetic shower trays have long overtaken sales of steel shower trays. Furthermore, an increasing number of shower enclosure manufacturers have included shower trays in their product ranges, and these have generally been synthetic. Sales of steel shower trays, as in the steel bath segment, had gained momentum again in the past, especially in the upper price segment of the market, but sales are declining once more, due to the trend away from baths towards showering in the case of steel baths, and due to the growing popularity of wet rooms in the case of steel shower trays. Nowadays, ceramic shower trays and cast iron baths are niche products, depending very strongly on one off prestige projects.

Regarding hydrotherapy products, hydromassage baths, which used to be a luxury product, account for the majority of all hydrotherapy sales. The majority of these baths are acrylic and only a few have steel shells. Most have air jets rather than air-water or water jets. Hydrotherapy shower cubicles (*Multifunktions-Duschkabinen Dampfduischen*) were first launched in the mid-1980s, when the main impetus was provided by the German taps and mixers manufacturer HANSGROHE, alongside Italian manufacturers. The standard equipment is a shower panel with massage jets, a rain shower and a hand shower, a control device and a steam generator. On top of that, they can include aromatherapy, connections for MP3 players, loudspeakers and coloured lighting options. Like in Germany, the shower panel market was pioneered in Austria by HANSGROHE, but fierce competition has appeared since 1996. Shower pipes contain a rain shower and a second shower head, which are cheap alternatives to shower panels. Generally speaking, sales of hydrotherapy products have been declining over the past few years and the market is believed to be saturated.

Recent Market Trends

Both the bath and shower tray markets have been challenged by different trends in the last few years. The average household's size continued to decrease further in 2019, which caused demand for increasingly smaller dwellings with limited space in bathrooms. At the same time, the trend towards showering, away from bathing, is having a negative influence on bath sales.

Looking at the products more in detail for 2019, differing sales developments across each product category can be seen. Demand for synthetic baths decreased, due to the trend of decreasing size of dwellings and bathrooms as well as the shift towards showering away from baths. Sales of synthetic baths were affected by the decreasing number of dwelling completions. As the dwelling rental market became even more competitive in Austria, a significant number of contractors and landlords installed cheaper models of baths in the dwellings to find tenants faster, this applies in particular to the low budget projects. However, in 2019 demand for synthetic baths slightly decreased and sales of the more expensive steel bath continued to increase further following the trends of the last few years. This development is justified thanks to the increasing demand on sustainable and long-lasting products.

As mentioned above the trend towards showering continued in 2019. The overall shower trays market could slightly benefit from the reversal trend away from walk-in showers towards shower trays in new housing. Overall sales slightly increased, despite marginally fewer new housing completions. Additional demand was generated by more renovation activity in Austrian bathrooms, thanks to low loan interest rates. Walk-in showers do not require any trays but are alternatively installed with tiles or stone floors. The possible cheaper costs of tile and stone floors compared to shower trays, and more alternatives regarding design and individual taste possibilities as well as the 'modern' look of these walk-in showers, were the main reasons for the former popularity of stone/tile floor showers. Another reason is the competition of the contractors, as they are always happy to create some differences, especially when they are cheap to be implemented. Hence, synthetic and steel/cast iron shower tray sales increased only slightly in the past, despite growing new housing activity.

Ceramic shower trays, which are used in the replacement sector and which are a niche market, continued to stagnate in 2019. Demand for synthetic and steel shower trays slightly increased in 2019 when compared to previous year.

Cast iron baths and ceramic shower trays are expensive in comparison to synthetic models, which made it even more difficult for these products to experience positive momentum in a market which was moving away from bathing and classic shower trays. Hence, cast iron baths and ceramic shower tray sales stagnated throughout 2019. The biggest loss was recorded by the cast iron baths, for which sales plunged in 2018, after an exceptional booming year in 2017, due to a few one-off projects. In 2019, demand for cast iron baths remained low.

The Austrian hydrotherapy bath market only slightly increased in 2019. Overall, hydrotherapy is a niche market and demand for hydrotherapy products appears to be largely saturated for the moment. In 2019 as in previous years, the growing offer of hydrotherapy products via DIY stores and the resulting drop in average prices does not encourage consumers to opt for them. Austrian consumers are believed to have a high product awareness when compared to other Western countries, and their high customer expectations seem not to be met by the offers in the DIY channel.

Prices and Market Values

Overall, the average prices for baths, shower trays and hydrotherapy products, at MSP (manufacturer's selling price) levels, increased in 2019 when compared to 2018. The prices increased due to an increase in the consumer price index and production costs such as raw materials and labour. Cast iron baths and steel baths underwent the strongest price increase, followed by a more moderate growth of MSPs from the other products.

The steel bath and shower tray markets are only supplied by a few players, which makes it easier to pass on the production costs to the consumer without changing the margins. The market structure for synthetic products as well as hydrotherapy

products is different, though. Competition is fierce and with identical products available, consumers instead tend to base their decision on the price, along with the brand recognition. Therefore, both retailers and manufacturers tend to reduce their margins to remain competitive enough to maintain their market share. Cast iron baths do not play a significant role within the market in volume terms; however, these models remain attractive for a small circle of consumers, who are willing to pay higher prices for these products.

The trend away from middle towards upper and lower priced products continued in 2019. This was due to the fact that the gap between upper and lower income households increased further in Austria. Households with higher income focus more and more on comfort and are ready to extend their spending for their bathrooms. On the other hand, the number of households with low income is also increasing. The latter are looking for cheap solutions, which explains the growing trend towards lower priced products. On top of that, the growing share of the DIY channel, which offers a wide range of products, also supports the trend towards the lower price segments.

New Housing

Residential construction remained high in 2019, however there was a slight decrease in completions in comparison to the previous year. The increase of new one- and two-family house completions did not compensate for the decrease of new apartment dwellings. Similar to many Western European countries, the new housing segment is not a crucial segment for the overall bath and shower tray market in Austria. Being a mature market most demand comes from the renovation sector. In 2019, the new housing segment remained the second most important driver for the overall bath and shower tray markets in Austria. Sales in this segment increased for steel baths and steel shower trays, whereas synthetic products in this category saw some decline. The shares of steel bath sales in new housing increased thanks to the growing competition for landlords renting their dwellings. Contractors and landlords reacted anticyclic the second year in a row and installed steel products, which are more resistant, and which have a longer lifespan.

The ratio of shower trays installed in one- and two-family dwellings and collective apartments is similar, whereas the majority of new bathrooms are equipped with steel baths. Collective dwellings are mainly equipped with shower trays, due to the economic and environmental water-saving benefits, as well as more functional reasons such as the timesaving benefit of showering. Moreover, showers are preferred in large blocks of flats where bathrooms are small. However, the Austrian population is ageing, so walk-in-showers are benefiting the most from new build demand as these already have become standard in new built dwellings. It is expected that this could reduce sales of baths and shower trays in this segment. Hydrotherapy bath sales into new housing continued to decline in 2019

Looking at the whole picture including baths and shower trays, demand from new housing is expected to increase for baths and shower trays in the new housing segment in 2020. From 2021, demand for baths is believed to decline gradually

over the forecast period due to the trend towards showering. Demand for shower trays is believed to be more positive as they are expected to claim their share back from walk-in showers.

Housing RMI

Like in many European countries, the replacement segment in Austria is large, and the most important market driver for the overall bath and showers tray market. Like other bathroom products in Austria, the country has a long history with baths and shower trays. Due to the very good quality of the products, the lifespan of baths and shower trays offered on the Austrian market is on average of up to 30 years, which results in a low replacement demand. The great majority of installations are pure like-for-like replacements.

In volume terms, sales of synthetic models are dominating the replacement segment. The displacement from steel towards synthetics is believed to reach its end in 2020 and from 2021 onwards, the share of steel trays is expected to increase marginally. In contrast, the share of synthetic baths is predicted to remain stable and possibly slightly growing during the forecast period. One reason is the growing popularity of freestanding baths and mineral cast products.

The share of replacing shower trays with walk-in showers in the RMI segment is not as significant as for new dwellings, as stone/tile floor showers are mainly installed in new housing, and often by contractors. Hence, most of those are expected to be like-for-like replacements, where they replace an old bath/shower tray or hydromassage bath with a new one. This is even more extreme in the hydrotherapy market, which is saturated. BRG expects the overall RMI demand to strongly decline in 2020 as a direct consequence of the COVID-19 crisis. In the year 2021, demand is likely to pick up and return to growth for baths and shower trays.

Non-Housing

Non-housing demand for baths, shower trays and hydrotherapy products represented again the smallest end-use segment in 2019. The overall non-housing output slightly increased in 2019, according to EUROCONSTRUCT. Synthetic baths are the most common type of products found in the non-housing segment. Steel baths and steel/cast iron shower trays are also common in the non-housing sector, for instance in hotels and spa centres, as they have a greater durability than their synthetic equivalents. Freestanding cast iron baths have become popular in high-end hotels.

Hydrotherapy products in non-housing are usually fitted in luxury hotels, and some fitness clubs and spas. Hotel owners strive to give their hotels the advantage by providing increasingly luxurious accommodation and facilities and, therefore, hydrotherapy baths are extremely relevant there. However, the relatively low number of hydrotherapy sales is expected to increase only slightly in the coming years, as the tourism industry itself is becoming increasingly competitive. Overall,

the non-housing segment is expected to stay stable over the forecast period.

Supply Structure

No major changes were recorded in the bath and shower tray supply structure in 2019 in Austria. The market stayed fragmented and many small and medium sized players are active. The Austrian bath and shower tray market is still characterised by the overwhelming presence of foreign suppliers. The market for steel products is dominated by only a few manufacturers. Within this segment, ROCA and KALDEWEI are the main players, with BETTE only holding a marginal share. ROCA is specialised in the economy/lower price segments, KALDEWEI is active in the middle/upper priced segments, whereas BETTE sells its products in the upper/luxury price segment.

The market for synthetic models is also dominated by foreign suppliers, but is more fragmented with many small and medium sized companies competing. The segment is led by the well-known domestic manufacturer, POLYPEX. Other important players include GKI, IDEAL STANDARD, VITRA and DUSCHOLUX.. Low entry barriers and flourishing prospects have attracted a large number of synthetic bath manufacturers, both European and non-European, and competition has become fiercer.

Ceramic shower trays are a niche product with only a few suppliers offering them in their portfolio. VILLEROY & BOCH is believed to be the market leader in this product category.

VILLEROY & BOCH is an example of a manufacturer with cast mineral baths. Moreover, DURAVIT and HOESCH offer cast mineral baths. Manufacturers such as HOESCH, DURAVIT, HUEPPE and IDEAL STANDARD supply the market with mineral cast shower trays.

Supply in the hydrotherapy products sector is split into three groups: conventional bath suppliers (which focus their efforts mostly on other market sectors), specialist hydrotherapy product makers (specialised in hydrotherapy cubicles and combined products) and taps and mixers manufacturers (who dominate the shower panel market).

Many of the large bathroom manufacturers are not interested in the hydrotherapy market and focus their efforts on other market segments or exit the market. Only the traditional hydrotherapy suppliers actively push sales forward and some manufacturers have invested in the development of new products. The high share of 'Others' in all hydrotherapy segments is a result of the DIY brands sales and the large number of small importers and suppliers. The hydrotherapy market has been characterised over the past few years by the growing share of the DIY channel.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

In the first six months of 2020, overall bath and shower tray sales have experienced negative development when compared to 2019. Even though demand from new housing is expected to slightly grow in 2020, overall demand is expected to drop significantly for all products due to a strong contraction from the replacement segment. In addition to the effects of the COVID-19 lockdown measures, the market is also affected by ongoing product trends, e.g. the shift away from bathing towards showering. Although, the market is expected to recover in the second half of 2020, it will probably not reach the level of 2019. The synthetic as well as steel/cast iron shower trays sales are expected to record a significant decline, mainly because of COVID-19. Both synthetic and steel bath sales are expected to experience a decline. Cast iron baths and ceramic shower trays are likely to remain niche markets. Furthermore, hydromassage baths sales dropped in the first few months of 2020, and the numbers seen in 2019 will probably not be reached until the end of the year.

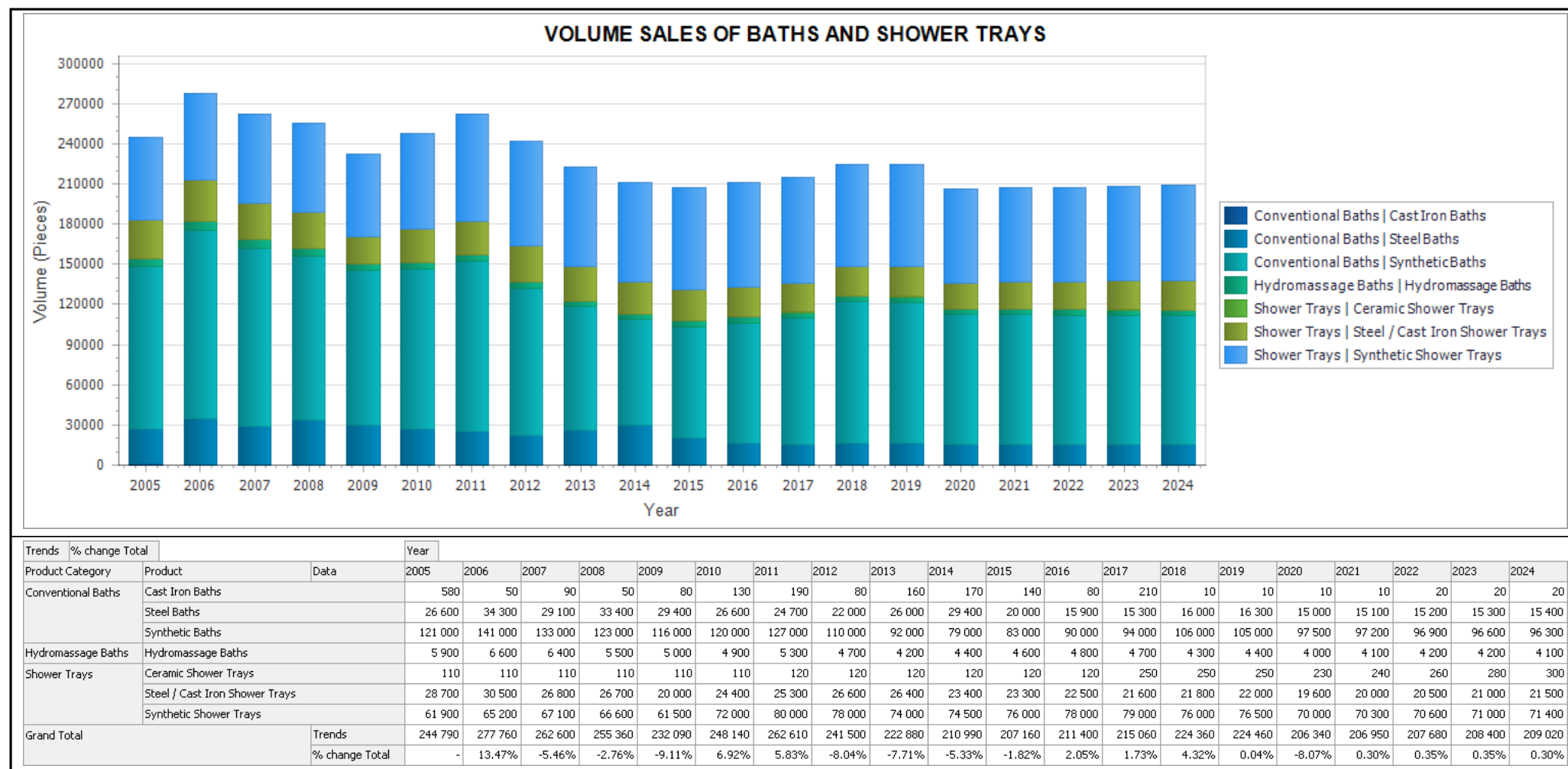
The substitution trend from baths to showers will still be prevalent and it is unlikely to slow down given the reasons for the trend, such as smaller living spaces, busier lives and an ageing population – which is not set to reverse anytime soon. The competition in the rental market should be more stable in the coming years, which means contractors and landlords do not have to make a difference in their dwellings, in order to attract tenants.

The overall shower tray market is expected to slightly increase during the forecast period, thanks to the predicted growing replacement activity, which is expected to pick up from 2021 onwards. Moreover, the market will experience additional growth due to the shrinking share of walk-in showers in new buildings. Steel/cast iron shower tray customers primarily prefer design and quality, and cost plays a secondary role. In fact, this market is expected to have a better development over the forecast period, when compared to synthetic models, which operate in the mass market.

The hydrotherapy market is believed to be saturated and is considered mature and the market should marginally increase in 2021 and 2022. The hydrotherapy market is expected to decrease in 2024. This product will continue to have a limited importance in the Austrian market.

1.2 Historical Trends and Forecasts

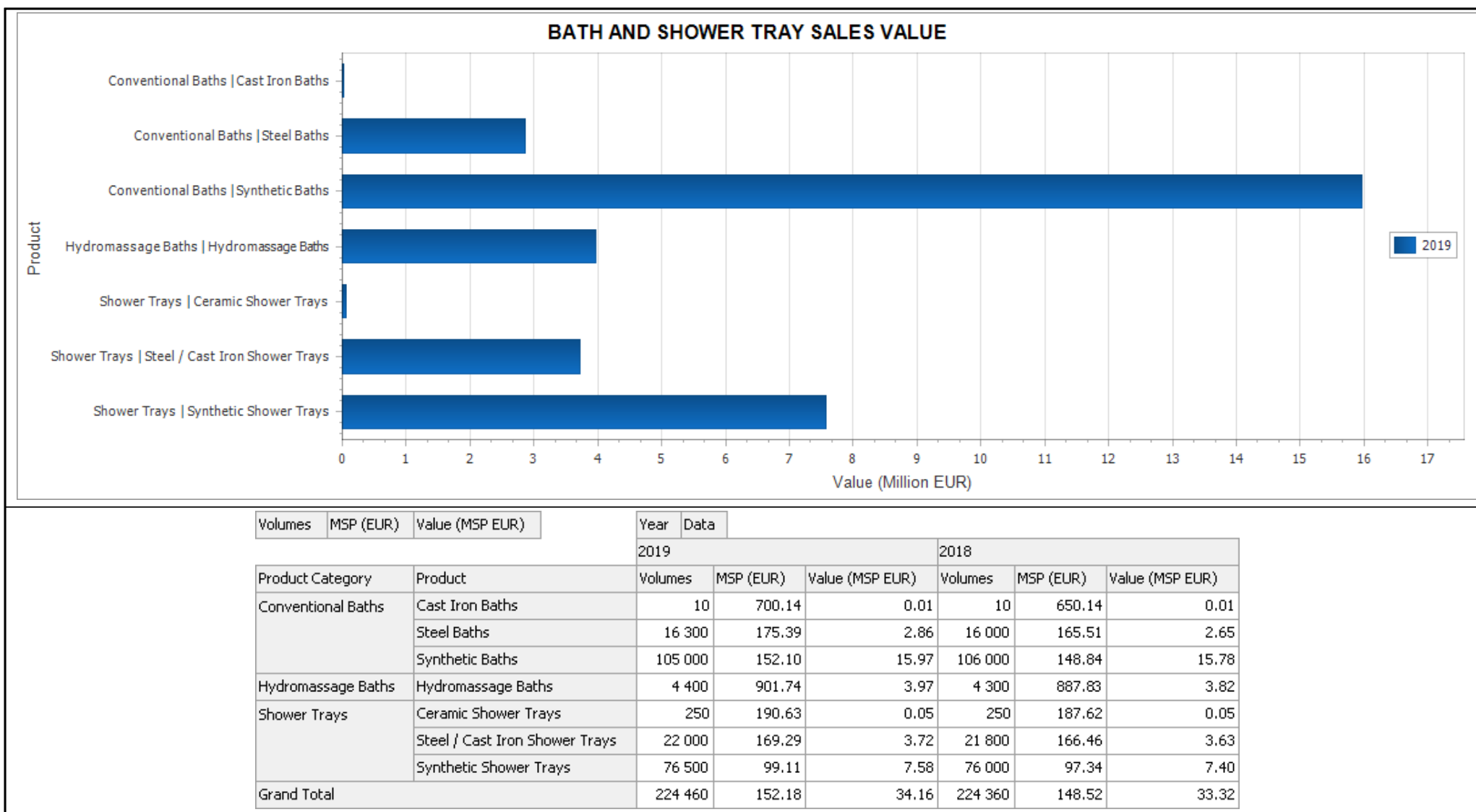
AT - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

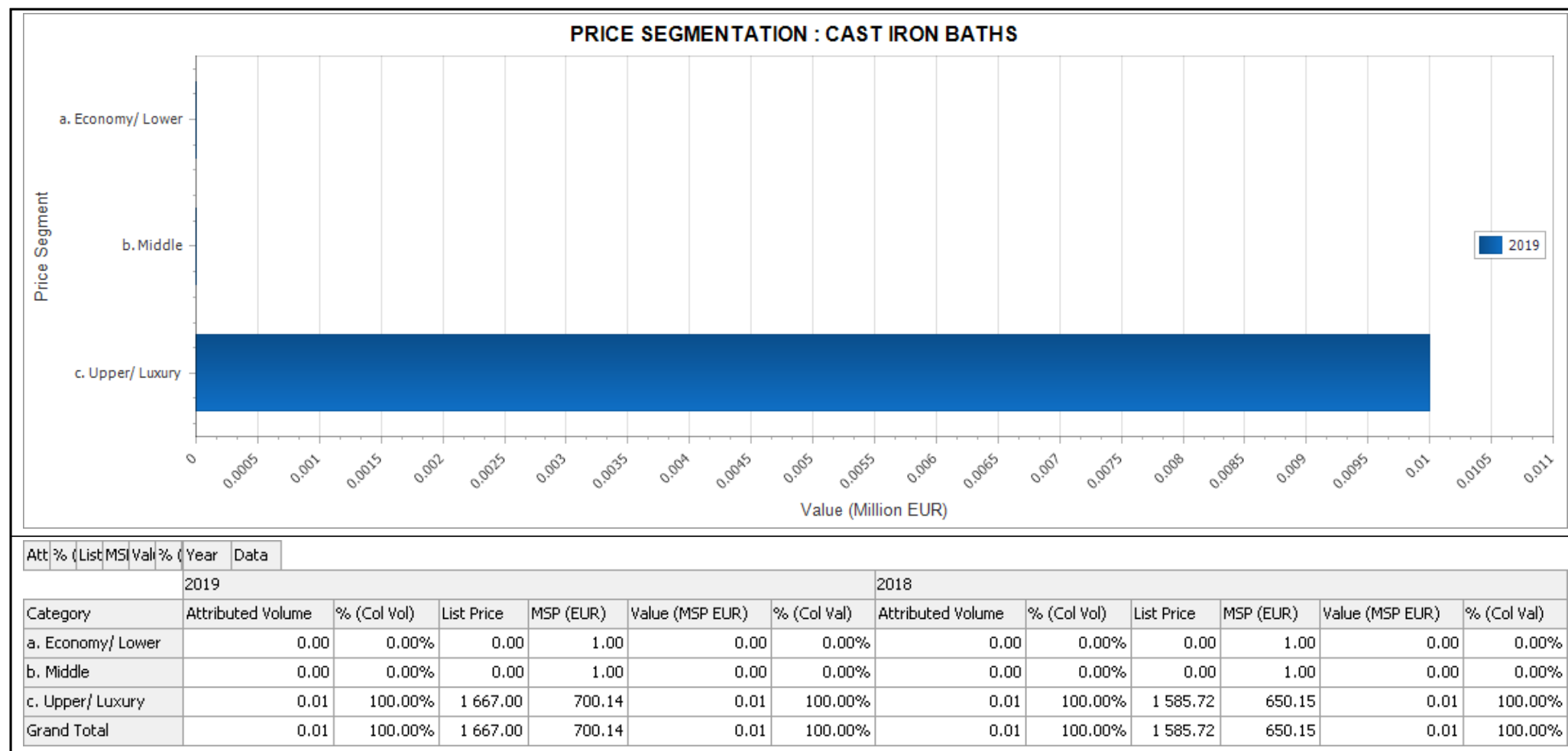
AT - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Price Segmentation : Cast Iron Baths

AT - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

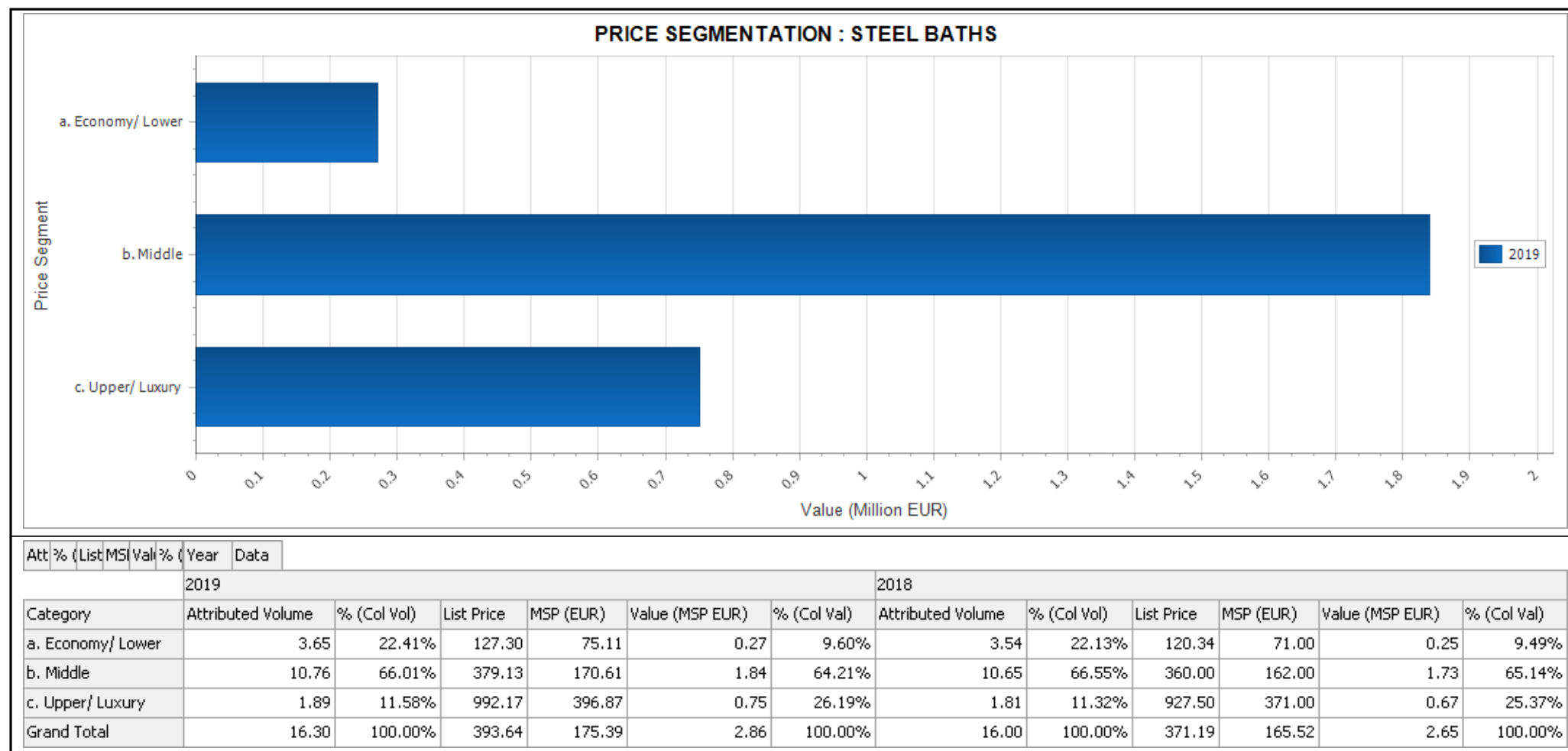


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€600, Upper/ Luxury >€600

1.3.3 Price Segmentation : Steel Baths

AT - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

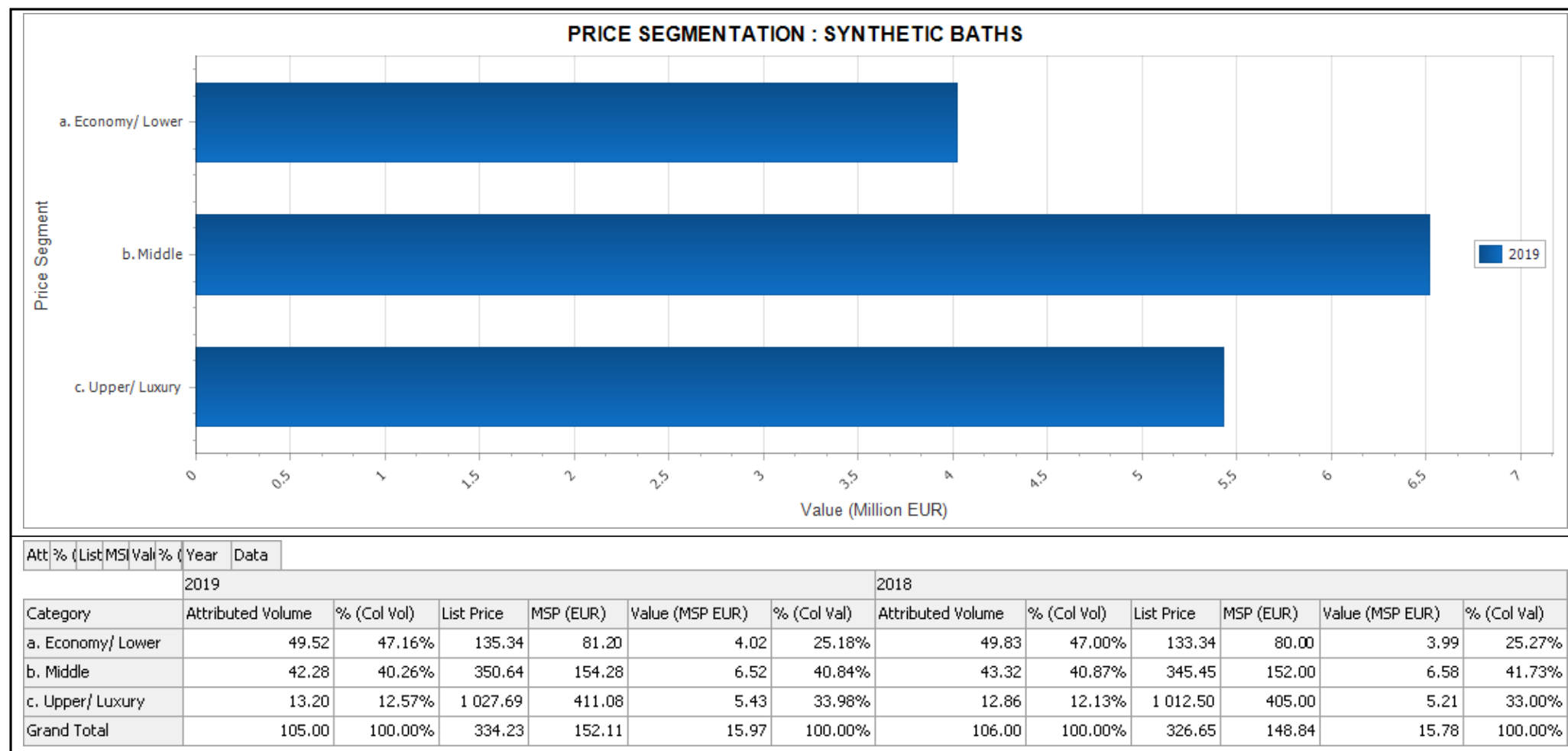


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€300, Upper/ Luxury >€300

1.3.4 Price Segmentation : Synthetic Baths

AT - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

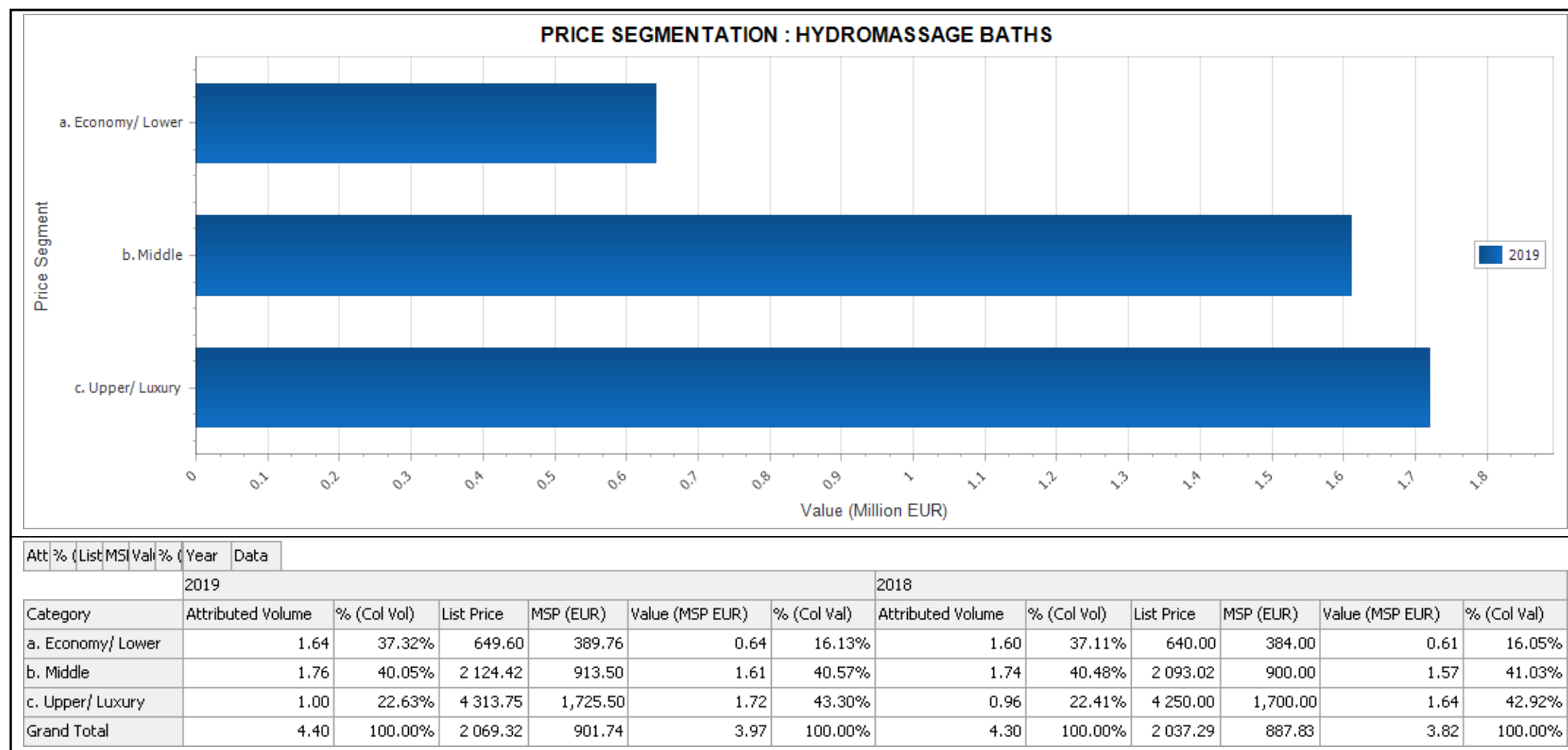


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.5 Price Segmentation : Hydromassage Baths

AT - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

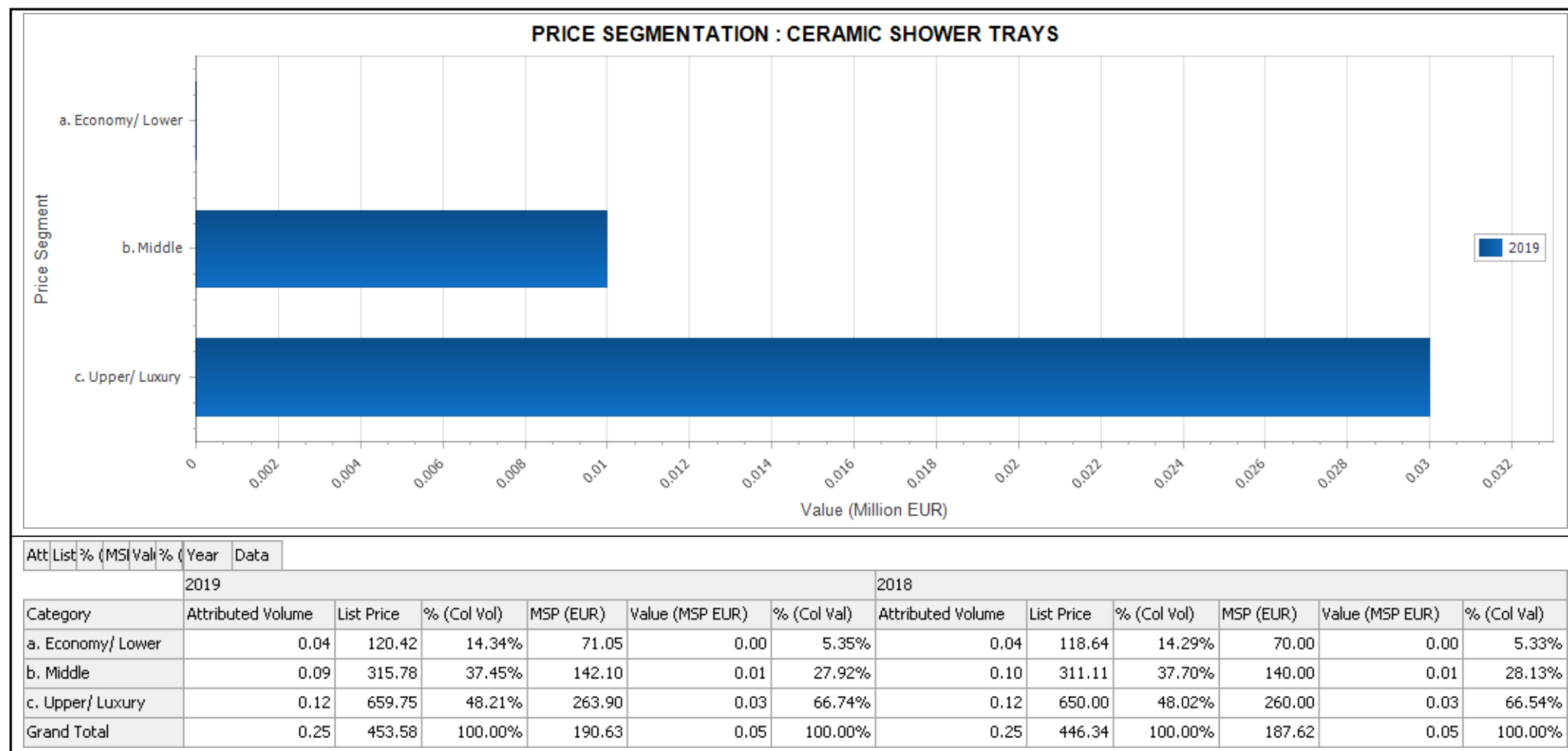


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€600, Middle €600-€1,200, Upper/ Luxury >€1,200

1.3.6 Price Segmentation : Ceramic Shower Trays

AT - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

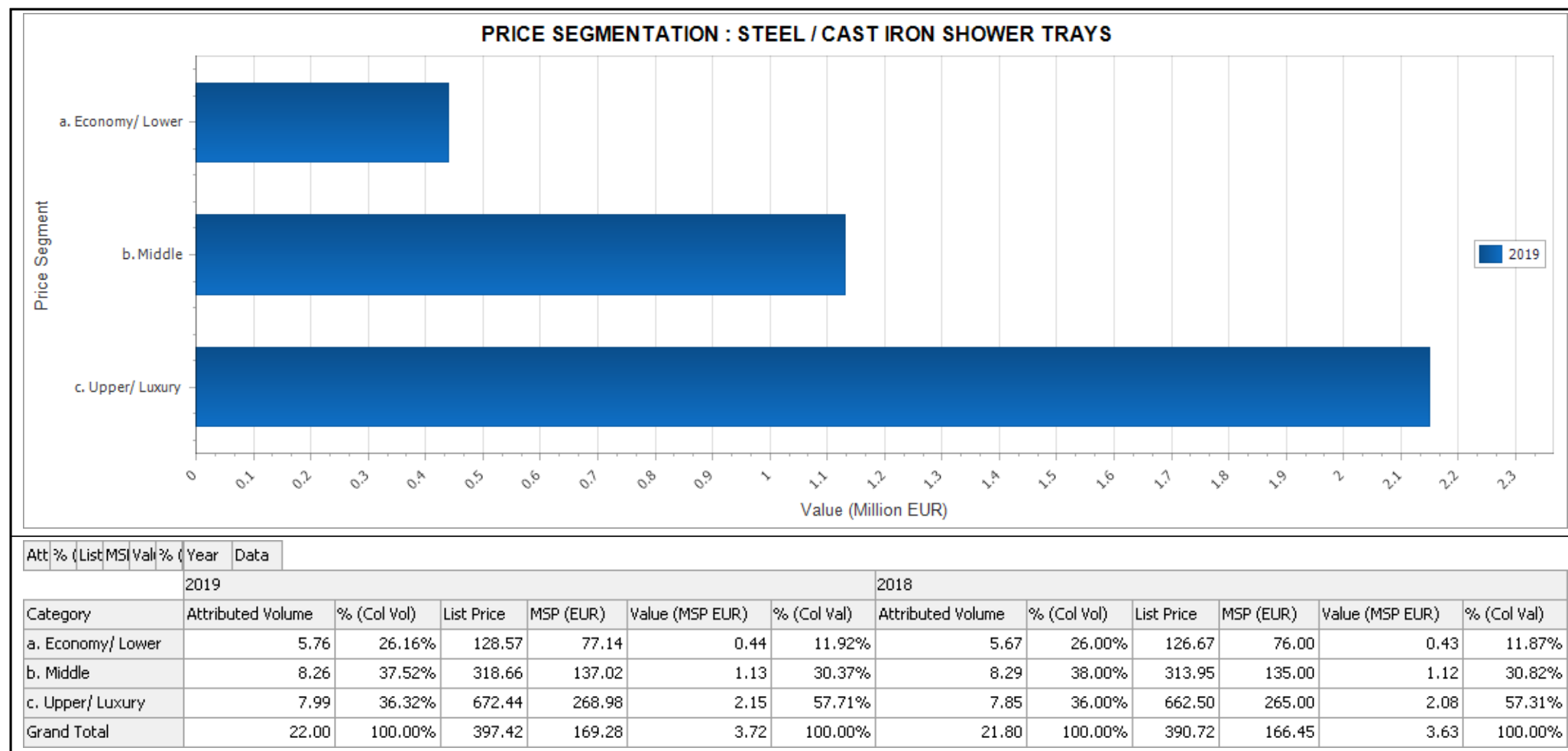


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

AT - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

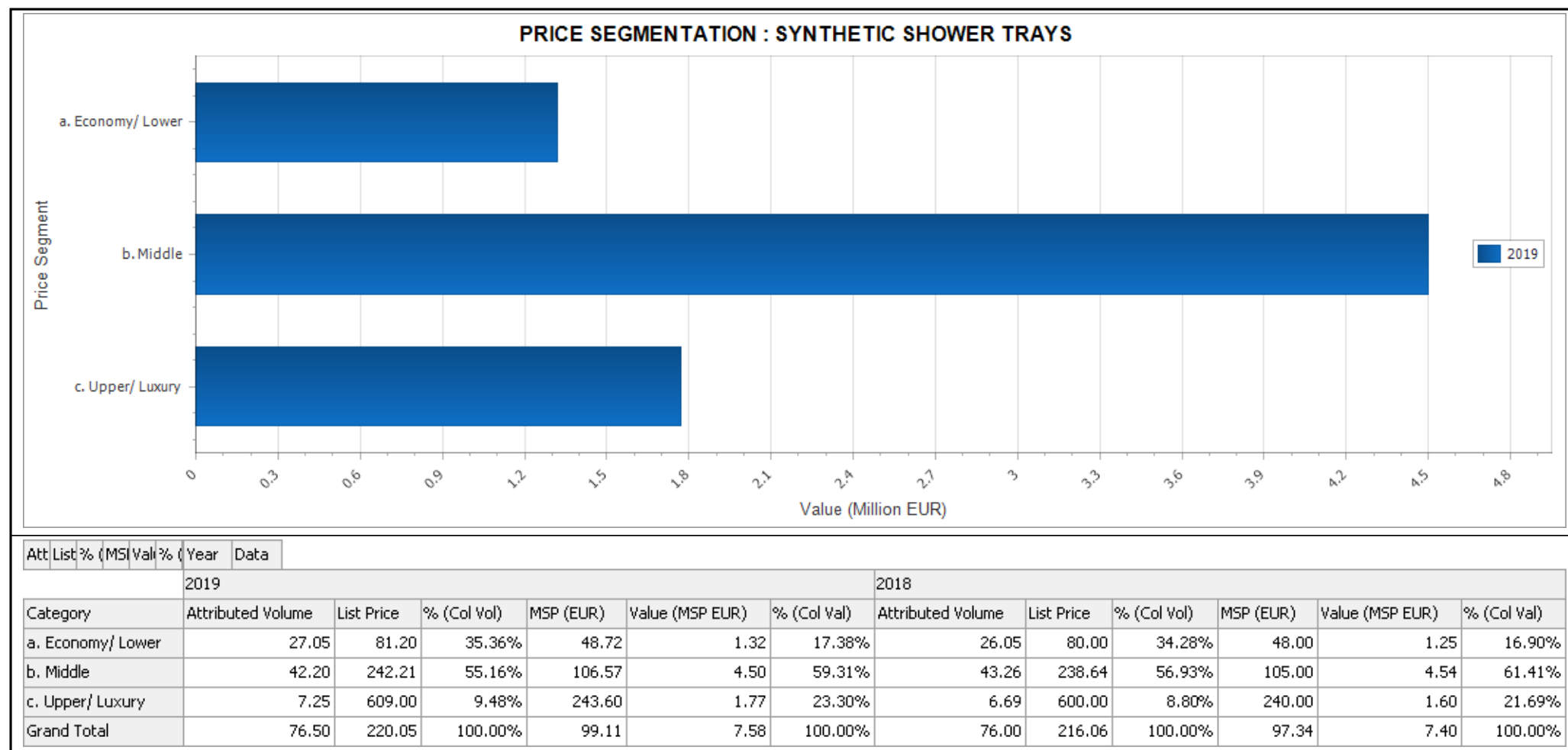


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.8 Price Segmentation : Synthetic Shower Trays

AT - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

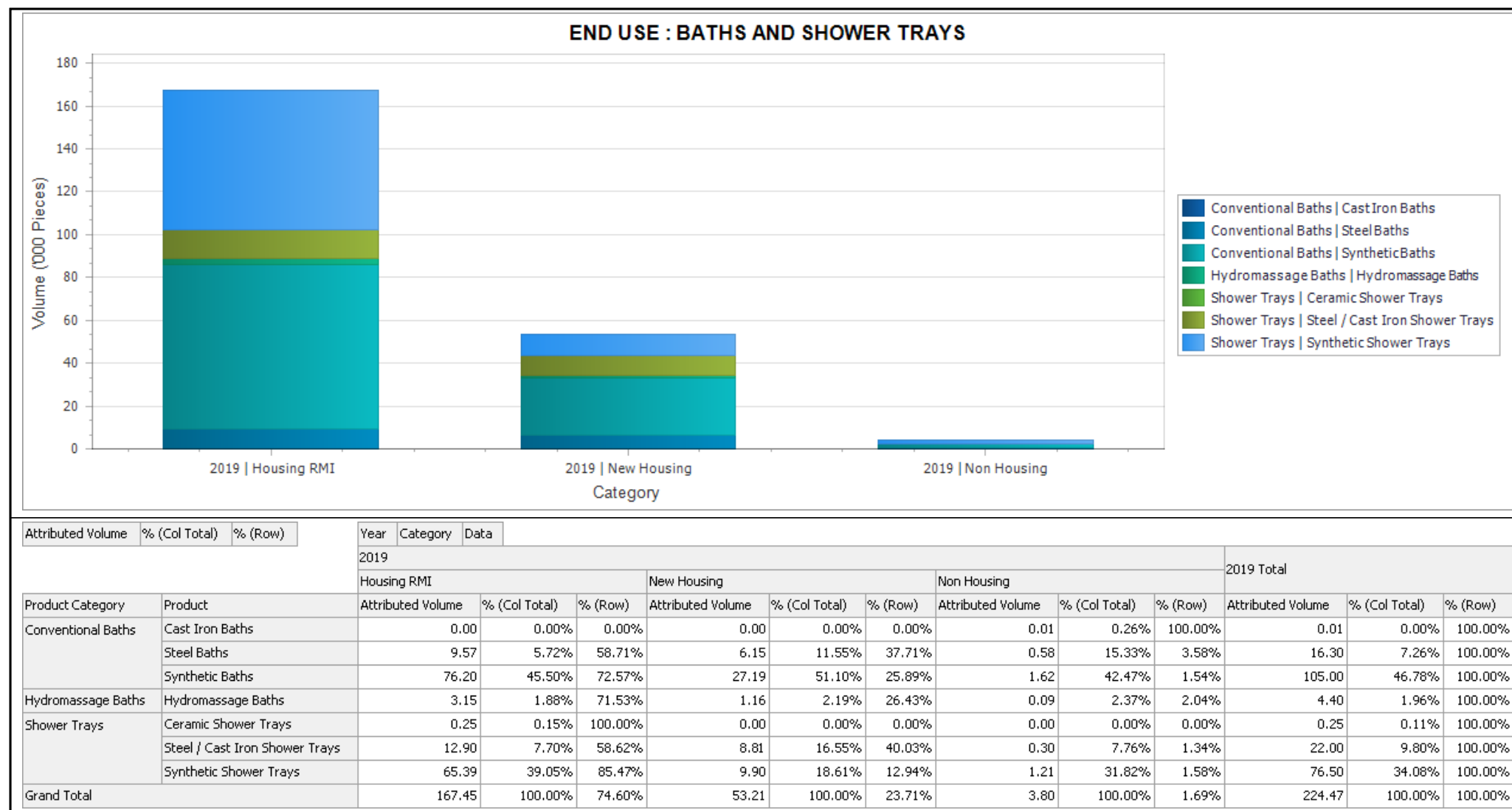


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.4.1 End Use : Base Year

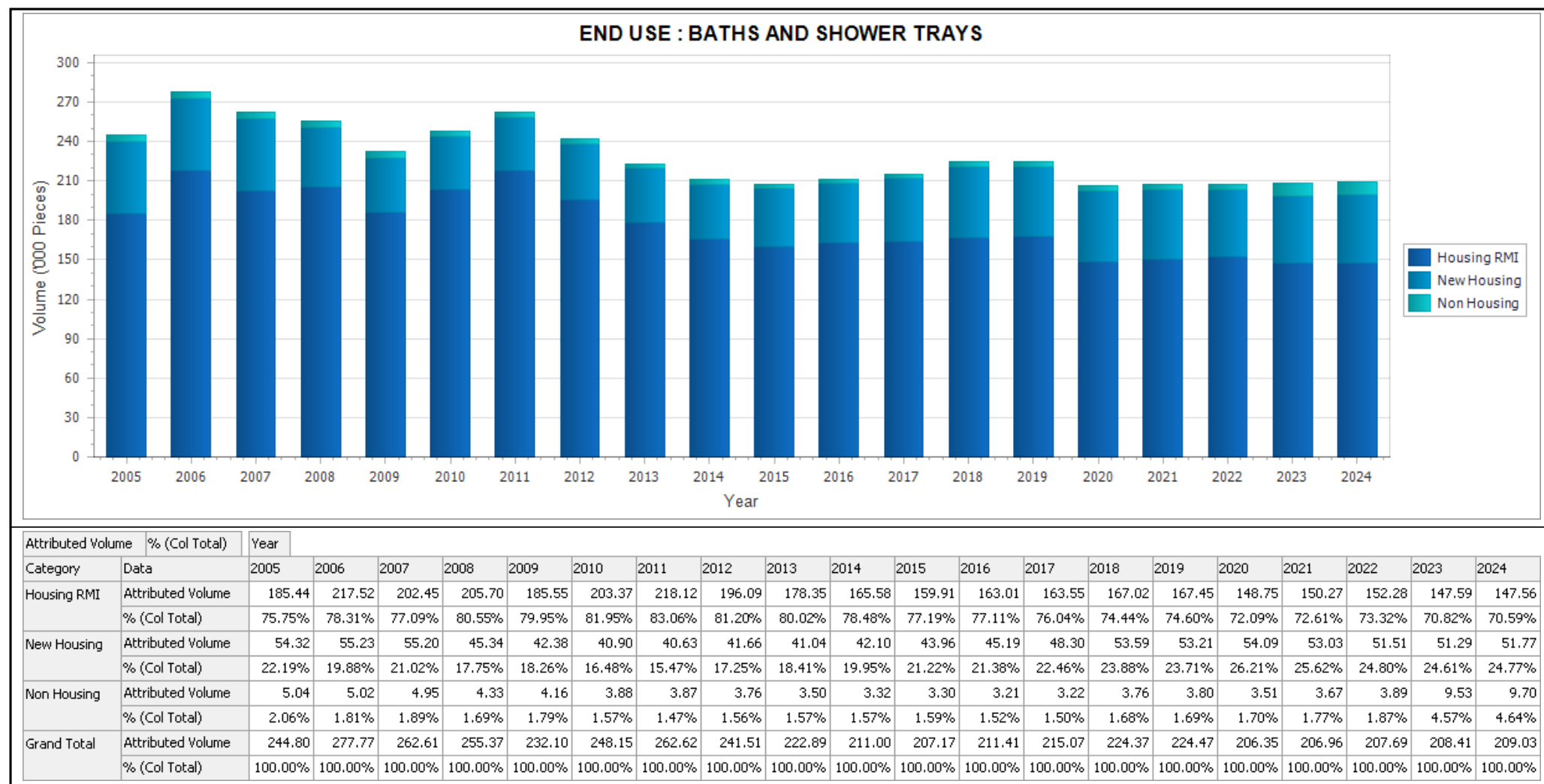
AT - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

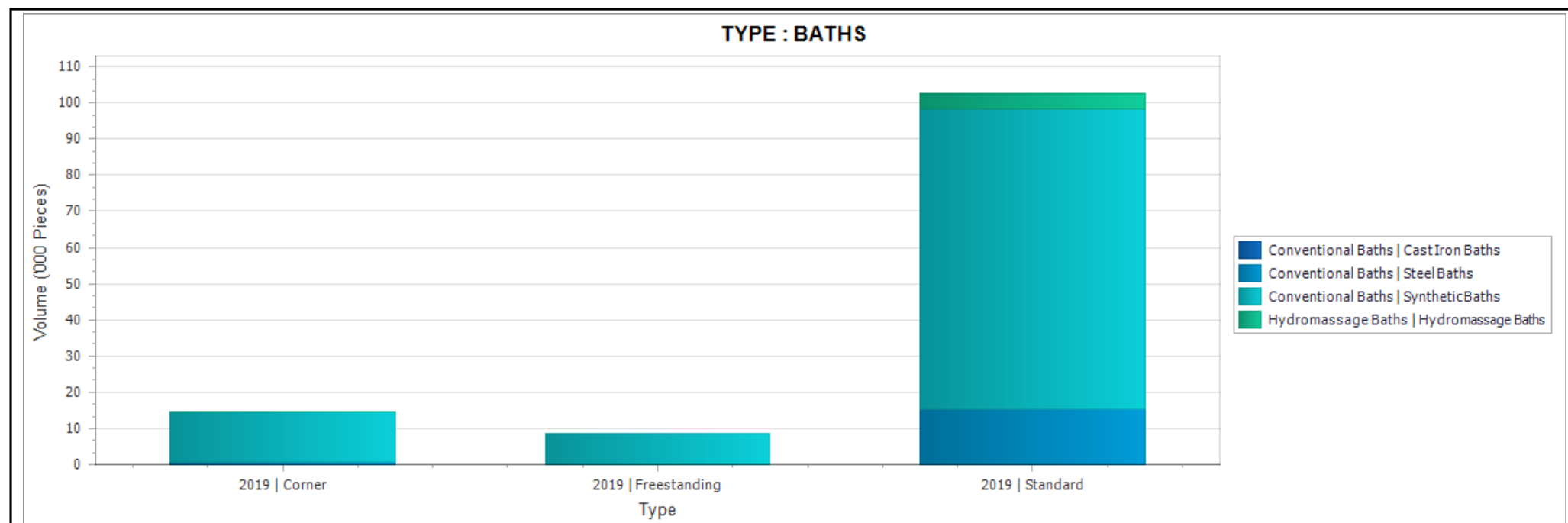
AT - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

AT - BATH SALES BY TYPE ('000 PIECES)

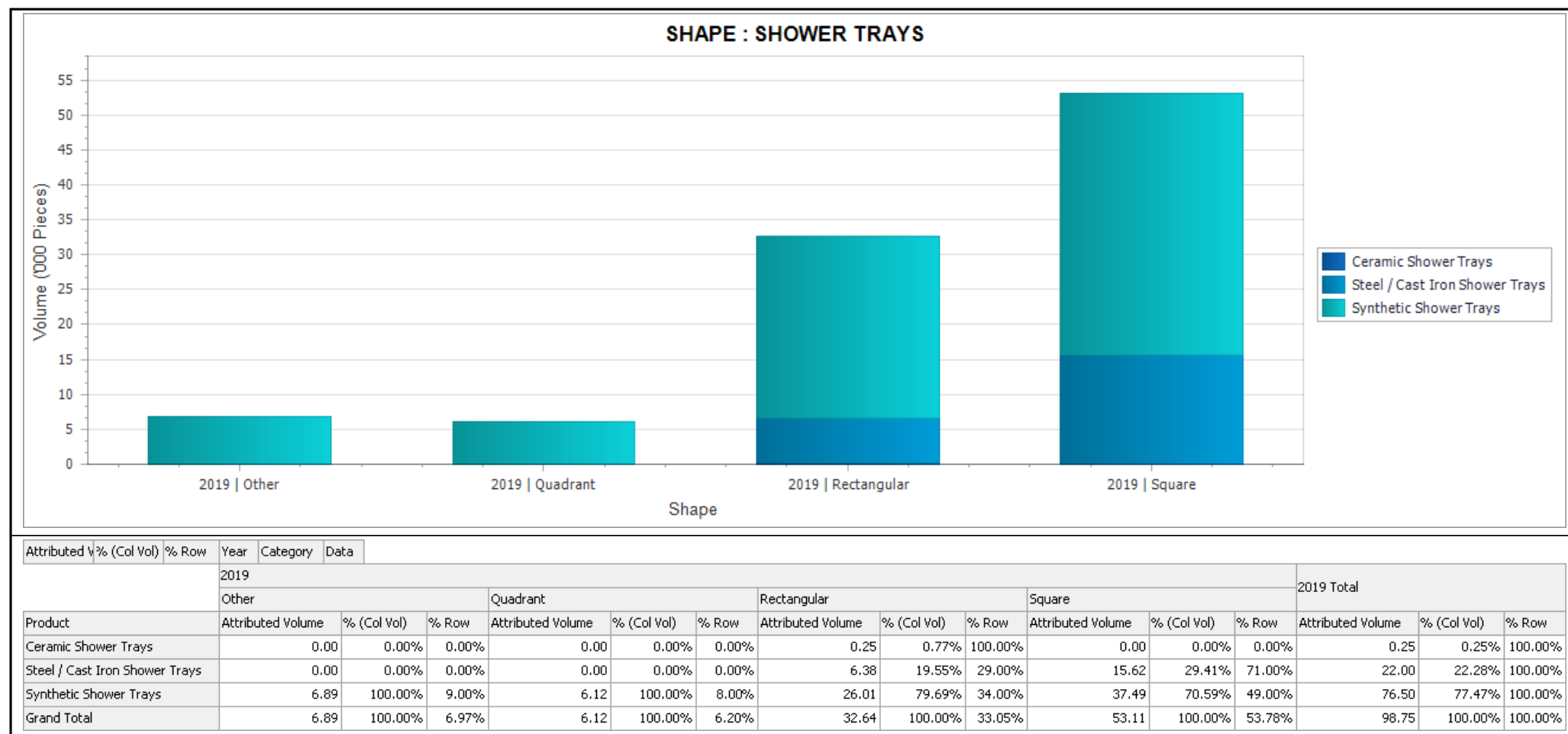


Attributed Volume	% (Col Total)	% Row	Year	Category	Data												
						2019											
						Corner			Freestanding			Standard			2019 Total		
Product Category	Product	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row				
Conventional Baths	Cast Iron Baths	0.00	0.00%	0.00%	0.01	0.12%	100.00%	0.00	0.00%	0.00%	0.01	0.01%	100.00%				
	Steel Baths	0.82	5.57%	5.00%	0.00	0.00%	0.00%	15.49	15.08%	95.00%	16.30	12.97%	100.00%				
	Synthetic Baths	13.65	93.23%	13.00%	8.40	99.88%	8.00%	82.95	80.80%	79.00%	105.00	83.53%	100.00%				
Hydromassage Baths	Hydromassage Baths	0.18	1.20%	4.00%	0.00	0.00%	0.00%	4.22	4.11%	96.00%	4.40	3.50%	100.00%				
Grand Total		14.64	100.00%	11.65%	8.41	100.00%	6.69%	102.66	100.00%	81.66%	125.71	100.00%	100.00%				

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

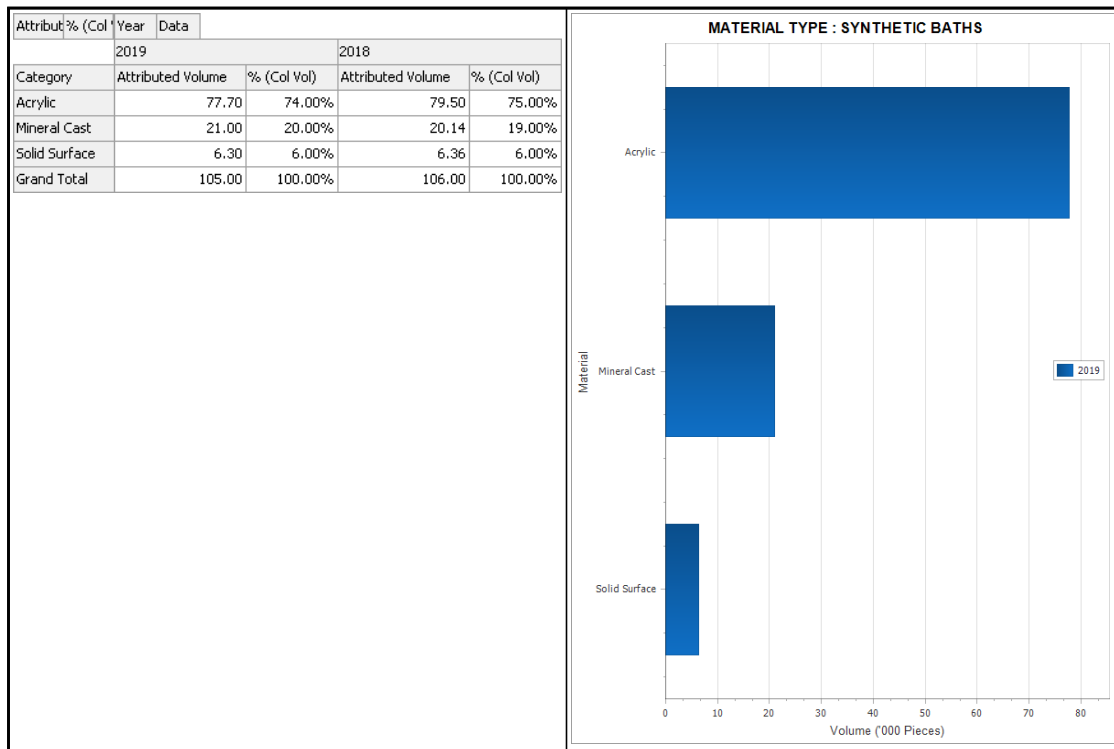
AT - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.5 Sales by Material : Synthetic Baths

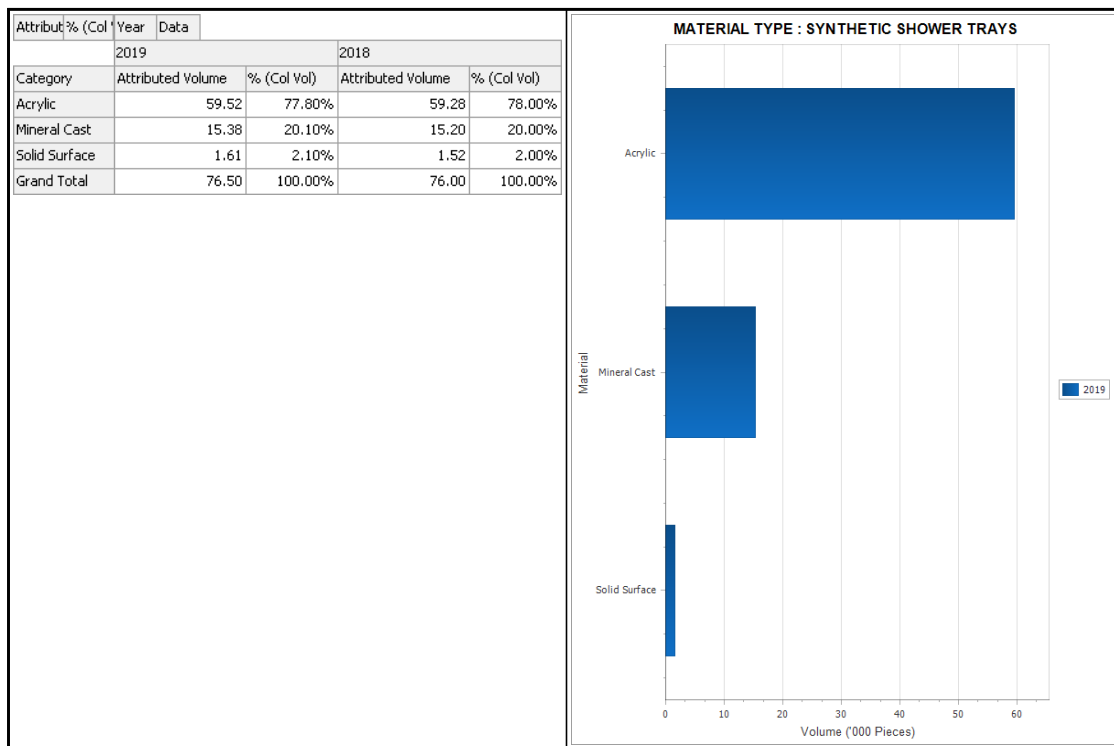
AT - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

1.4.6 Sales by Material : Synthetic Shower Trays

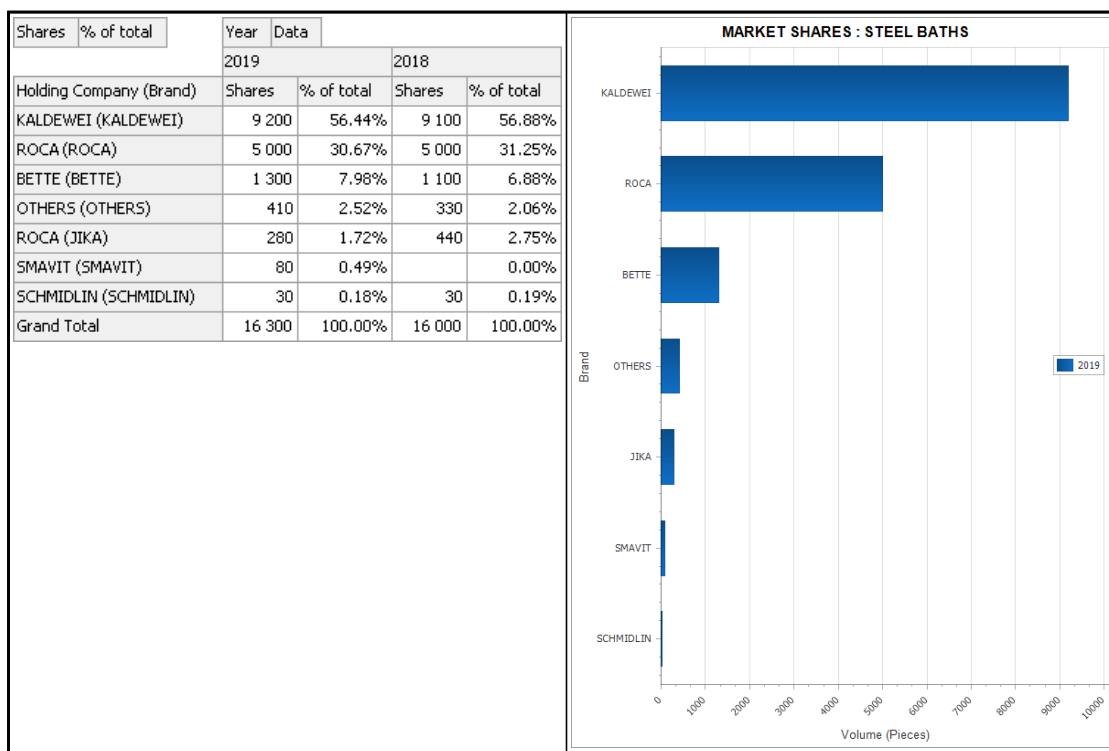
AT - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

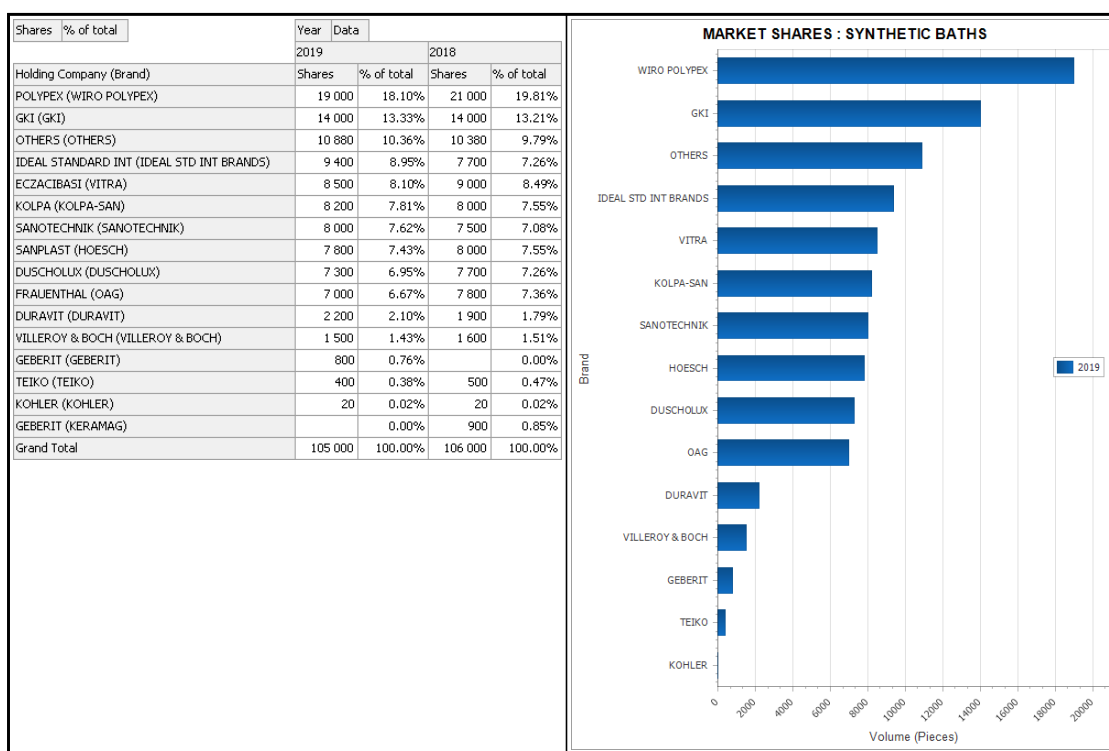
AT - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

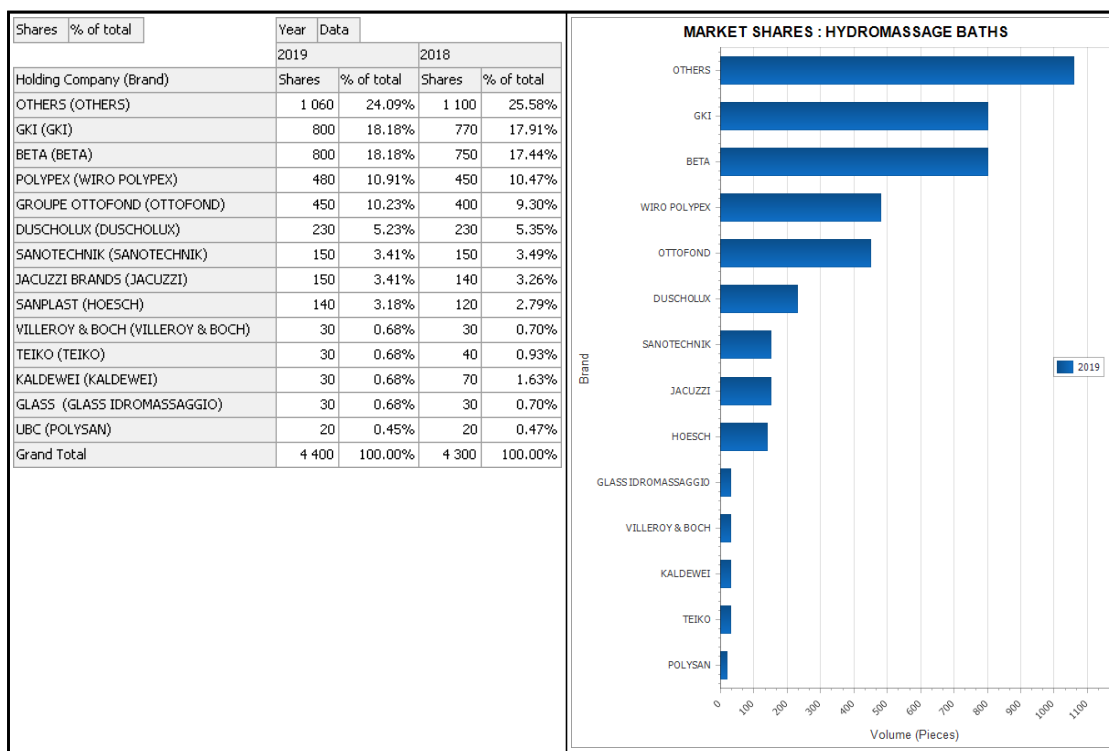
AT - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

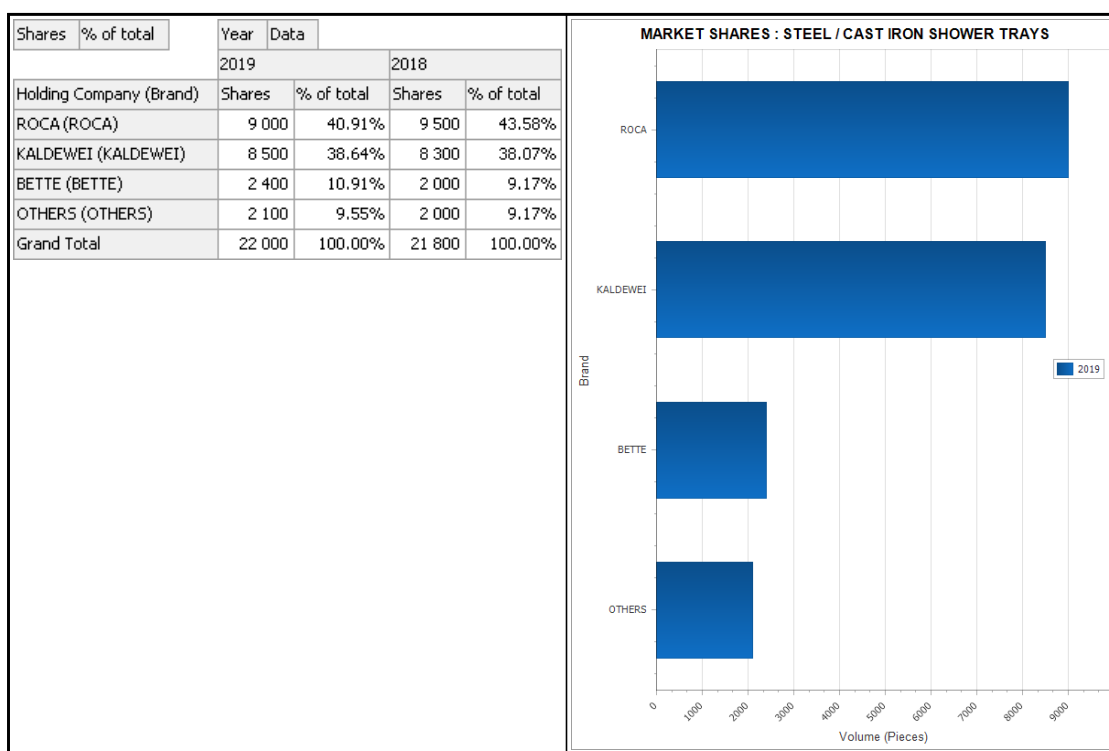
AT - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Steel / Cast Iron Shower Trays

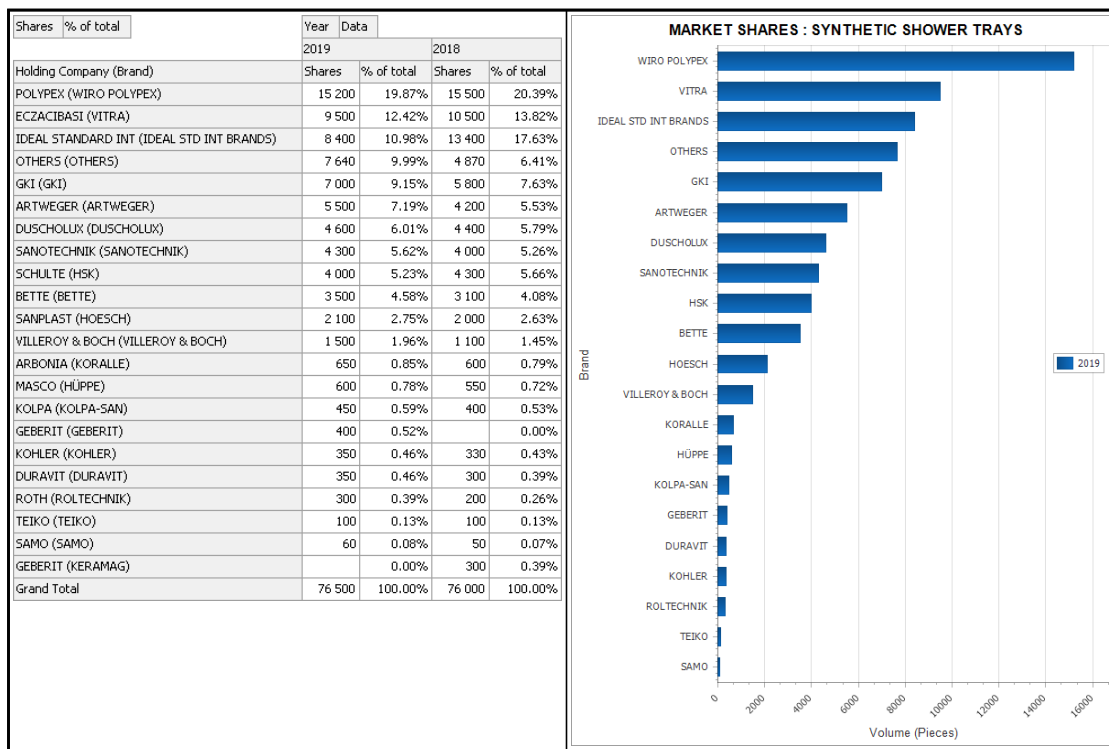
AT - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Synthetic Shower Trays

AT - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 AT - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1	100.0%	6	100.0%	0	45.4%	2	22.2%
OTHERS	0	0.0%	0	0.0%	0	54.6%	7	77.8%
Total	1	100.0%	6	100.0%	0	100.0%	9	100.0%

Source : Trademap

1.6.2 AT - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Denmark	3	54.7%	19	61.3%	0	0.0%	0	0.0%
Germany	2	43.8%	11	35.5%	0	100.0%	0	0.0%
Switzerland	0	1.6%	1	3.2%	0	0.0%	0	0.0%
Total	5	100.0%	31	100.0%	0	100.0%	0	0.0%

Source : Trademap

1.6.3 AT - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	440	71.0%	2 785	88.3%	418	74.9%	2 387	89.3%
Spain	168	27.1%	291	9.2%	127	22.8%	211	7.9%
Czech Republic	7	1.2%	30	1.0%	11	1.9%	53	2.0%
OTHERS	5	0.7%	48	1.5%	2	0.4%	21	0.8%
Total	619	100.0%	3 154	100.0%	558	100.0%	2 672	100.0%

Source : Trademap

1.6.4 AT - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Switzerland	39	81.5%	210	78.1%	32	74.9%	174	72.5%
Germany	9	18.2%	55	20.4%	10	24.2%	61	25.4%
OTHERS	0	0.3%	4	1.5%	0	0.9%	5	2.1%
Total	48	100.0%	269	100.0%	42	100.0%	240	100.0%

Source : Trademap

1.6.5 AT - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	3 986	49.3%	41 470	64.0%	2 714	53.0%	28 028	67.2%
Hungary	1 229	15.2%	5 937	9.2%	17	0.3%	127	0.3%
Slovenia	620	7.7%	3 608	5.6%	419	8.2%	2 466	5.9%
Egypt	564	7.0%	1 377	2.1%	444	8.7%	1 275	3.1%
Italy	344	4.3%	4 841	7.5%	403	7.9%	3 245	7.8%
Spain	324	4.0%	1 487	2.3%	218	4.3%	1 125	2.7%
Croatia	194	2.4%	1 512	2.3%	175	3.4%	1 334	3.2%
Poland	161	2.0%	1 159	1.8%	146	2.9%	1 181	2.8%
China	153	1.9%	425	0.7%	130	2.5%	405	1.0%
Bulgaria	127	1.6%	515	0.8%	110	2.1%	423	1.0%
United Kingdom	105	1.3%	406	0.6%	61	1.2%	274	0.7%
OTHERS	275	3.4%	2 044	3.2%	284	5.5%	1 849	4.4%
Total	8 081	100.0%	64 781	100.0%	5 122	100.0%	41 732	100.0%

Source : Trademap

1.6.6 AT - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	896	70.8%	19 015	77.8%	1 023	71.7%	17 238	74.8%
Switzerland	99	7.8%	2 844	11.6%	134	9.4%	3 141	13.6%
Czech Republic	75	5.9%	351	1.4%	58	4.1%	317	1.4%
Slovakia	44	3.5%	239	1.0%	28	2.0%	114	0.5%
Italy	25	1.9%	365	1.5%	22	1.6%	287	1.2%
Hungary	20	1.6%	138	0.6%	29	2.0%	125	0.5%
Slovenia	19	1.5%	95	0.4%	27	1.9%	153	0.7%
France	16	1.3%	309	1.3%	29	2.0%	318	1.4%
Belgium	13	1.1%	303	1.2%	14	1.0%	369	1.6%
OTHERS	60	4.7%	779	3.2%	63	4.4%	982	4.3%
Total	1 267	100.0%	24 438	100.0%	1 426	100.0%	23 044	100.0%

Source : Trademap

1.7.1 Route to Market: Baths
AT - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.4%
	Wholesalers / Merchants
	66.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.8%	2.2%	5.4%	5.3%	16.5%	8.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.0%		10.7%		25.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
8.9%	32.6%	2.3%	2.3%	0.8%
Installers				
46.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	17.6%	2.5%	8.2%	24.0%	45.9%	0.0%	0.2%	0.2%	0.2%	0.2%	1.0%
	Residential						Non-Residential					
	98.2%						1.8%					
New Build						Residential RMI						
27.4%						70.7%						
Project			Non-Project			Project			Non-Project			
18.2%			9.2%			27.5%			43.2%			

New Build						Non-Residential RMI					
0.7%						1.1%					
Project			Non-Project			Project			Non-Project		
0.5%			0.2%			0.9%			0.2%		

1.7.2 Route to Market: Baths
AT - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	62.0%
	Wholesalers / Merchants
	62.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.9%	2.4%	6.4%	5.5%	18.5%	8.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.3%		11.9%		27.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.6%	32.5%	2.4%	2.4%	0.3%
Installers				
43.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	3.6%	12.9%	3.6%	9.3%	26.5%	37.3%
	Residential					
	93.2%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.2%	0.3%	0.2%	0.2%	5.9%
Non-Residential					
6.8%					

New Build		Residential RMI	
28.2%		65.0%	
Project	Non-Project	Project	Non-Project
18.4%	9.8%	27.5%	37.5%

New Build		Non-Residential RMI	
2.7%		4.1%	
Project	Non-Project	Project	Non-Project
2.2%	0.5%	3.3%	0.8%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

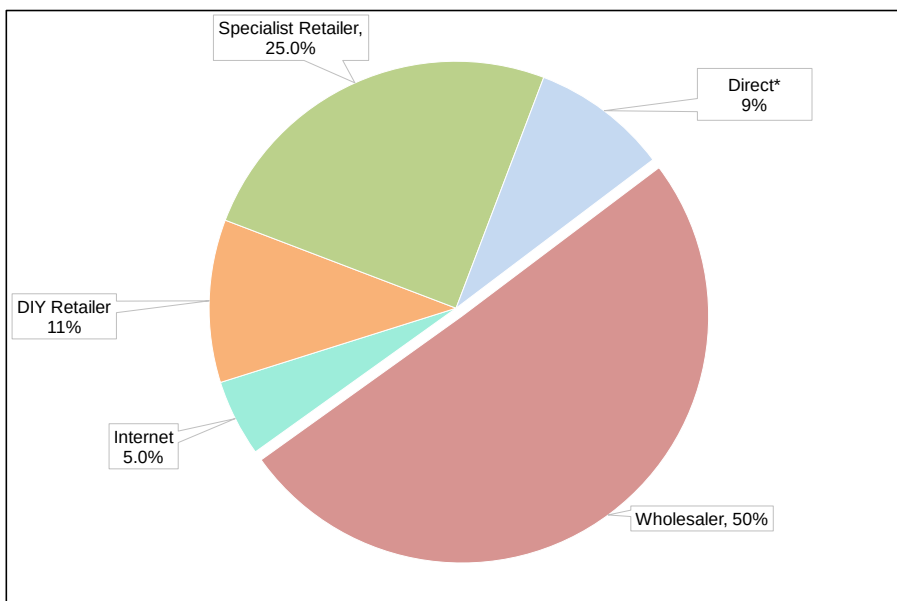
1.7.3 Route to Market - Consolidated View : Baths
AT - ESTIMATED DISTRIBUTION FOR BATHS : 2019

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
50.4%	5.0%	10.7%	25.0%	8.9%	45.7%	1.4%	52.5%	0.4%
100%					47.1%		52.9%	

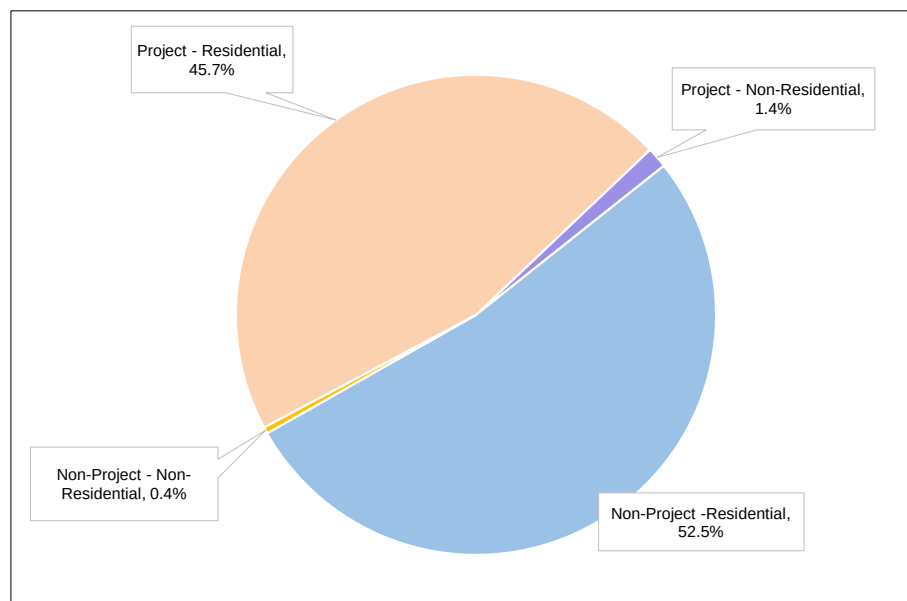
1.7.4 Route to Market - Consolidated View : Baths
AT - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
45.6%	6.3%	11.9%	27.0%	9.2%	45.9%	5.5%	47.3%	1.3%
100%					51.4%		48.6%	

AT - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



AT - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5 Route to Market: Shower Trays
AT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	64.1%
	Wholesalers / Merchants
	64.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.0%	3.4%	8.3%	11.1%	21.4%	3.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.4%		19.4%		24.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.3%	30.0%	1.3%	7.1%	1.4%
Installers				
42.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	16.2%	5.3%	12.1%	23.0%	41.9%	0.0%	0.4%	0.8%	0.2%	0.0%	0.1%
	Residential						Non-Residential					
	98.5%						1.5%					
New Build			Residential RMI			New Build			Non-Residential RMI			
18.9%			79.5%			0.5%			1.0%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
17.2%	1.7%		23.0%	56.5%		0.3%	0.2%		0.6%	0.4%		

1.7.6 Route to Market: Shower Trays
AT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.0%
	Wholesalers / Merchants
	57.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.2%	3.5%	10.5%	11.2%	25.0%	3.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.7%		21.7%		28.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.0%	30.0%	1.3%	7.1%	5.0%
Installers				
46.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.3%	8.9%	5.6%	14.3%	23.0%	46.0%
	Residential					
	98.1%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.4%	0.8%	0.3%	0.0%	0.4%
Non-Residential					
1.9%					

New Build			Residential RMI		
20.5%			77.6%		
Project	Non-Project		Project	Non-Project	
17.0%	3.5%		26.0%	51.6%	

New Build			Non-Residential RMI		
0.6%			1.3%		
Project	Non-Project		Project	Non-Project	
0.4%	0.2%		0.7%	0.6%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

AT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

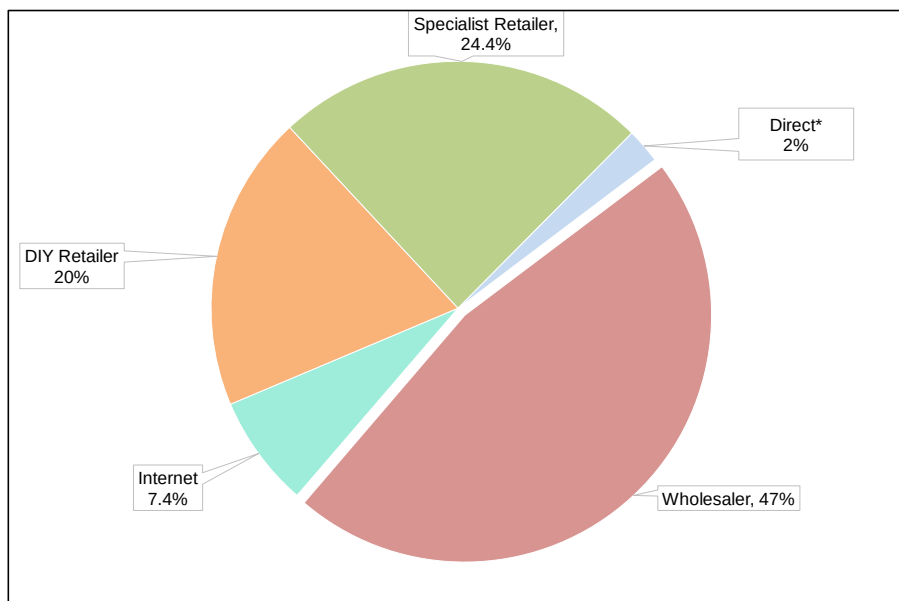
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
46.6%	7.4%	19.4%	24.4%	2.3%	40.2%	0.9%	58.3%	0.6%
100%					41.1%		58.9%	

1.7.8 Route to Market - Consolidated View : Shower Trays

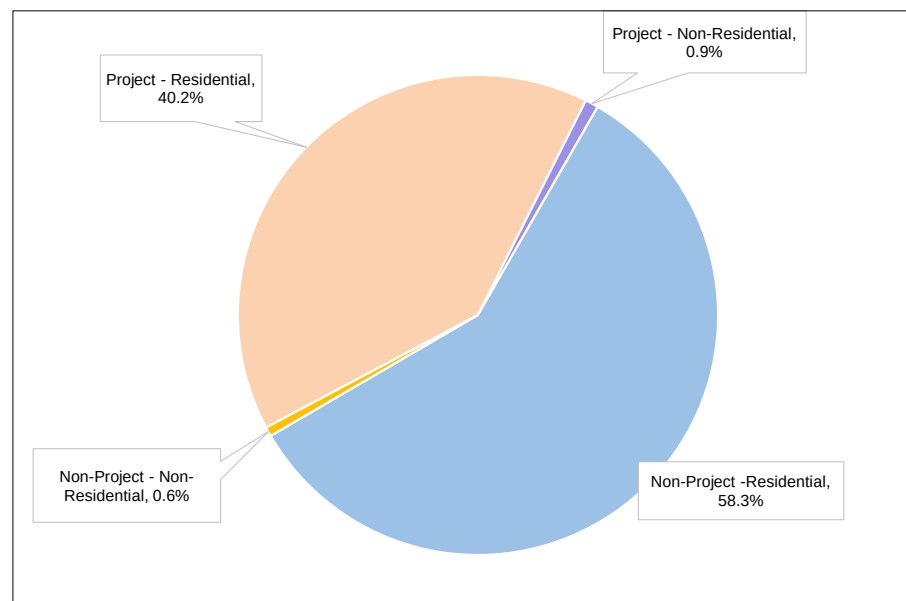
AT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
39.3%	7.7%	21.7%	28.0%	3.3%	43.0%	1.1%	55.1%	0.8%
100%					44.1%		55.9%	

AT - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



AT - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



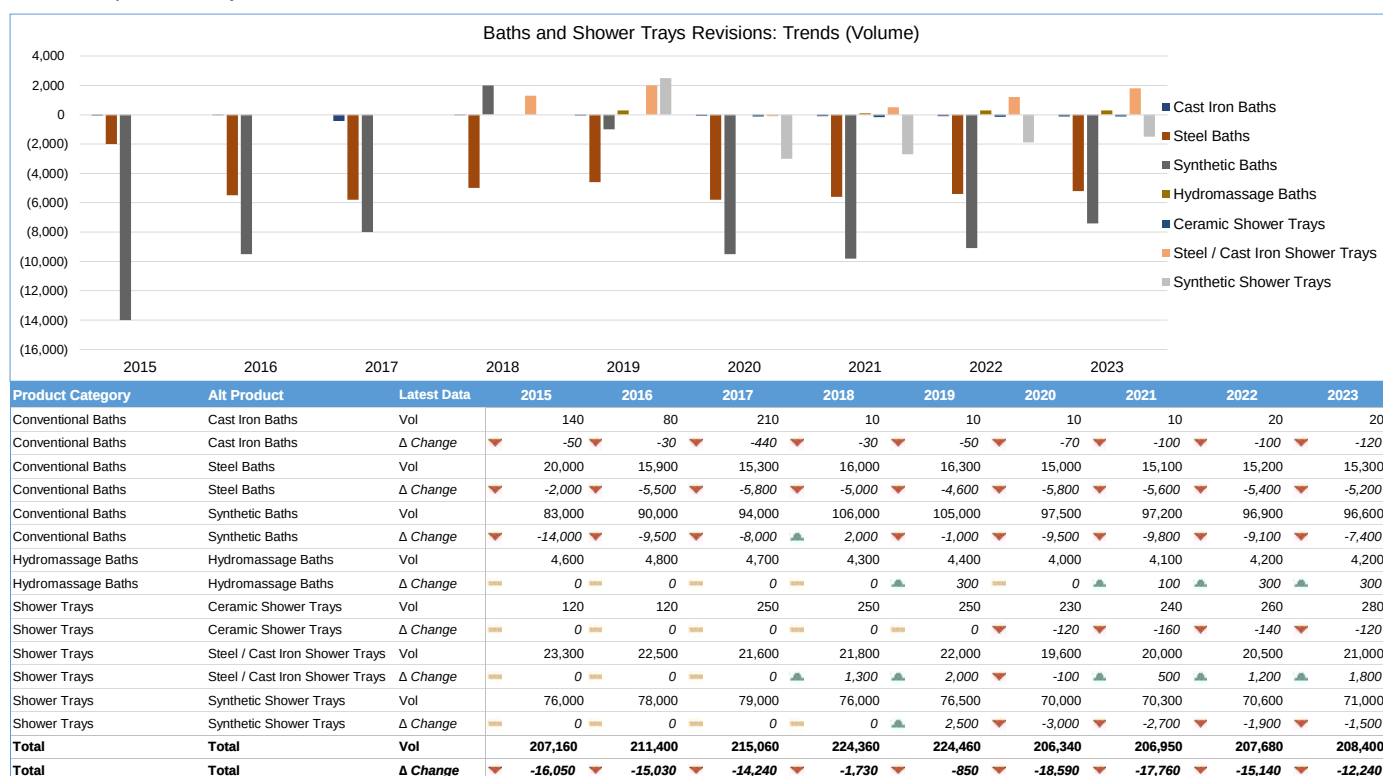
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Austrian Baths and Shower Trays Market (July 2020)

AT - REVISIONS IN THE AUSTRIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: July 2019



The market volume for cast iron baths was revised historically according to import/ export statistics. The forecast was adjusted down according to industry feedback, which suggest that is lower than expected. Cast iron baths are a niche product for the luxury market and demand is limited to occasional purchases from private individuals or luxury hotels.

Demand for steels baths was significantly revised down historically and adjusted down for the forecast period. Demand for steel baths was impacted by the trend towards showering more than expected. During a bathroom renovation, it is more likely to install a large shower instead of replacing the old bath. This trend has been impacting the market for several years and it has reduced the total market more than expected.

Demand for synthetic bath has been revised down historically and adjusted down for the forecast period. Like for steel baths, demand for synthetic baths has been impacted by the trend towards showering. However, the impact is expected to be less strong when compared to steel baths.

Demand for hydromassage baths was slightly revised up for the year 2019. The increase was due to stronger demand from new housing and the non-housing segment.

Demand for steel shower was revised up for the years 2018 until 2023, except for 2020. Steel shower trays are believed to have stronger demand due to their better quality and longer lifespan. Growth is expected from all three end use segments for most of the years. Moreover, shower trays are believed to profit from the trend away from walk-in showers. 2020 is an exception due to the negative impact of the COVID-19 crisis.

Demand for synthetic shower trays has been slightly revised up for the year 2019 according to industry feedback. During the forecast period weaker demand is expected from the new housing and renovation segments. A main reason is the shift towards the higher quality material steel, which is expected to impacts demand of synthetic shower trays in a more negative way.

AUSTRIA

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Austrian sanitaryware market saw a good period of growth in the early 1990s. This trend, however, was not to last long and, in the mid-1990s, consumer expenditure fell drastically despite the ongoing boom in new housing construction. This economic downturn led to a lack of consumer confidence, aggravated by the effects of the government's austerity programme and by regular announcements of job cuts and bankruptcies. The morose economic climate deterred Austrian homeowners from undertaking renovation works, and tight public budgets had a negative effect on public spending. The market followed this negative trend from 1995 until 2003. After that, the market grew marginally until the economic crisis took its toll and the market started declining partly again in 2008, 2009 and 2013, although not as strongly as seen in other European countries. After that, the market started to grow again, as new construction and RMI investments had a positive effect. The polarisation of the market between high-end products and lower priced economy products continued.

However, the mature Austrian sanitaryware market largely relies on cyclical economic drivers. Sales of plastic cisterns, as well as ceramic sanitaryware products, are closely linked to overall economic development as well as construction expenditure. The lifespan of ceramic sanitaryware, as well as the plastic cisterns, is quite high, sometimes reaching up to 35 years for ceramic sanitaryware, as the Austrians are quality-focused, and the market tends to reject low-quality products.

Nowadays, most water closets (WCs) sold are wall hung models with a concave pan. Sales of wall hung WCs dominate in the public, commercial and hotel sectors and have been increasingly popular in one- and two-family houses; however, there is a large park of WCs with a flat pan already installed. In 2012, rimless WCs were introduced for the first time on the Austrian market by KERAMAG. Despite higher price levels, rimless WCs were quickly accepted, as Austrian consumers focus on product quality and are reportedly willing to pay a premium for a clear distinguishable product advantage. Almost all market players entered the rimless WC market soon after, and this market has developed steadily since then. Currently, it is estimated that in 2019 the share of rimless WCs in the Austrian market reached around a fifth of the total WC market.

Most washbasins are built-in washbasins, and such products certainly benefit from the increasing focus of consumers on the bathroom furniture market. Double washbasins are increasingly replaced with pairs of washbasins or larger single universal washbasins. Hand washbasins are usually installed in toilet rooms or guest bathrooms. Recently, other materials were also introduced to the market, for example, glass, stainless steel and mineral cast products.

Most pedestals sold are half pedestals. The share of ceramic shower trays is negligible. The large majority of ceramic sanitaryware products are white. For non-

white products, muted colours are preferred over bright colours. Both the bidet and urinal markets are rather small. Urinals are usually only installed in public toilets and rarely in private dwellings.

Most WC cisterns sold in Austria are made of plastic, and concealed systems with wall hung WCs are the standard. It is likely that concealed cisterns are gaining share at the expense of exposed alternatives during a full bathroom renovation. Exposed plastic cisterns are almost non-existent in the new housing segment and demand for the total market is shrinking.

The market leader in both market segments, GEBERIT, already sells more concealed cisterns than exposed ones. Concealed cisterns are used in almost all public sector applications with the exception of social housing. Most concealed cisterns are six litre models. Almost all are sold with pre-fitted push-type selected flush mechanisms and are manually operated. Most concealed cisterns are fitted using frames, both using dry and wet techniques. The pattern of sales of concealed cisterns follows closely that of wall hung WCs. They have a large share in the new institutional and commercial sectors but also in new dwellings. However, the park is still exposed cistern dominated.

Recent Market Trends

Trends on the Austrian sanitaryware market in 2019 were largely a continuation of the sales trend seen in 2018. The overall market benefited in particular from the strong construction market. Even if the new apartment completions declined slightly when compared to 2018, construction output remained on a high level. The strong level in the new housing segment was also supported by the large number of dwellings designed for the refugees who immigrated to Austria mostly in 2015. Another reason for the growth of the overall sanitaryware market was the replacement activity throughout 2019. However, looking at 2019 as a whole, different products again recorded different trends. Regarding the ceramic sanitaryware market, increasing demand for WC and washbasins has compensated for the loss caused by 'Other' CSW, and led to an increase of the total ceramic sanitaryware market in 2019.

The category 'Other' CSW has been decreasing for years, and this continued in 2019 as well. This market segment consists of products that are declining in sales, e.g. pedestals and half pedestals. Pedestal sales by major manufacturers have almost entirely vanished, and have been replaced by bathroom furniture. Half pedestals can still be found on the market, e.g. in secondary bathrooms or low-cost hotels (both being places that usually do not feature bathroom furniture). In the washbasin market, built-in washbasins remain the most popular type, thanks to the growing bathroom furniture market. Urinals are rarely used in residential houses and their demand primarily depends on the development of non-housing construction.

The share of floor standing WCs, which mostly use a low-level wall hung plastic cistern, have continued to fall, with wall hung WCs gaining share. Rimless WCs

reportedly experienced strong positive momentum. With a growing share of wall hung toilets, sales of concealed models have increased strongly again, whereas a further decline in exposed plastic cisterns has been seen. This continues to be witnessed on the Austrian market for plastic cisterns; a trend which started as early as the 1990s.

Prices and Market Values

Sanitaryware pricing depends on the locality of the manufacturer and how wide their distribution is. Local manufacturers are more sensitive to local price shifts and sensitivity, while larger manufacturers can maintain fixed nationwide price strategies. Sanitaryware usually provides dealers with a margin of approximately 40% of the list price; this figure can increase to up to 60% if dealers sign one-year contracts with manufacturers in advance.

The Austrian sanitaryware market is a high-priced market in which consumers appreciate high-quality products. As private consumption and quality awareness in Austria are increasing, consumers shift towards higher quality and higher priced products, which is reflected in an increase in average prices. On the other hand, the gap between rich and poor is also increasing in Austria. Hence, the middle price segment is losing share of the total sales.

Products in the lower price segment are sold mainly through DIY stores. The economy price segment has long been accounted for by single pieces. However, DIY stores have started to offer complete lines. These products are usually sourced from Asian or Eastern European manufacturers and/or importers. Products in the upper segment are sold mainly through specialist retailers; they very often offer complete lines and usually work with West European manufacturers or importers.

The manufacturer's selling price (MSP) for all sanitaryware products increased in 2019 at a similar pace to previous years, as labour and raw material costs grew. Due to the maturity of the sanitaryware market, the levels of margins are already low, so the manufacturers had to pass the increasing costs on to the distributors. Changes in the price segmentations also pushed up the average prices.

New Housing

Like in many Western European countries, the new housing segment is no longer a crucial source of demand, as the sanitaryware market is mature. Thanks to the high level of new dwellings completed in 2019, overall sales of sanitaryware products to new housing stayed high compared to the past years, however they slightly declined when compared to 2018. In alignment with fewer new dwelling constructions, demand for sanitaryware slightly decreased when compared to the last year. This was the case for both the sanitaryware and plastic cistern markets.

Taking a look at the sanitaryware segment, all products recorded a decrease in the new housing segment, when compared to 2018. Along with the development of the bathroom furniture market, the trend away from pedestal towards countertop

washbasins and, to a much lesser extent, washbasin only, continued further in 2019. Bidets are rarely used in new residential dwellings, unless for the high-end range, but demand remained resilient.

As far as sales of plastic cisterns were concerned, in 2019 demand for concealed instead of exposed models continued to be the key characteristic of a market increasingly focused on quality and design. Such a trend was particularly visible in new housing, as consumers prefer the minimalist designs that concealed plastic cisterns offer. Moreover, new housing should see a clear move away from exposed towards plastic cisterns in the foreseeable future, with the volumes sales of exposed plastic cisterns clearly expected to follow a downward trend over 2020 to 2024.

Housing RMI

As mentioned previously, the Austrian sanitaryware market is a mature one and, as such, relies on housing RMI for the bulk of its sales and should continue to do so in the coming years. Like other bathroom products in Austria, the country has a long history with sanitaryware. Due to the good quality of the products, the lifespan of the ceramic sanitaryware is on average up to 30 years, and for cisterns 20 years, which results in a low replacement ratio per system. Additionally, the changing demographics in Austria means that age/accessibility appropriate items are required to cater to the needs of the elderly. However, in the future the bathroom RMI segment could still benefit from low interest rates and consequent investments in property instead of savings. The RMI share is considerably higher for exposed cisterns, as these are typically replacement products. Demand for exposed cisterns strongly declined in 2019 to the benefit of concealed plastic cisterns.

Regarding product mix, floor standing toilets are increasingly replaced by wall hung models. The sales number of pedestals and half pedestals is strongly decreasing in this segment. When replacing a washbasin, it is more likely to make use of bathroom furniture instead. Plastic cistern sales show slight differences, with concealed plastic cisterns having a larger share compared to exposed plastic cisterns. In 2019 demand for ceramic sanitary ware slightly increased in this end use segment. This growth was mainly carried by washbasins and WCs, which account for the largest share in terms of volume in this segment. Demand for non-ceramic washbasins slightly increased and the growth was similar to previous years. It is expected that demand for all products is likely to decline strongly in 2020 as a consequence of COVID-19 lockdown measures and economic uncertainty.

Non-Housing

The non-housing market is primarily made up of hotels, which represent the bulk of sales for other ceramic sanitaryware, but there is also a relatively large market for WCs and washbasins in offices and commercial buildings. In new non-housing constructions, wall hung toilets and concealed cisterns are increasingly common, while bidets and ceramic shower trays are losing share, relying instead on non-

housing renovation. Non-housing replacement represents the bulk of sales and it is the segment which has grown the most in recent years within the non-housing market. Overall demand for ceramic sanitary ware slightly increased in 2019 and demand for most products was positive. Similar to other end use segments, demand for all products in 2020 is expected to decline strongly. The non-housing market is believed to return to growth from 2021 onwards.

Supply Structure

The supply side of the market remained moderately stable in 2019 with no major changes having been recorded. The Austrian ceramic sanitaryware market is fragmented with a high number of active importers. The only domestic supplier in the market is LAUFEN AUSTRIA (ROCA), formerly ÖSPAG. ROCA has two plants in Austria. Most imports come from German manufacturers, including VILLEROY & BOCH, DURAVIT and KERAMAG.

Poland, Italy, Czech Republic, India, Turkey, and Ukraine are further important countries for ceramic sanitary ware products. Products imported from the Far East such as China are likely to be sold in popular DIY stores. However, DIY stores also source their products directly from manufacturers, explaining why the price levels in Austria tend to remain high. Other manufacturers that sell their products in DIY stores include JIKA and CERAVID. Branded products in the economy segment are channelled through DIY wholesalers to the DIY stores. Other important exports are from Turkey including those from VITRA, EGE VITRIFYE and SEREL.

Benefiting from the synergy with LIXIL, the taps and mixers manufacturer GROHE also entered the ceramic sanitaryware market in 2017. However, sales here remain quite limited.

The unchallenged market leader in the cistern segment is still Swiss manufacturer GEBERIT, which imports a large share of its products from its sites in Germany. Most products are sold through wholesalers, but a portion reaches DIY stores through DIY wholesalers. GEBERIT has a manufacturing facility in Austria in Sankt Pölten, Niederösterreich, which is one of GEBERIT's four main production sites, plus another smaller production location in Matrei am Brenner. The biggest import country is Germany. The sources of these imports are GEBERIT, JOMO and SANIT EISENBERG. WISA products, sourced from the Netherlands, are sold exclusively through DIY wholesalers, whereas JOMO products are also found in DIY shops.

Due to a change in GEBERIT's brand portfolio, the group rebranded all bathroom products from KERAMAG and start to sell them as GEBERIT from 2019.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has

attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

In the first half of 2020 the sanitaryware market in Austria has experienced a negative development when compared to 2019. This development is the result of the Covid-19 crisis, and in particular due to the closure of the construction sites in March as well as further restrictions on the construction market. All sanitaryware products were affected, therefore the trends among all products decreased at a similar rate. The market is predicted to recover during the second half of 2020, however sales will not reach the level of 2019. In particular, RMI activities and non-residential construction output are predicted to decline strongly in 2020, while the new housing construction will reach a marginal growth thanks to high demand for new dwellings.

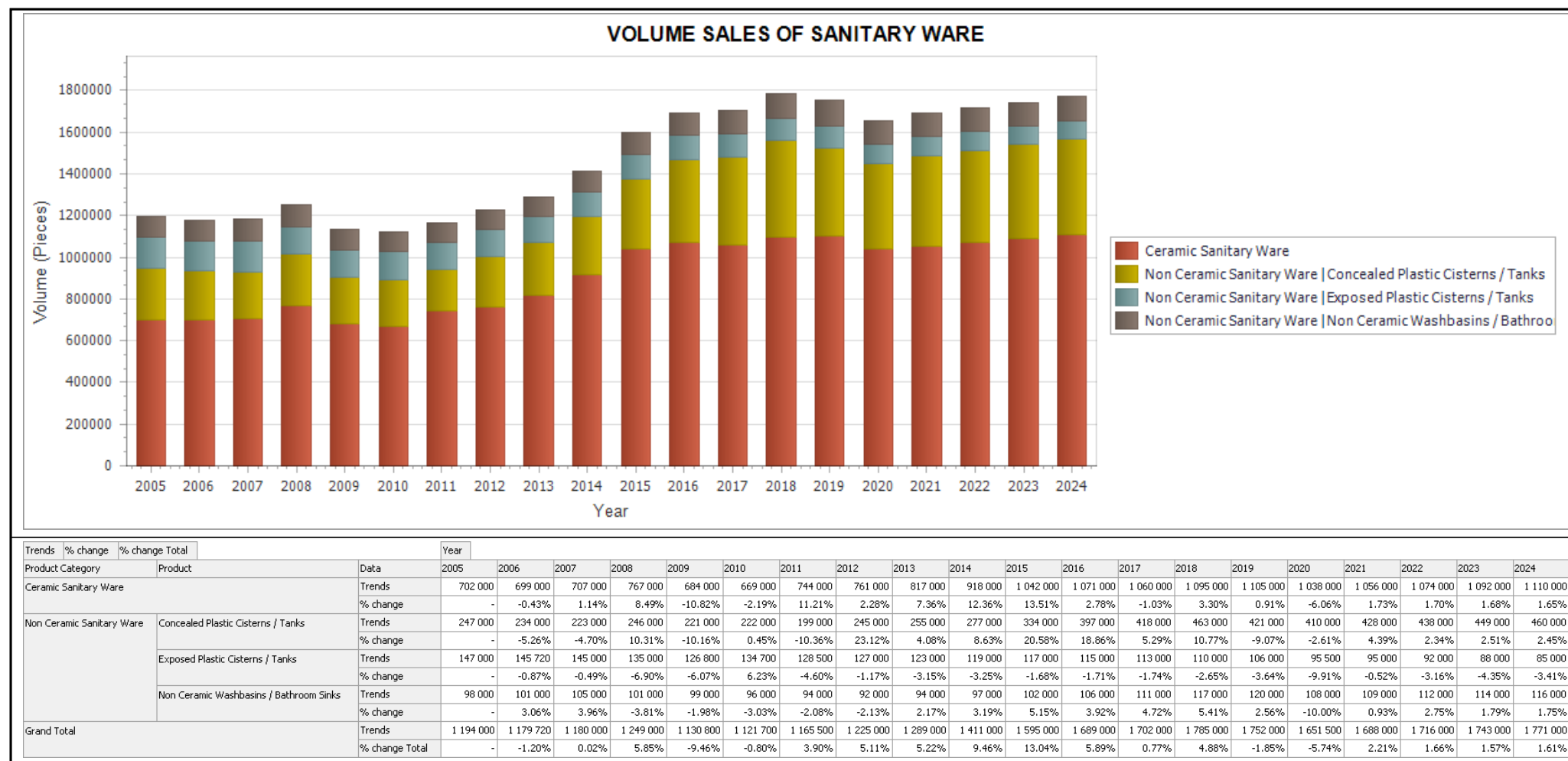
Regarding the product mix no major changes are expected, but the trends should be more intensified by 2024. Hence, products are predicted to follow their trends and develop further in different directions. Floor standing toilets should continue to lose share to wall hung toilets. BRG expects that rimless WC sales are predicted to increase strongly in the coming years. Without-ledge (rimless) models are expected to account for about half of the total WC market volume by 2020. The market is dominated by domestic players who push this type of rimless WC. Other CSW product sales, which include amongst others pedestals and half pedestals, are projected to strongly decline further.

In the cistern segment, the growing trend towards concealed models is expected to continue, as the trend towards higher-priced sanitaryware products is likely to continue and sales of exposed cisterns are predicted to decline.

Future demand for sanitaryware products is vulnerable to any changes that could occur in construction output and consumer expenditure. Interest rates may also be a strong influence on the purchasing behaviour of households, so a change in the ECB's (European Central Bank) interest rate policy could have a strong effect on the market.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

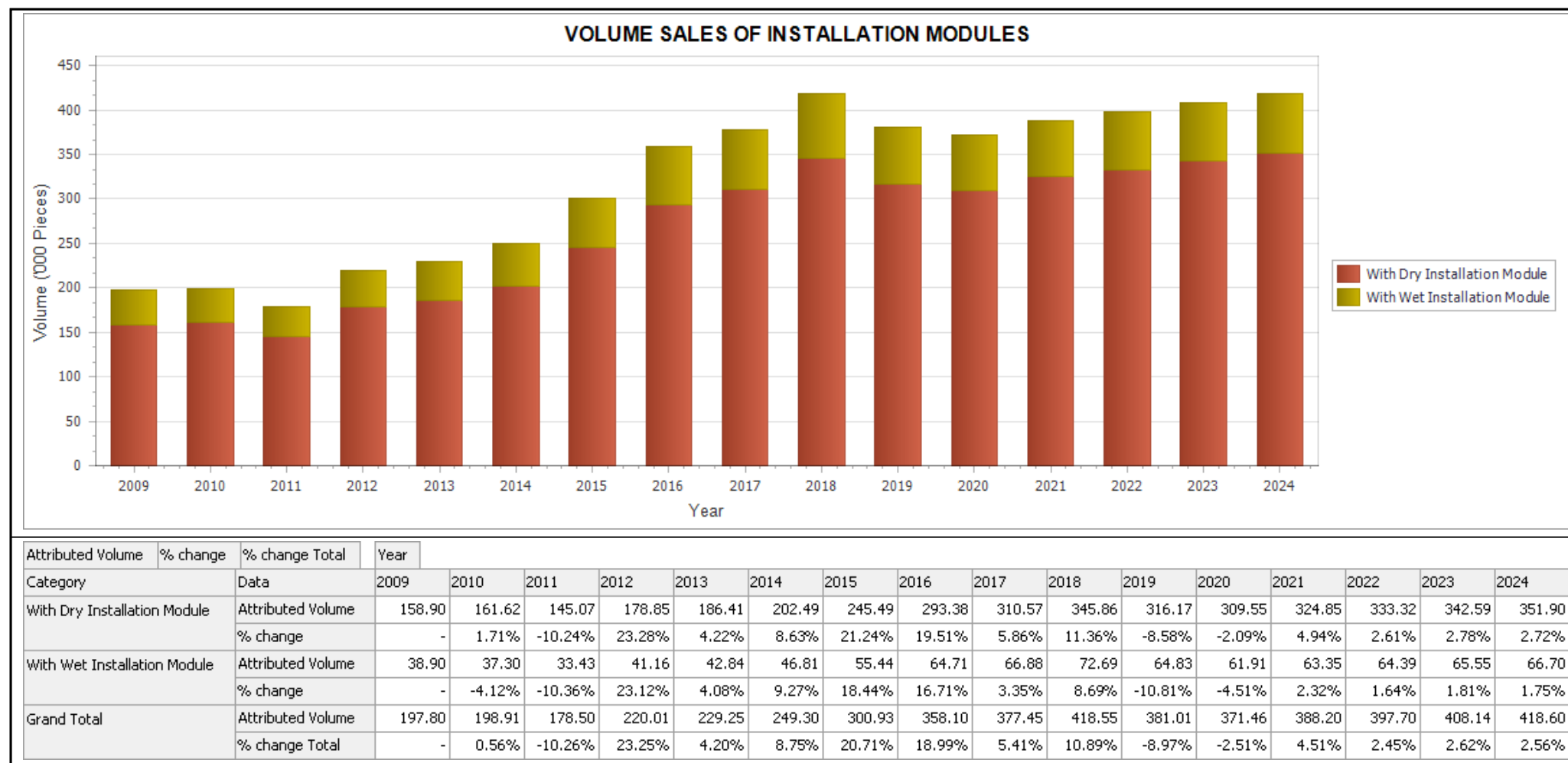
AT - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

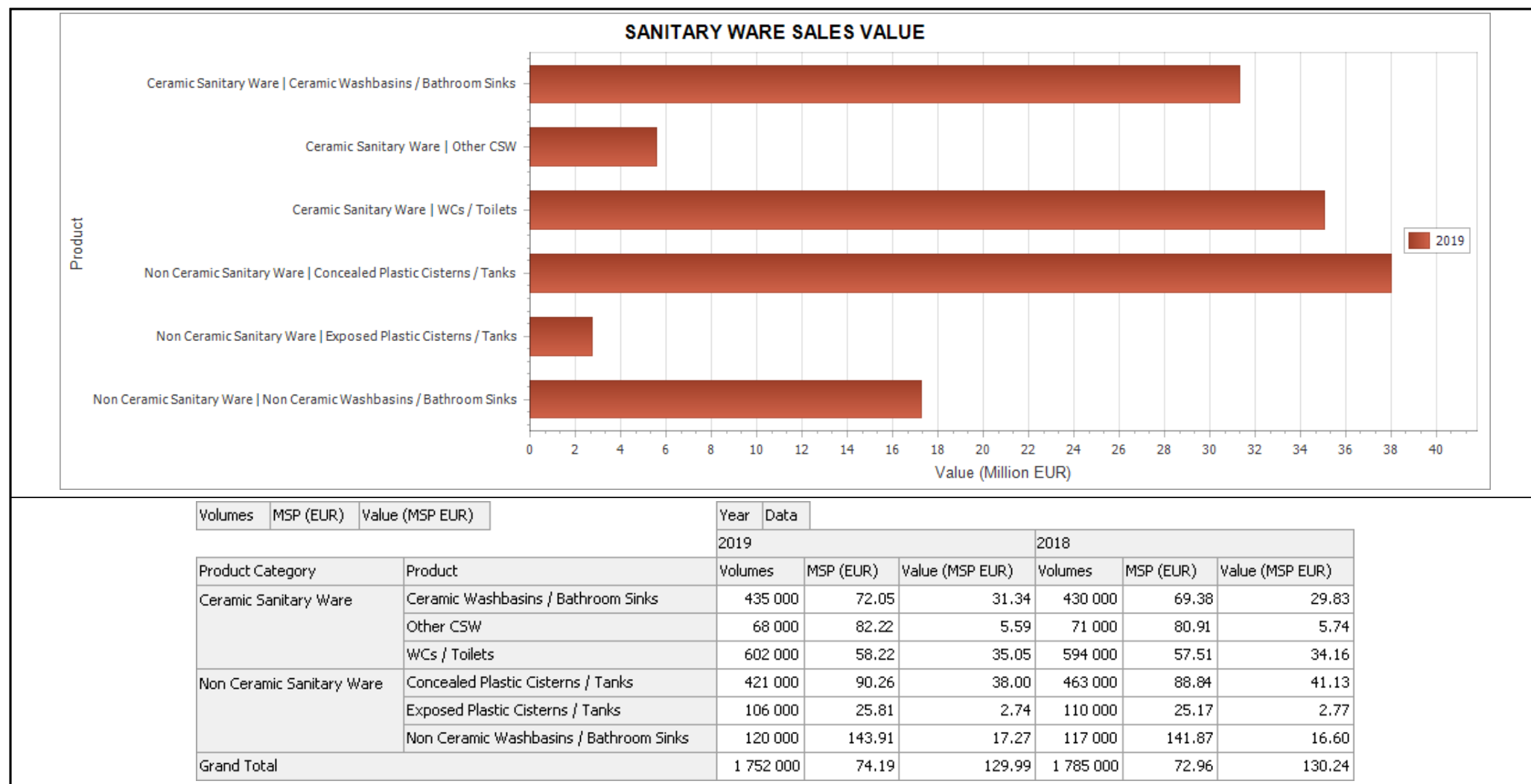
AT - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

AT - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

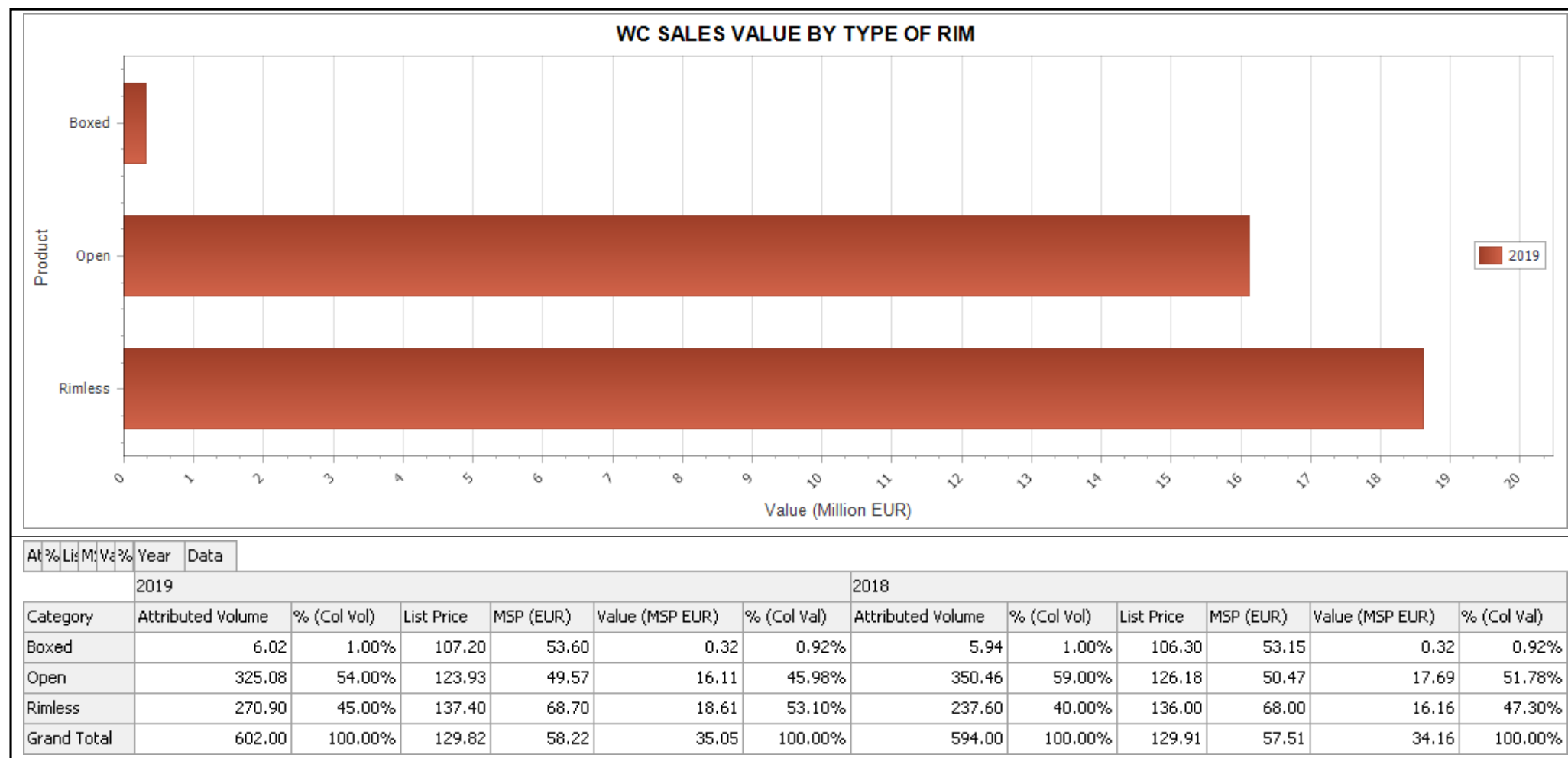
AT - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed %	% (Col Vol)	List Price	MSP (EUR)	Value (MSP	% (Col Val)	Year	Data						
2019								2018					
Alt Product	Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	226.20	52.00%	200.00	92.00	20.81	66.40%	208.55	48.50%	197.83	91.00	18.98	63.62%
	Hand Washbasins	47.85	11.00%	54.15	28.70	1.37	4.38%	49.45	11.50%	53.40	28.30	1.40	4.69%
	Inset Washbasins	16.10	3.70%	148.60	74.30	1.20	3.82%	15.48	3.60%	147.20	73.60	1.14	3.82%
	Pedestal Washbasins	11.75	2.70%	104.00	52.00	0.61	1.95%	12.04	2.80%	101.00	50.50	0.61	2.04%
	Semi-Recessed Washbasins	4.35	1.00%	155.00	77.50	0.34	1.08%	3.87	0.90%	153.40	76.70	0.30	1.00%
	Undermount Washbasins	19.14	4.40%	137.20	68.60	1.31	4.19%	18.06	4.20%	135.20	67.60	1.22	4.09%
	Wall Hung Washbasins	109.62	25.20%	104.00	52.00	5.70	18.19%	122.55	28.50%	101.00	50.50	6.19	20.75%
Other CSW	Bidets	10.61	15.60%	97.12	50.50	0.54	9.58%	11.22	15.80%	93.05	49.50	0.56	9.67%
	Close-Coupled Cisterns	9.14	13.43%	137.17	72.70	0.66	11.88%	9.28	13.07%	136.60	72.40	0.67	11.69%
	Kitchen Sinks	6.80	10.00%	496.50	208.63	1.42	25.37%	7.30	10.28%	488.93	205.50	1.50	26.12%
	Others	3.40	5.00%	50.58	26.30	0.09	1.60%	3.55	5.00%	49.44	26.30	0.09	1.63%
	Pedestals & Half Pedestals	17.00	25.00%	74.53	39.50	0.67	12.01%	18.46	26.00%	73.58	39.00	0.72	12.53%
	Shower Trays	0.25	0.37%	453.81	190.69	0.05	0.85%	0.25	0.35%	446.89	187.83	0.05	0.82%
	Urinals	20.81	30.60%	196.23	104.00	2.16	38.70%	20.95	29.50%	193.61	103.00	2.16	37.55%
WCs / Toilets	Close-Coupled WC Bowls	24.08	4.00%	151.11	68.00	1.64	4.67%	23.76	4.00%	150.00	67.50	1.60	4.69%
	Floor Standing WC Bowls	180.60	30.00%	117.78	53.00	9.57	27.31%	196.02	33.00%	116.67	52.50	10.29	30.13%
	Wall Hung WC Bowls	397.32	66.00%	133.33	60.00	23.84	68.02%	374.22	63.00%	132.22	59.50	22.27	65.18%
Grand Total		1 105.01	100.00%	140.57	65.14	71.98	100.00%	1 095.00	100.00%	137.26	63.69	69.74	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

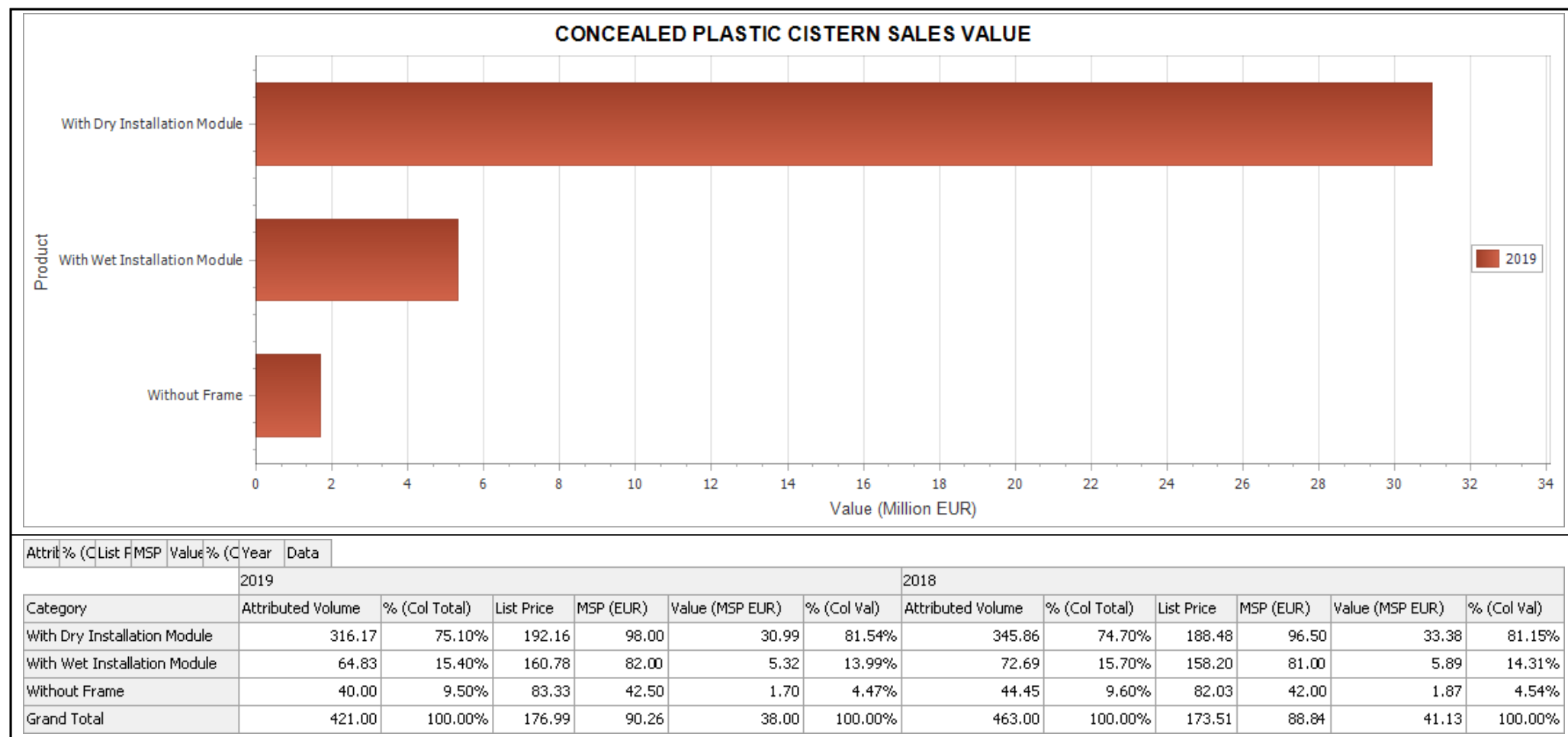
AT - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

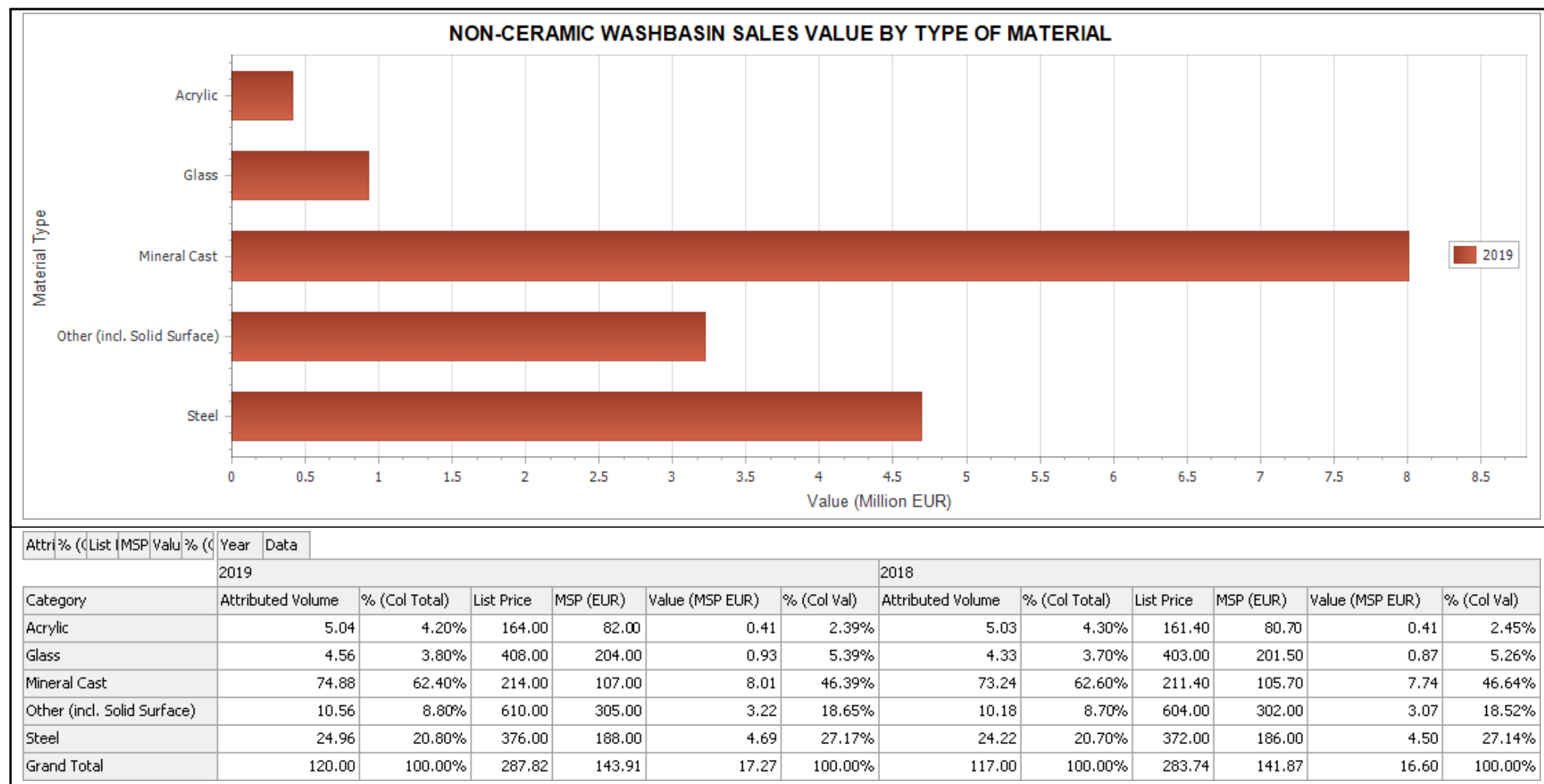
AT - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

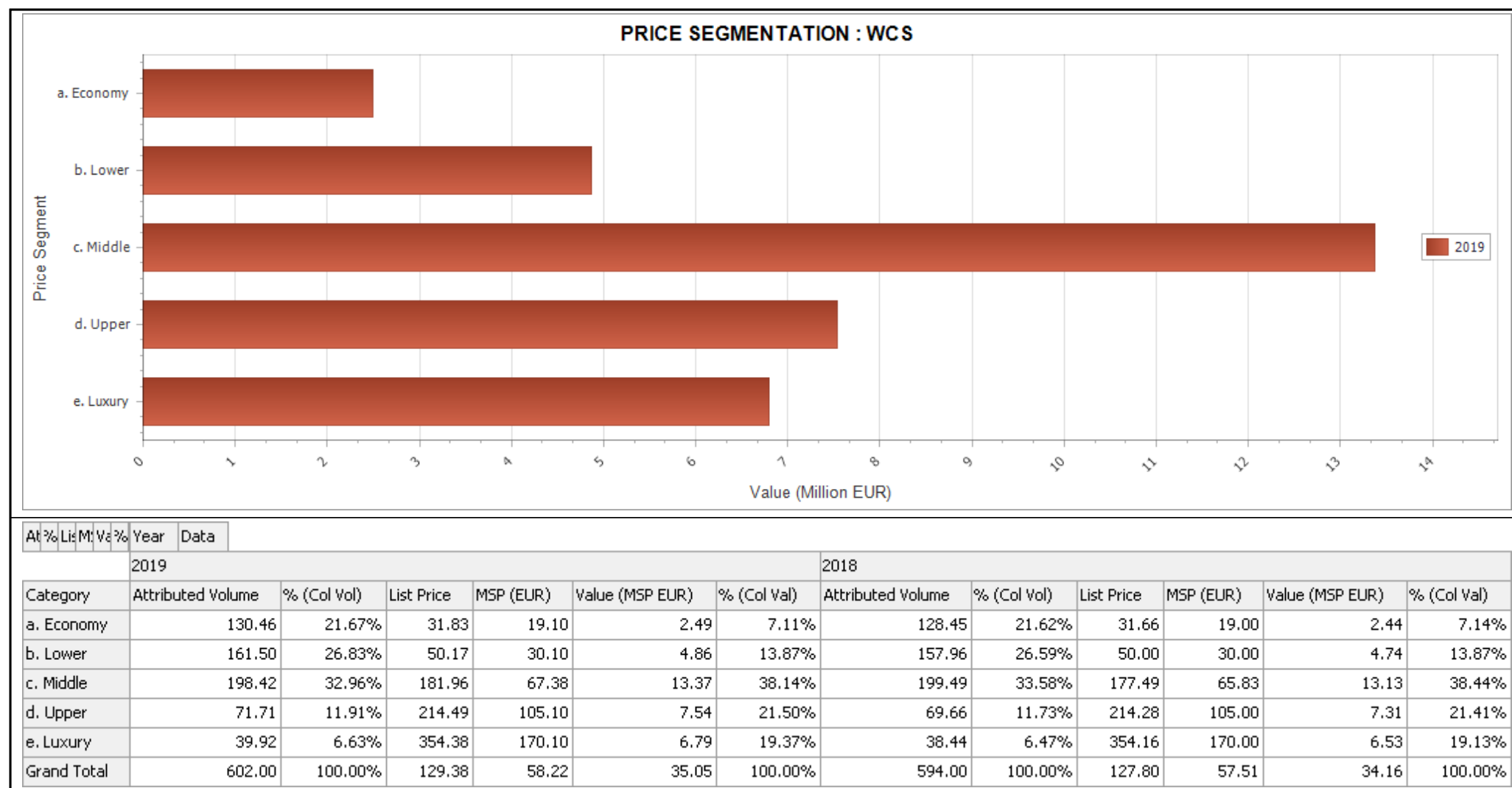
AT - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

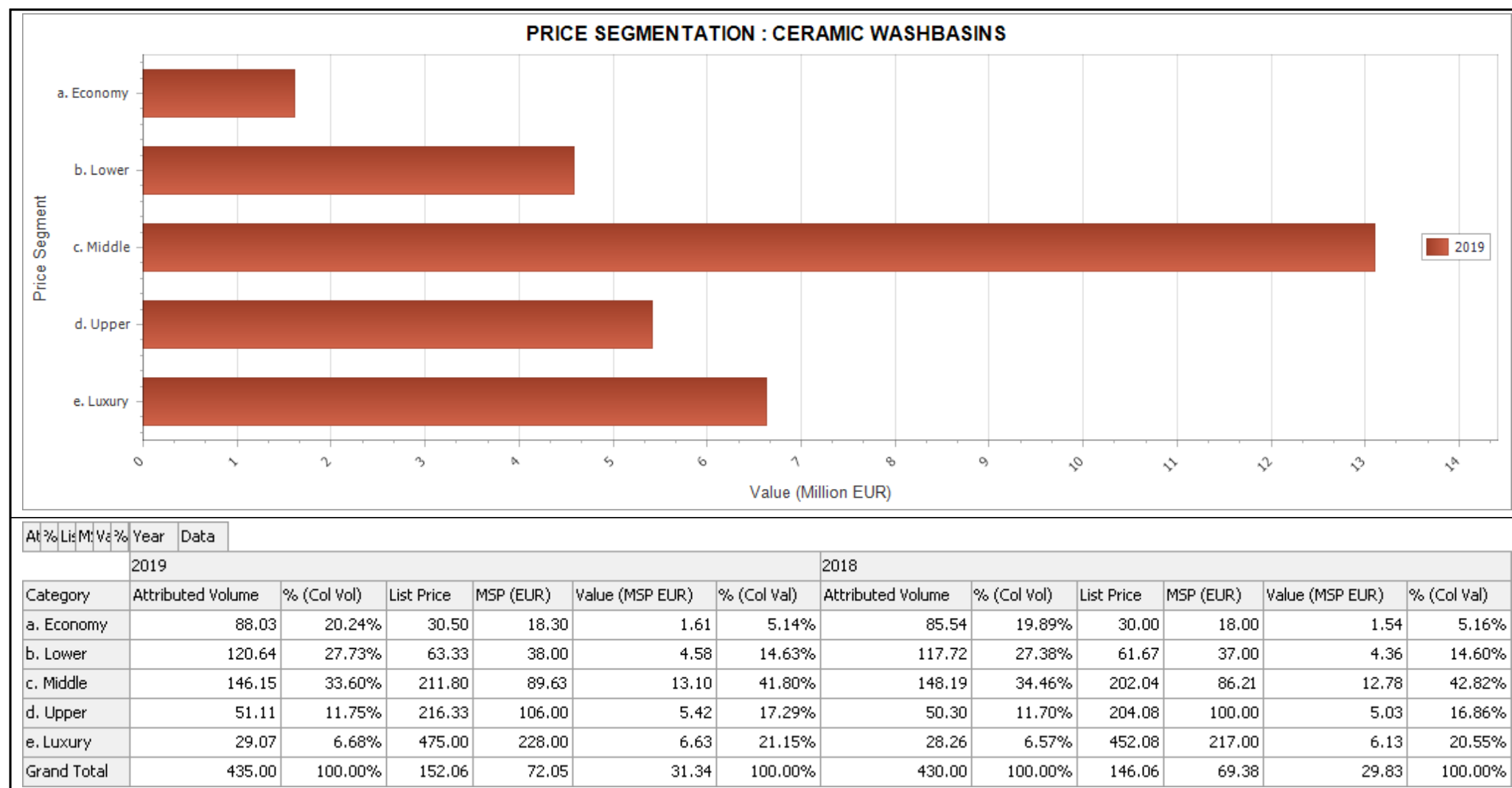
AT - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€80, Upper €80-€120, Luxury >€120

2.3.7 Price Segmentation : Ceramic Washbasins

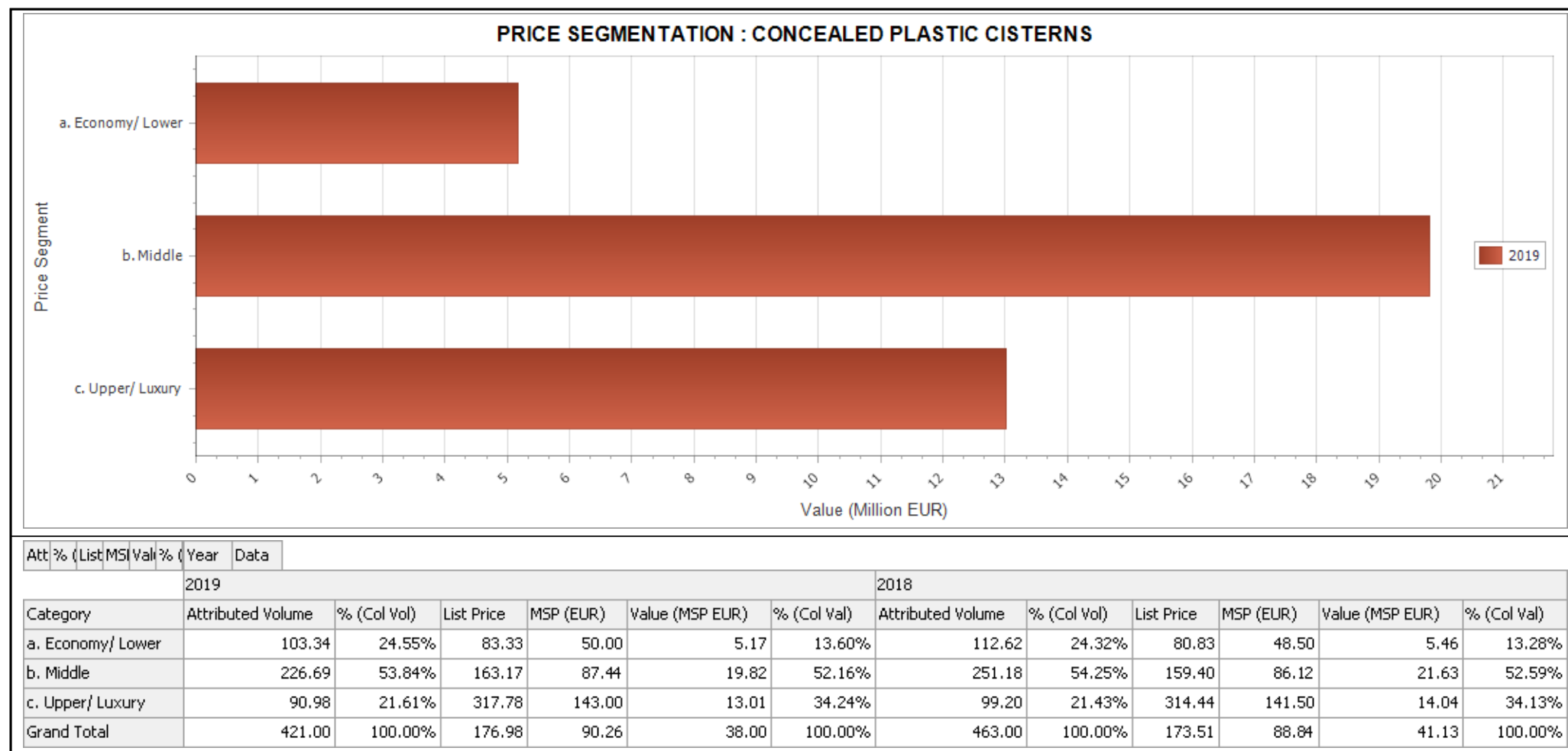
AT - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€80, Upper €80-€120, Luxury >€120

2.3.8 Price Segmentation : Concealed Plastic Cisterns

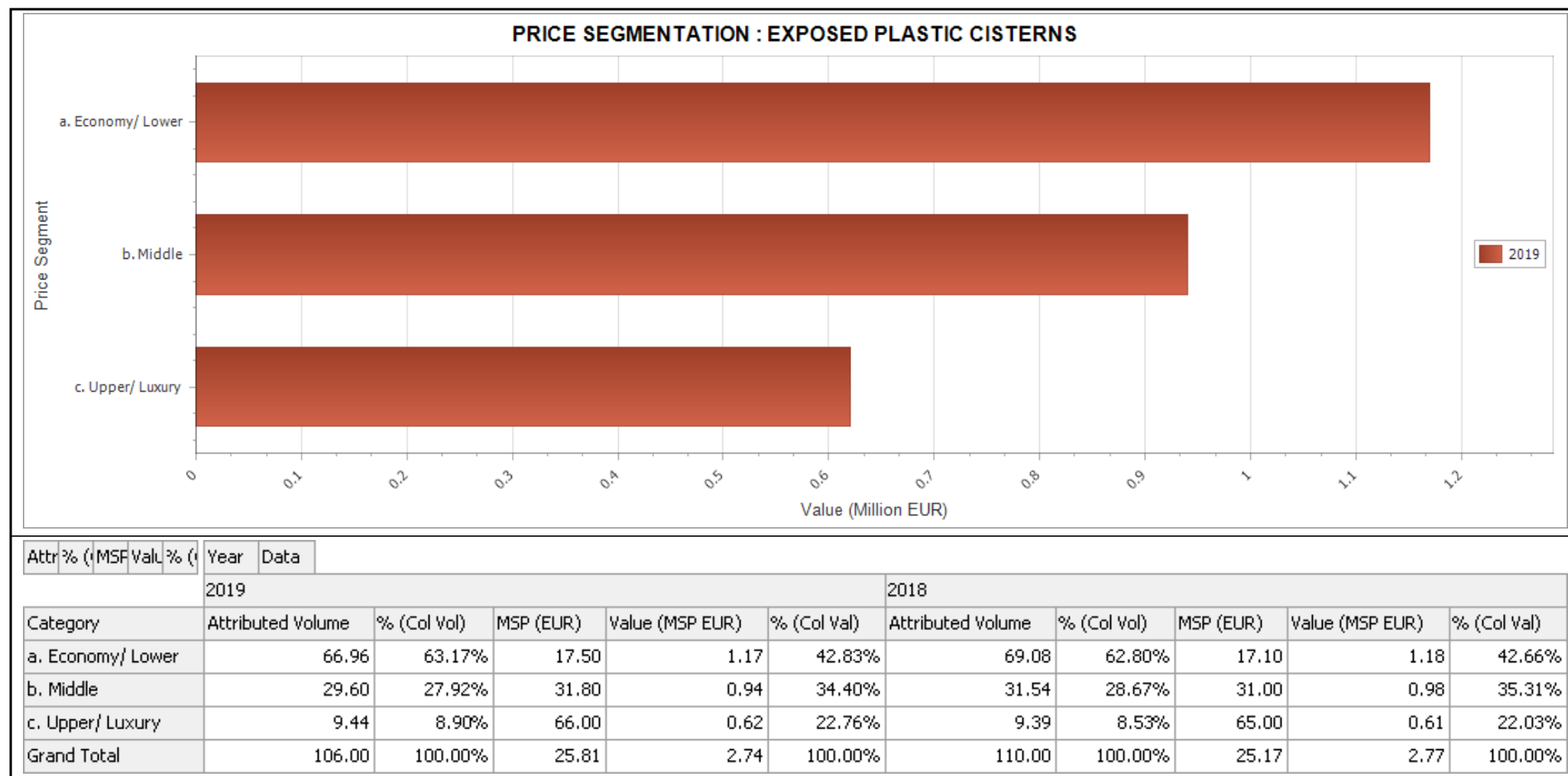
AT - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

2.3.9 Price Segmentation : Exposed Plastic Cisterns

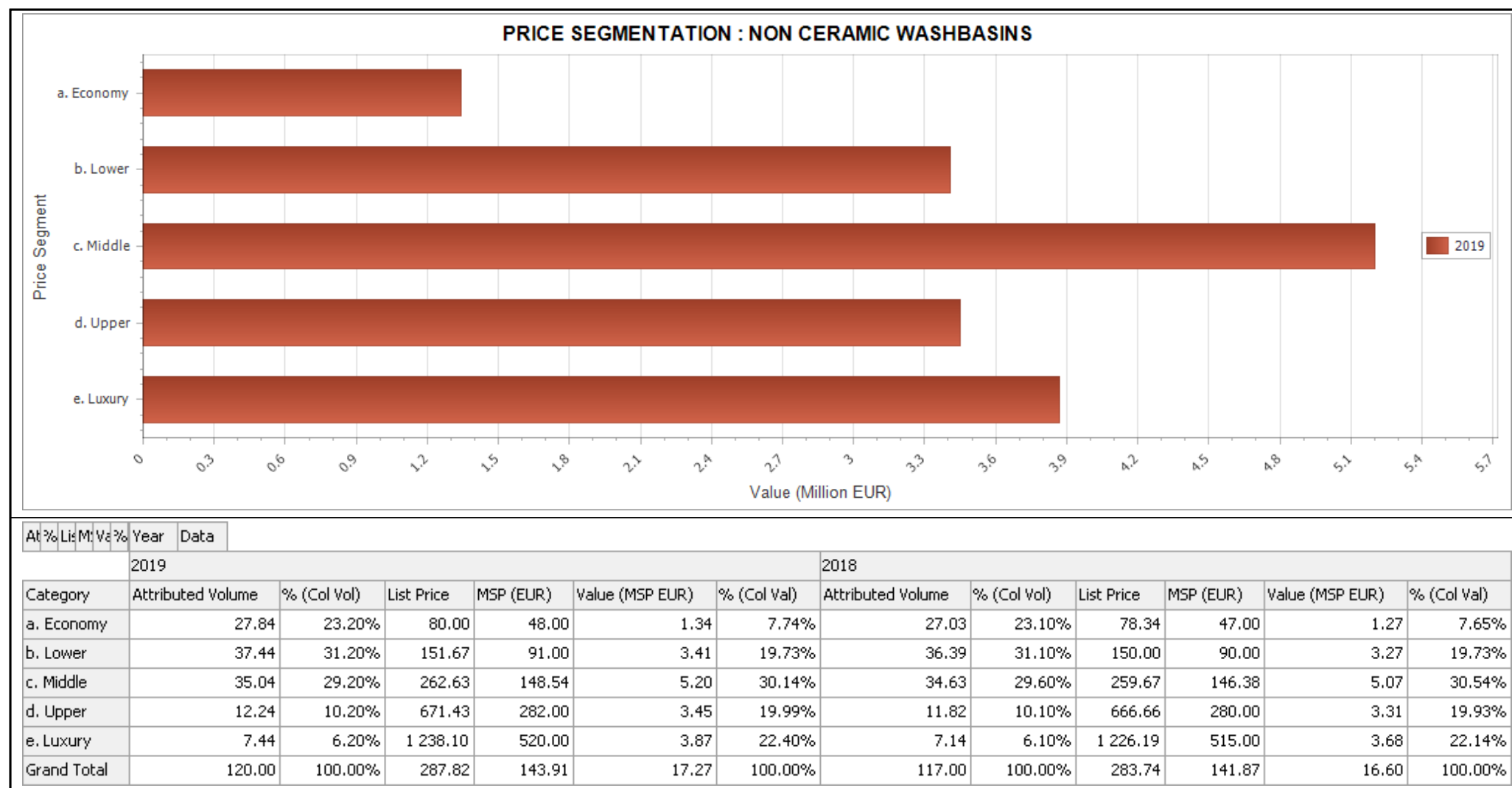
AT - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€25, Middle €25-€50, Upper/ Luxury >€50

2.3.10 Price Segmentation : Non Ceramic Washbasins

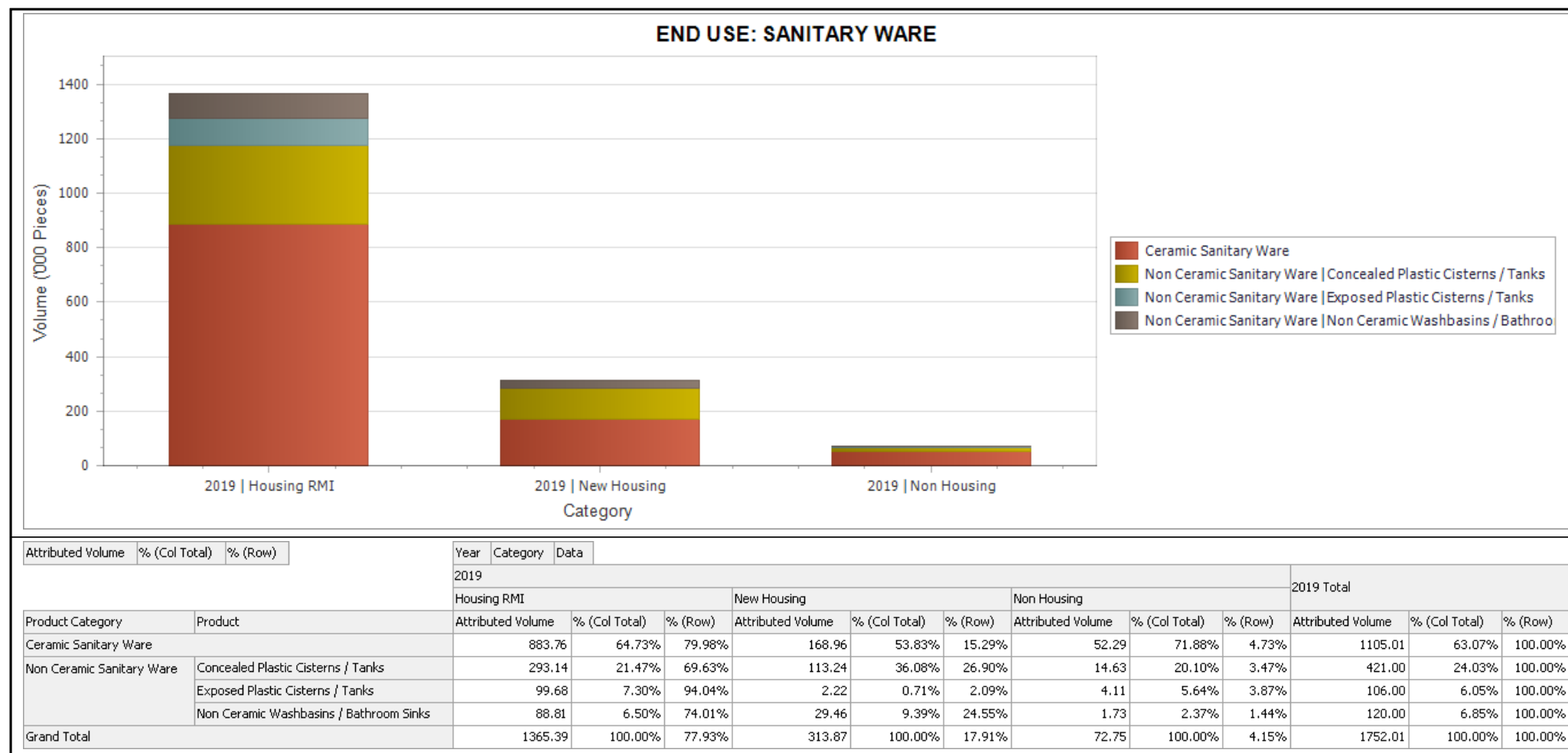
AT - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€60, Lower €60-€120, Middle €120-€200, Upper €200-€400, Luxury >€400

2.4.1 End Use : Base Year

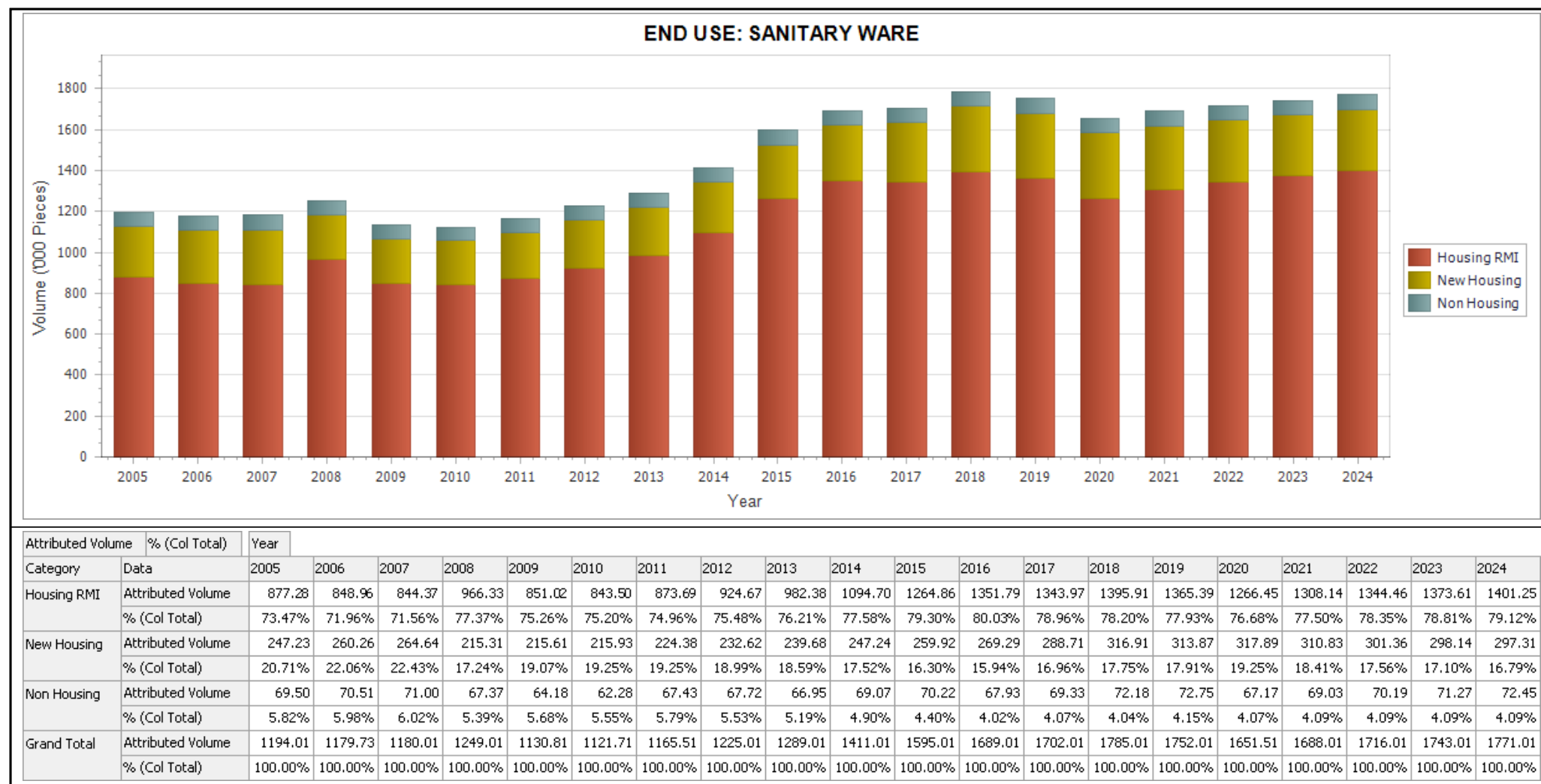
AT - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

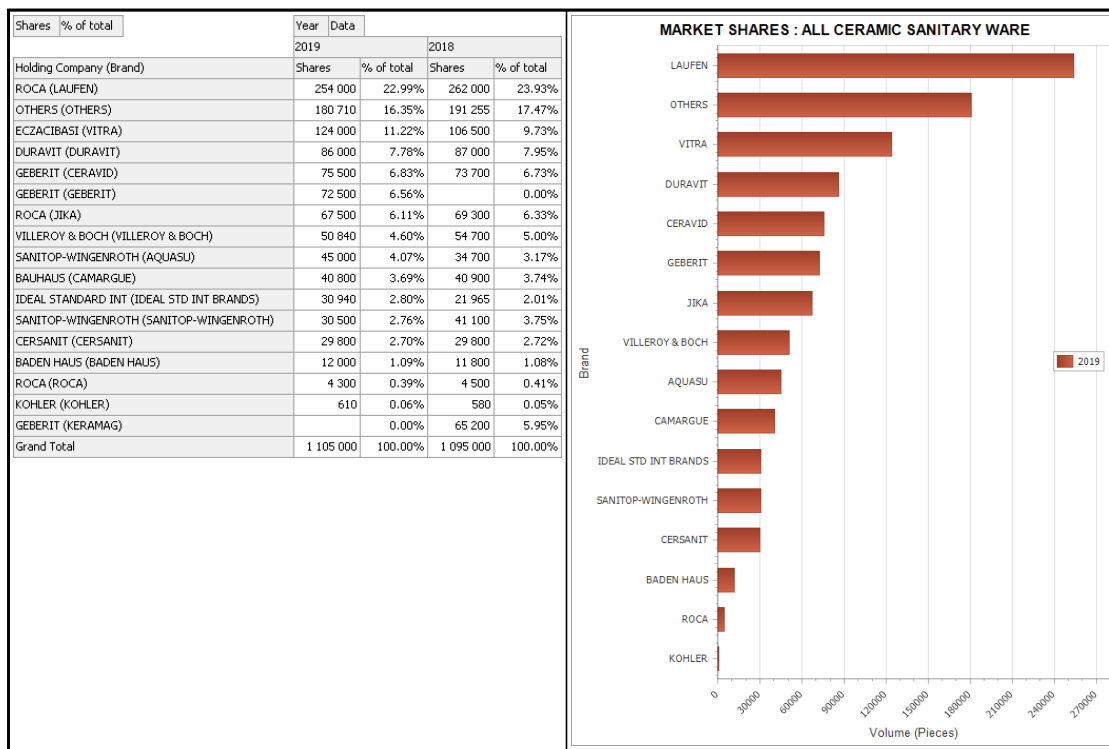
AT - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

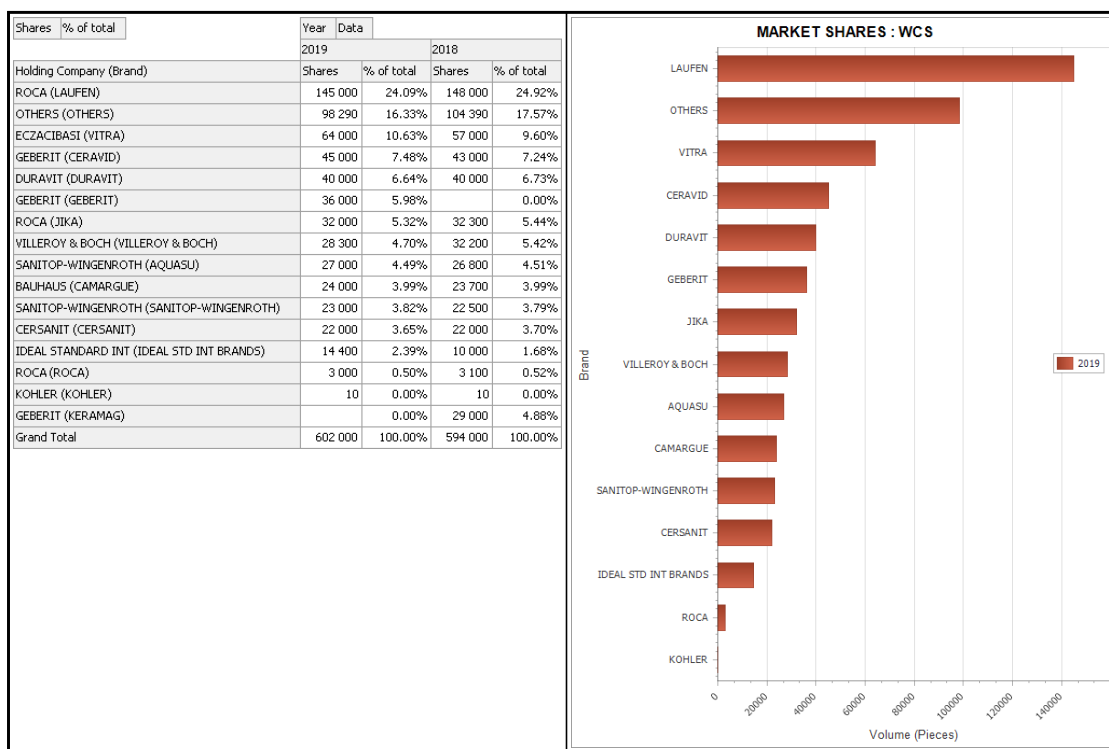
AT - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

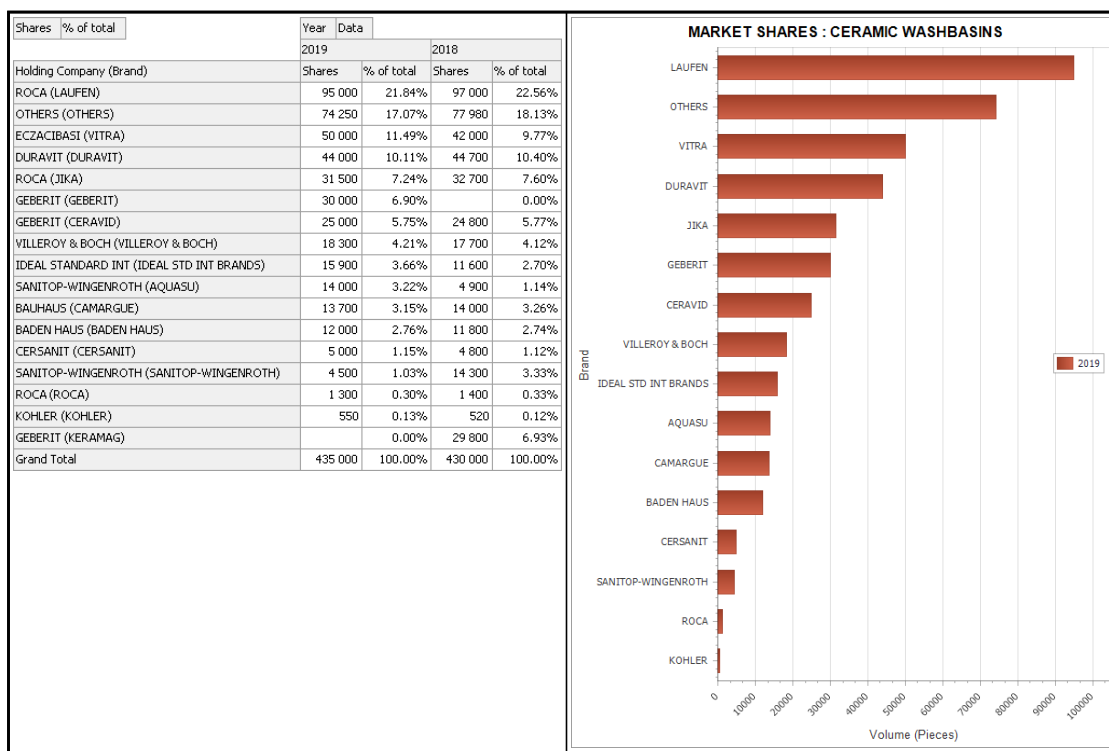
AT - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

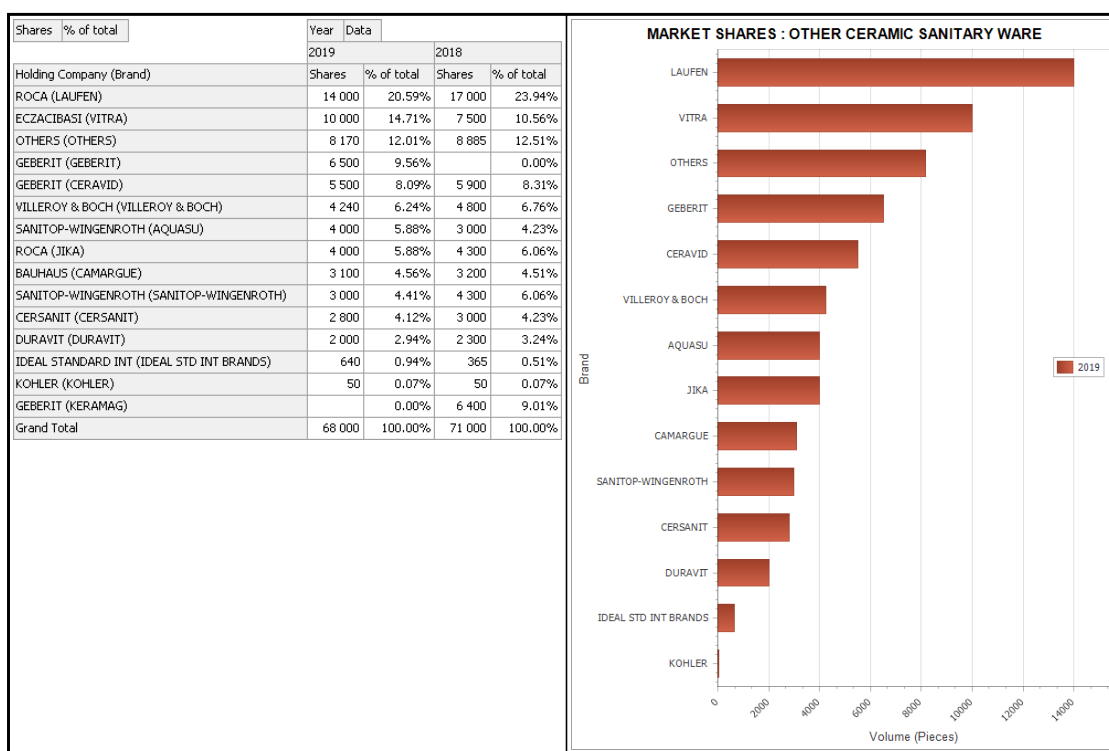
AT - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

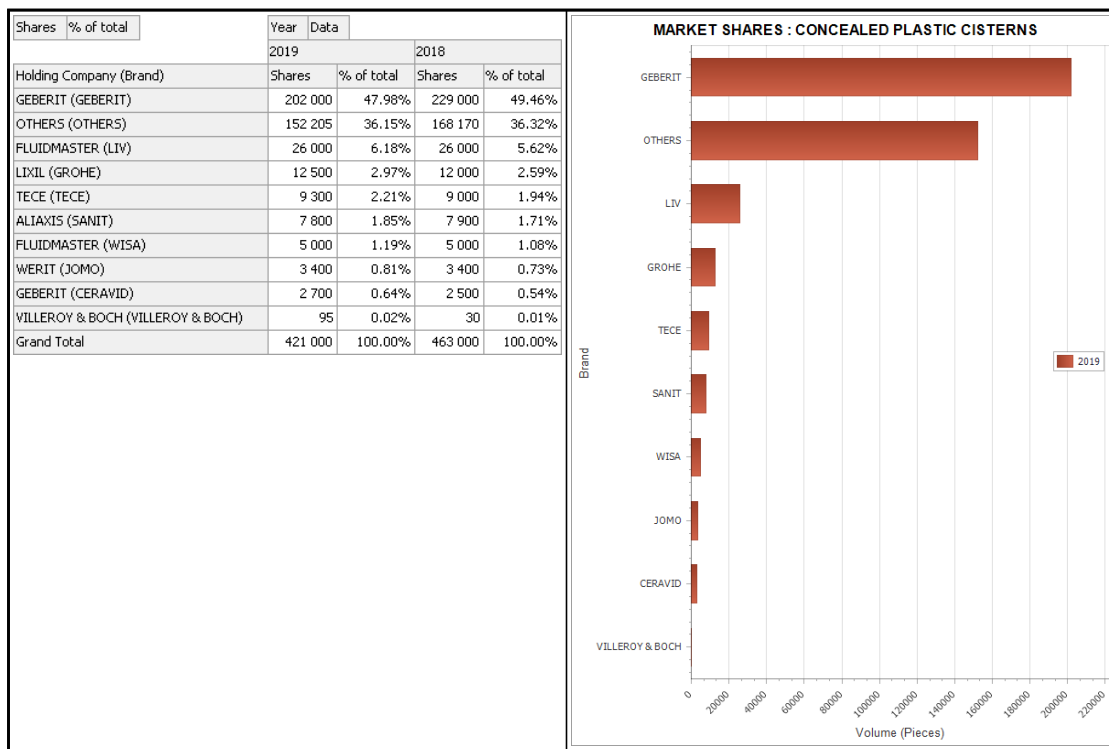
AT - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

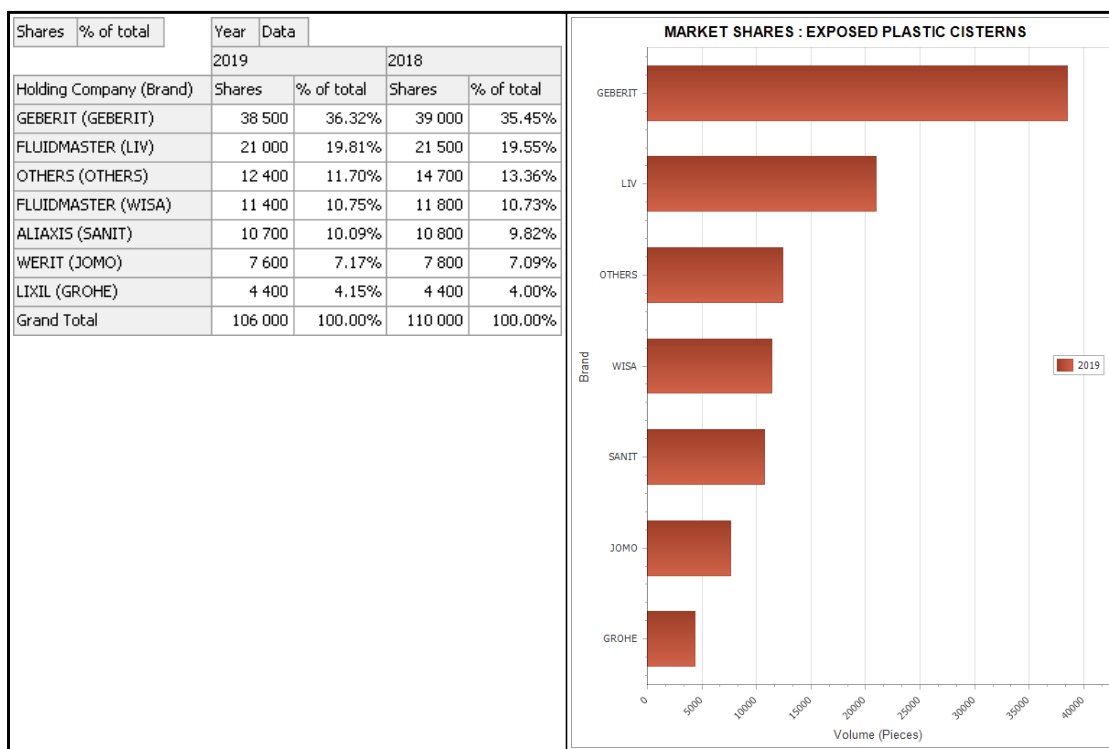
AT - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

AT - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 AT - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	6 100	36.2%	44 378	65.4%	6 433	34.8%	46 238	66.7%
Poland	2 587	15.4%	3 337	4.9%	4 795	25.9%	4 547	6.6%
Italy	2 047	12.2%	10 000	14.7%	1 533	8.3%	8 790	12.7%
Czech Republic	1 881	11.2%	3 924	5.8%	2 116	11.4%	4 139	6.0%
India	1 353	8.0%	963	1.4%	369	2.0%	292	0.4%
Turkey	1 246	7.4%	2 244	3.3%	1 328	7.2%	2 204	3.2%
Ukraine	1 204	7.2%	1 492	2.2%	1 358	7.3%	1 302	1.9%
OTHERS	419	2.5%	1 486	2.2%	569	3.1%	1 796	2.6%
Total	16 838	100.0%	67 824	100.0%	18 499	100.0%	69 308	100.0%

Source : Trademap

2.6.2 AT - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	5 713	58.3%	25 688	57.3%	6 479	55.8%	26 207	57.4%
Czech Republic	1 865	19.0%	9 058	20.2%	1 886	16.3%	8 666	19.0%
Switzerland	1 001	10.2%	6 479	14.5%	1 197	10.3%	7 067	15.5%
Hungary	521	5.3%	640	1.4%	714	6.2%	810	1.8%
Italy	285	2.9%	1 149	2.6%	823	7.1%	1 710	3.7%
Slovakia	129	1.3%	273	0.6%	141	1.2%	256	0.6%
Slovenia	114	1.2%	243	0.5%	178	1.5%	208	0.5%
OTHERS	166	1.7%	1 302	2.9%	186	1.6%	722	1.6%
Total	9 793	100.0%	44 832	100.0%	11 604	100.0%	45 646	100.0%

Source : Trademap

2.6.3 AT - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	4 518	74.1%	42 187	80.4%	5 037	74.9%	43 224	81.5%
Italy	567	9.3%	2 244	4.3%	511	7.6%	2 054	3.9%
Finland	374	6.1%	2 346	4.5%	382	5.7%	2 172	4.1%
Slovenia	304	5.0%	1 074	2.0%	474	7.0%	1 383	2.6%
Poland	88	1.4%	1 557	3.0%	50	0.7%	699	1.3%
OTHERS	249	4.1%	3 040	5.8%	276	4.1%	3 515	6.6%
Total	6 101	100.0%	52 448	100.0%	6 729	100.0%	53 047	100.0%

Source : Trademap

2.6.4 AT - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 749	64.5%	26 867	55.9%	2 053	66.6%	27 608	57.7%
Russian Federation	131	4.8%	1 624	3.4%	112	3.6%	1 646	3.4%
Hungary	89	3.3%	2 659	5.5%	88	2.9%	2 262	4.7%
Poland	79	2.9%	1 810	3.8%	87	2.8%	1 621	3.4%
Switzerland	73	2.7%	1 628	3.4%	136	4.4%	2 009	4.2%
Czech Republic	72	2.7%	1 947	4.1%	83	2.7%	1 773	3.7%
Serbia	61	2.3%	470	1.0%	57	1.9%	445	0.9%
Italy	50	1.9%	1 526	3.2%	52	1.7%	1 457	3.0%
Bulgaria	48	1.8%	1 183	2.5%	56	1.8%	1 257	2.6%
Romania	40	1.5%	540	1.1%	31	1.0%	510	1.1%
Lithuania	39	1.4%	1 053	2.2%	38	1.2%	921	1.9%
OTHERS	280	10.3%	6 760	14.1%	290	9.4%	6 330	13.2%
Total	2 712	100.0%	48 067	100.0%	3 084	100.0%	47 839	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
AT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	79.0%
	Wholesalers / Merchants
	79.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.9%	10.1%	11.2%	13.1%	7.9%	24.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.0%		24.3%		31.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	24.0%	2.2%	6.1%	4.9%
Installers				
37.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	5.8%	9.5%	18.2%	26.0%	35.8%	0.0%	2.0%	0.3%	0.0%	1.0%	1.4%
	Residential						Non-Residential					
	95.3%						4.7%					
New Build			Residential RMI			New Build			Non-Residential RMI			
15.3%			80.0%			2.0%			2.7%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
13.0%	2.3%		11.2%	68.8%		1.5%	0.5%		2.0%	0.7%		

2.7.2 Route to Market: Ceramic Sanitary Ware
AT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	77.8%
	Wholesalers / Merchants
	77.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.9%	10.2%	0.6%	13.2%	9.4%	23.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.1%		13.8%		33.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	24.0%	2.2%	6.1%	7.1%
Installers				
39.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	9.2%	4.8%	10.5%	7.7%	25.0%	38.1%	0.1%	2.0%	0.4%	0.0%	0.9%	1.3%
	Residential						Non-Residential					
	95.3%						4.7%					

New Build				Residential RMI			
14.3%				81.1%			
Project		Non-Project		Project		Non-Project	
12.0%		2.3%		11.4%		69.7%	

New Build				Non-Residential RMI			
2.0%				2.7%			
Project		Non-Project		Project		Non-Project	
1.5%		0.5%		1.9%		0.8%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

AT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

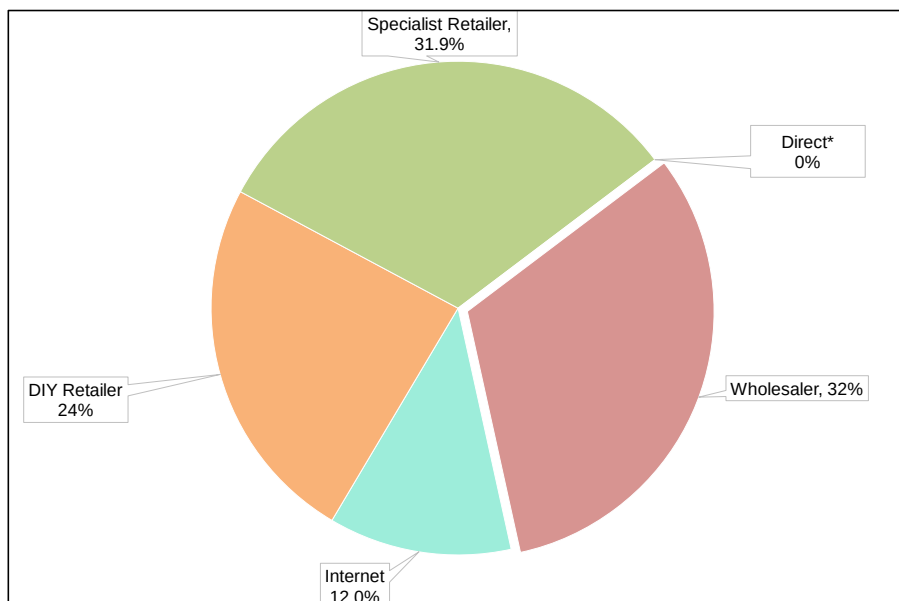
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
31.8%	12.0%	24.3%	31.9%	0.0%	24.2%	3.5%	71.1%	1.2%
100%					27.7%		72.3%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

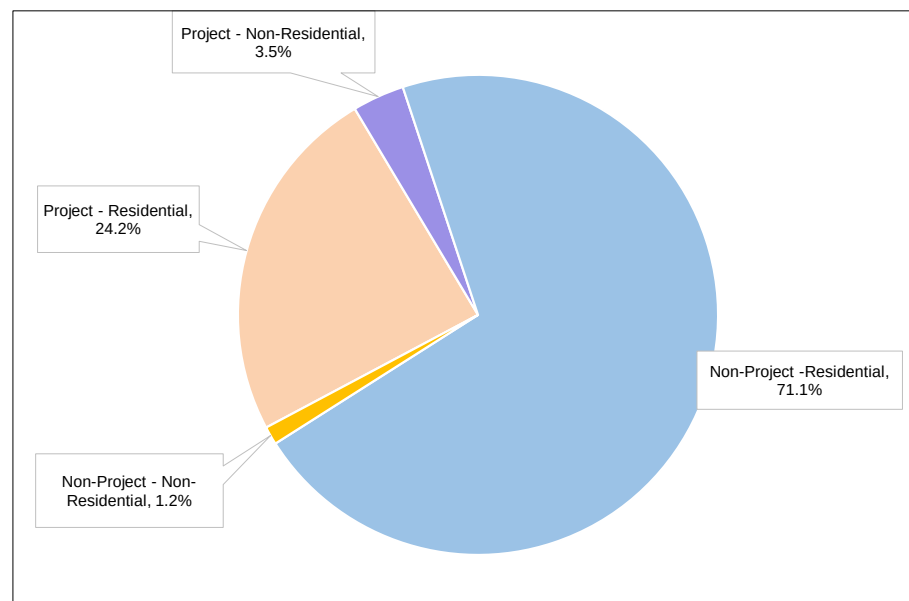
AT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
30.8%	13.1%	13.8%	33.0%	9.3%	23.4%	3.4%	71.9%	1.3%
100%					26.8%		73.2%	

AT - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



AT - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
AT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.6%
	Wholesalers / Merchants
	67.6%

Retail Level	Manufacturer 2.0%	Wholesaler 5.1%	Manufacturer 10.6%	Wholesaler 14.1%	Manufacturer 13.6%	Wholesaler 13.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.1%		24.7%		26.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
6.2%	14.0%	2.6%	5.1%	7.6%
Installers				
35.5%				

End Use Level	Manufacturer 0.0%	Wholesaler 19.4%	Internet 4.3%	DIY 19.3%	Specialist 19.0%	Installer 34.4%
	Residential					
	96.4%					
	New Build		Residential RMI			
	21.9%		74.5%			
	Project	Non-Project	Project	Non-Project		
	19.0%	2.9%	11.0%	63.5%		
	Non-Residential					
	3.6%					
	New Build		Non-Residential RMI			
	1.0%		2.6%			
	Project	Non-Project	Project	Non-Project		
	0.8%	0.2%	2.0%	0.6%		

2.7.6 Route to Market: Plastic Cisterns
AT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.0%
	Wholesalers / Merchants
	66.0%

Retail Level	Manufacturer 2.4%	Wholesaler 5.3%	Manufacturer 11.2%	Wholesaler 14.2%	Manufacturer 15.8%	Wholesaler 14.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.7%		25.4%		29.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.4%	15.0%	2.7%	5.2%	10.8%
Installers				
38.1%				

End Use Level	Manufacturer 0.2%	Wholesaler 15.5%	Internet 4.7%	DIY 19.9%	Specialist 19.0%	Installer 37.2%
	Residential					
	96.5%					
	New Build		Residential RMI			
	20.2%		76.3%			
	Project	Non-Project	Project	Non-Project		
	18.5%	1.7%	11.0%	65.3%		
	Non-Residential					
	3.5%					
	New Build		Non-Residential RMI			
	1.0%		2.5%			
	Project	Non-Project	Project	Non-Project		
	0.7%	0.3%	1.9%	0.6%		

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

AT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

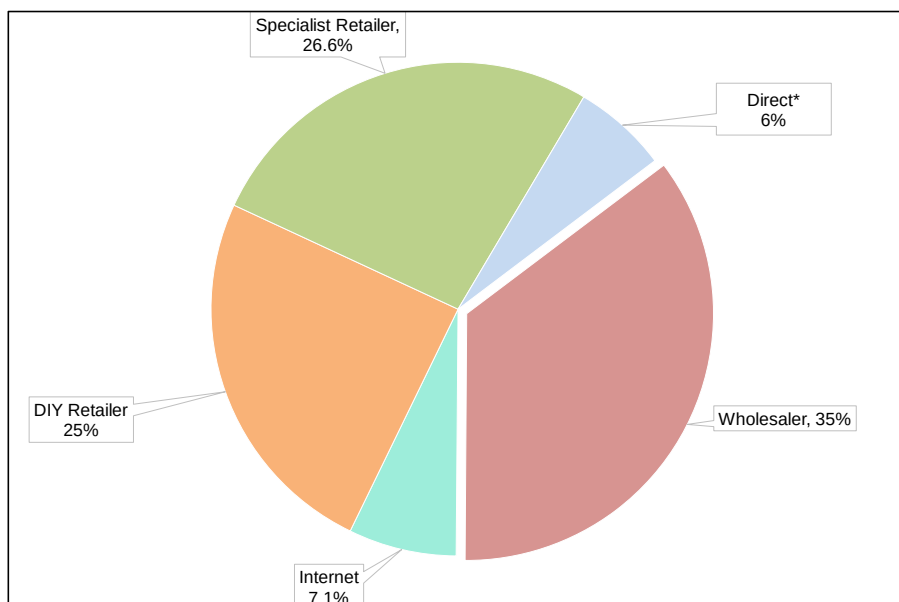
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.4%	7.1%	24.7%	26.6%	6.2%	30.0%	2.8%	66.4%	0.8%
100%					32.8%		67.2%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

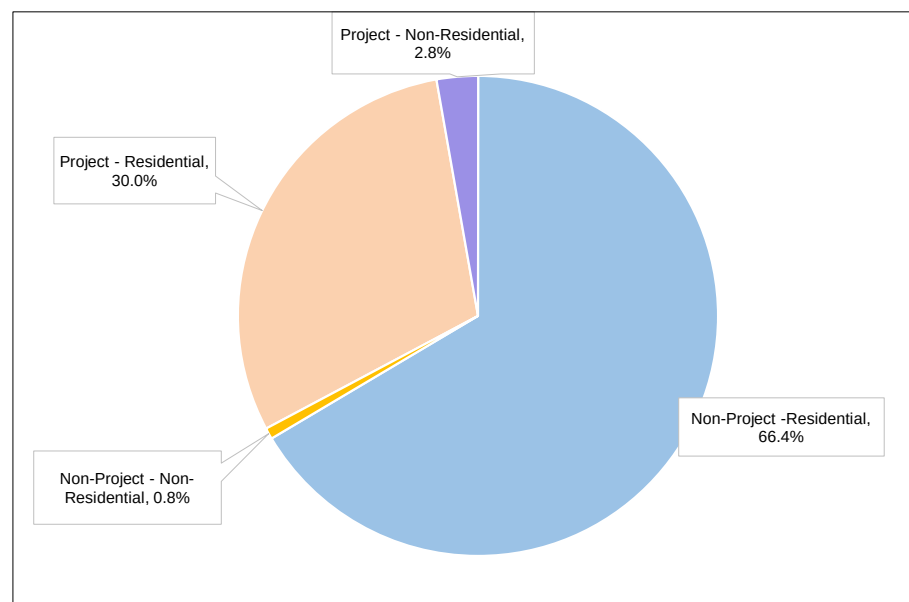
AT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
32.5%	7.7%	25.4%	29.8%	4.6%	29.5%	2.6%	67.0%	0.9%
100%					32.1%		67.9%	

AT - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



AT - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



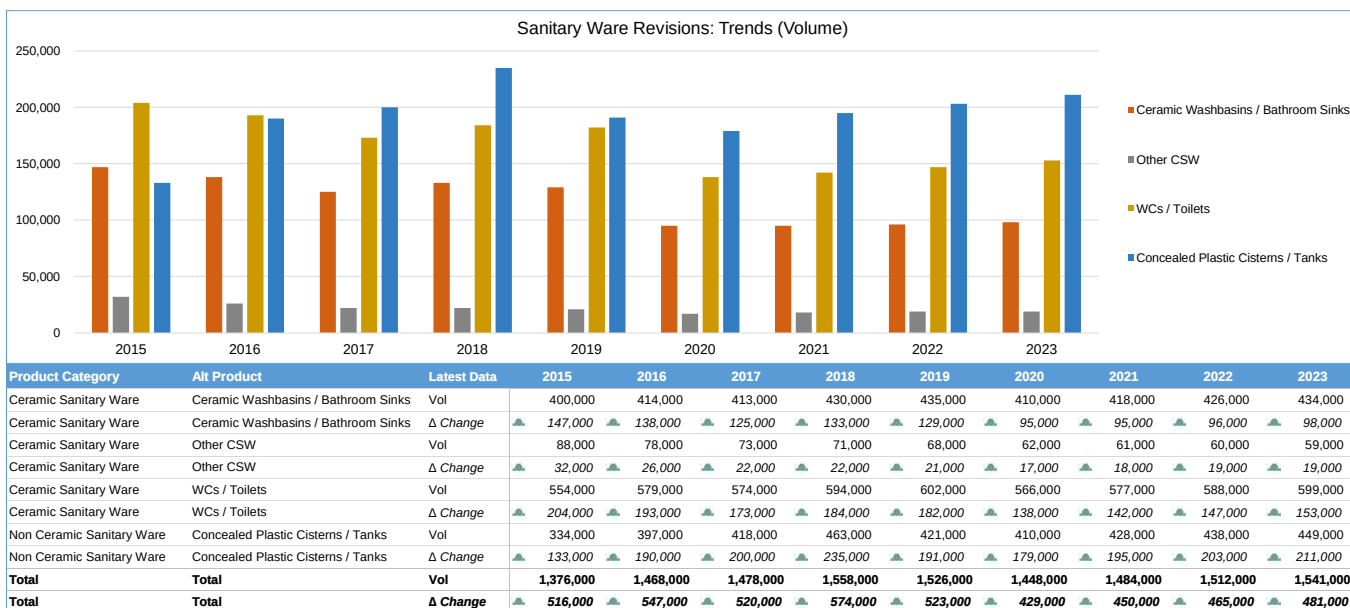
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Austrian Sanitary Ware Market (July 2020)

AT - REVISIONS IN THE AUSTRIAN SANITARY WARE MARKET

Data Comparison: July 2019



Demand for ceramic washbasins, other CSW, WCs and concealed plastic cisterns was significantly revised up historically and adjusted accordingly in the forecast. The market revision was due to a better understanding of the markets from primary and secondary research.

Demand for exposed plastic cisterns was slightly revised down for the years 2020 and 2021 as a result of the weaker renovation activity related to COVID-19 crisis.

Demand for non-ceramic washbasins was strongly revised down for the years 2020 until 2023. Despite the growing demand for non-ceramic washbasins seen in the past years, it is believed that the market will turnaround. Demand from new housing and non-housing is believed to be negative for most years during the forecast period.

AUSTRIA

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Austrian taps and mixers market is a mature market, and has remained stable over the last two decades, with no major fluctuations in sales volumes. Residential RMI investment is one of the main market drivers. The 2008 economic crisis only had a limited effect on sales volumes as the market only declined marginally during 2008, after which it started to grow again.

New housing construction is a significant driver of taps and mixers sales, although, as with most markets, housing RMI is the main end-use segment where most sales are destined. As a result, the market depends highly on the economic situation of the consumer. The lifespan of taps and mixers are again one of the longest in Europe - up to 35 years - as Austrians are quality orientated and low quality products are less accepted in the market.

The Austrian market is dominated by one head mixers and sales of these have continued to grow over the last decade, and should maintain this very high level in the coming years. The majority of one head, as well as two head mixers, are mostly used for washbasins, followed by kitchen sinks. Moreover, all bidet mixers are one head models. There has been a noticeable trend towards concealed taps and mixers in the luxury segment, as consumers consider this more aesthetically pleasing.

Thermostatic mixers, which are all used in bathrooms were introduced to the market for safety and comfort reasons. The share of thermostatic mixers is already high in comparison with other European countries, excluding the Nordic countries. Sales are expected to grow as prices keep stable, both for branded and unbranded products. More companies are following the lead of GROHE and HANSA, which introduced lower priced models. Moreover, manufacturers are working on improving the quality of cartridges, thus making thermostatic mixers more reliable and more robust. Nevertheless, the scope for growth is limited since most thermostatic mixers are used for baths and showers.

Pillar taps are a niche product that is used when there is no need to regulate the temperature, for example, in stables. All pillar taps are used for (hand) washbasins. Sales of electronic and self-closing taps and mixers in public spaces are increasingly associated with good hygiene and water saving, but they have found little success in residential bathrooms so far. These models are used in the non-residential sector, mostly installed for washbasins, and have been increasing in popularity. Overall, manufacturers have increasingly offered new colours as a possible alternative to the traditional chrome, but the share of coloured models is still marginal. However, self-closing taps and mixers became gradually old fashioned, mainly cannibalised by electric types. Hence, the share of self-closing is expected to not grow significantly in the coming years, whereas the share held by electronic taps and mixers is increasing further.

Recent Market Trends

The Austrian taps and mixers market continued its sustained increase in 2019, building on the growth experienced in 2018. The taps and mixers market reached in 2019 one of its highest levels ever recorded on the Austrian market. This development reflects the overall positive performance observed in the bathroom market. Sales were driven by a solid RMI demand and a positive development of the non-housing segment. Demand from new housing slightly declined in alignment with fewer new housing completions.

In 2019 demand for almost all taps and mixers exceeded sales volumes from the previous year. Thermostatic mixer sales have grown more than those of most other products within the overall taps and mixers market, boosted by the increasing trend towards showering, especially in non-housing. A significant share of thermostatic mixers is installed in hotels, for which investments reached a high volume in 2019. Other significant growth was experienced by electric mixers, thanks to the ongoing investments in the non-residential and public sectors. New construction and modernisation of hospitals and other public buildings continued in 2019 with a smaller growth rate when compared to 2018.

The overall market remains clearly dominated by one head mixers, which are mostly used for washbasins as they are the most used ceramic sanitaryware product. One head mixers are often represented in the replacement park and are closely correlated to washbasin replacements, as a washbasin replacement gives the consumer the opportunity to switch the old models. Within all taps and mixers, washbasin mixers are the most common models, followed by shower mixers. Shower mixers benefited from the trend for consumers to move away from bathing towards showering. Moreover, bath taps and mixers are challenged from this trend, in fact bath taps and mixers recorded a decline in 2019 when compared to 2018. Here, one head mixers remained clearly the bestseller for bath, kitchen and shower applications. The trend towards one head mixers went on, away from two head mixers. Two head mixers are becoming more and more a niche product, increasingly installed in the high-end segment. The third biggest demand comes from kitchen mixers, as the trend towards bigger and more practical kitchens continued in Austria.

In 2019, pillar taps and mixer sales continued to decline as previously forecast, as these products represent old-fashioned and basic solutions, often installed in terraces and gardens as a simple water source.

Prices and Market Values

Average MSPs are estimated on the basis of industry interviews with reference to manufacturer and wholesaler list prices. Typical discounts on list prices for taps and mixers are around 40 to 45% for wholesalers and 35% for installers. Discounts often depend on the company's strategy. Some companies have higher list prices, but offer higher discounts. Strong competition in recent years has put pressure on

prices and margins and, at the same time, the growing share of DIY and online trading enables customers to compare prices easily, in turn increasing pressure on prices for manufacturers. In 2019, average prices for raw materials and the production process increased worldwide, leading to a slight increase in the MSP for all taps and mixers. The average price at MSP (manufacturer's selling price) for all types of taps and mixers as well as shower panels increased during 2019 as higher labour and material costs pushed up the prices somewhat. Hence, the increasing average prices, as well as greater market volumes of taps and mixers, led to a rise in the overall market value. The margin levels for lower priced segments are small, whereas luxury products often have bigger margins.

In the lowest price segment, products with an MSP below €20 can be easily found, and products in this price segment are mainly distributed via DIY stores and are sourced from China, but may include products from the major manufacturers. The latter are mostly used by the large housing associations, which demand a reliable product at a low price. All pillar taps fall into the lower/economy price segment in Austria. Nowadays, most established manufacturers offer lines in the lower/economy price categories. This is, however, not the case for thermostatic, self-closing and electronic models, products which cannot be found in the economy price segment.

The upper and luxury segment comprises of the most expensive branded products, which are used by a small share of private end-users but also in luxury hotels. This segment is largely dominated by German manufacturers, of which DORNBRACHT is the leader. The high-end segment is attractive to manufacturers, as these products offer high margins compared to the other price segments. Self-closing and electronic mixers account for most sales in this segment. One and two head mixers can be found across all price segments, but the majority of both products are sold in the medium price segment.

New Housing

The average Austrian new dwelling has a main bathroom and a guest toilet. The main bathroom contains, typically, a washbasin with a mixer and another mixer with a shower. The guest toilet has a hand washbasin and a one head mixer. In the kitchen, there is also a mixer installed. In 2019, the new housing segment accounted only for about a seventh of the overall taps and mixers sales in Austria, since most taps and mixers make their way into the housing RMI market due to overall market maturity. It is estimated that only a small amount of these sales went to projects. In projects, the price is the key success factor to decide a product, well before the brand and reputation. In the majority of cases and in particular in the case of one- and two-family houses, the decision is rather made directly by the end user. Overall demand for sanitary and kitchen taps and mixers slightly declined in 2019 in alignment with fewer new housing completions. Sales of all types of taps and mixers were slightly lower when compared to 2018.

Housing RMI

As the Austrian taps and mixers market is mature, levels of residential RMI investment have the biggest impact on the market. Nevertheless, the exact share is difficult to estimate, as manufacturers are often not aware of which projects distributors are supplying. The smaller share of RMI installations are carried out by private consumers, while a bigger share of RMI projects are completed by professionals such as architects and/or installers. This is usually the case when a house is sold or adapted to the particular needs of an elderly person. The share of projects is negligible and usually entails the renovation of an entire building or block of flats. In the housing RMI sector, sales of washbasin mixers, where very often one head models dominate due to their extended presence in the dwelling park, are also benefiting from pure like-for-like replacement. Sales of two head mixers are also quite important in this end-use sector. BRG believes that from 2021 onwards until the end of the forecast period sales of taps and mixers may develop steadily.

Overall demand for kitchen and sanitary taps was positive in 2019 and kitchen application saw the stronger growth rate. Demand for shower, washbasin and bath applications was positive and showers generated the strongest growth rate. The only application with negative growth rate was bidet taps and mixers.

Non-Housing

IN 2019 non-residential construction output increased thanks to the positive GDP, which is crucial for the sales in this segment. This positive development led to a growth of taps and mixers in all application segments. The non-housing segment accounts for the smallest share of the overall taps and mixers sales in Austria. Non-housing sales tend to be more diffused for taps and mixers in this end-use sector than with most other bathroom products. The main markets in 2019 were reportedly hotel and health buildings as well as airport and restaurant premises. As far as self-closing and electronic taps and mixers were concerned, they can be mainly found in public places, due to their spread of usage. BRG expects that, over the forecast period, sales of taps and mixers to this end-use sector are going to pick up in 2021, after a strong decline in 2020 caused by the COVID-19 pandemic. Growth is expected from greater demand for thermostatic taps and mixers, as well as electronic models, which are likely to gain importance as a more hygienic alternative to self-closing taps.

Supply Structure

The taps and mixers market in Austria is fragmented and the majority of taps and mixers are imported. The largest importing country is Germany. All German manufacturers of taps and mixers, such as GROHE, HANS GROHE, KLUDI, HANSA and DORNBRACHT, produce locally but also have production sites abroad. German manufacturers do not only supply their own products, but also supply a large share of the wholesalers' private labels.

The market is led by GROHE, which introduced several new product ranges within its taps and mixers offering and this most likely affected the market during the course of 2019, as it affected the sales into the wholesale segment. In addition, benefiting from the synergy with LIXIL, the taps and mixers manufacturer GROHE started supplying also ceramic sanitaryware products in 2017.

DIY stores continued importing directly from foreign manufacturers. BAUHAUS was one of the first to go down this route and direct imports now account for an estimated 80% of its total sales. Direct imports increasingly come from China.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

In the first half of 2020 the taps and mixers sales in Austria have experienced a negative development when compared to 2019. This development is the result of the Covid-19 crisis, and in particular due to the closure of the construction sites in March and on further restrictions on the construction market. Although new housing activities are believed to slightly increase in 2020, a strong anticipated decline of the replacement and non-housing demand will result in a negative development of taps and mixers sales in 2020.

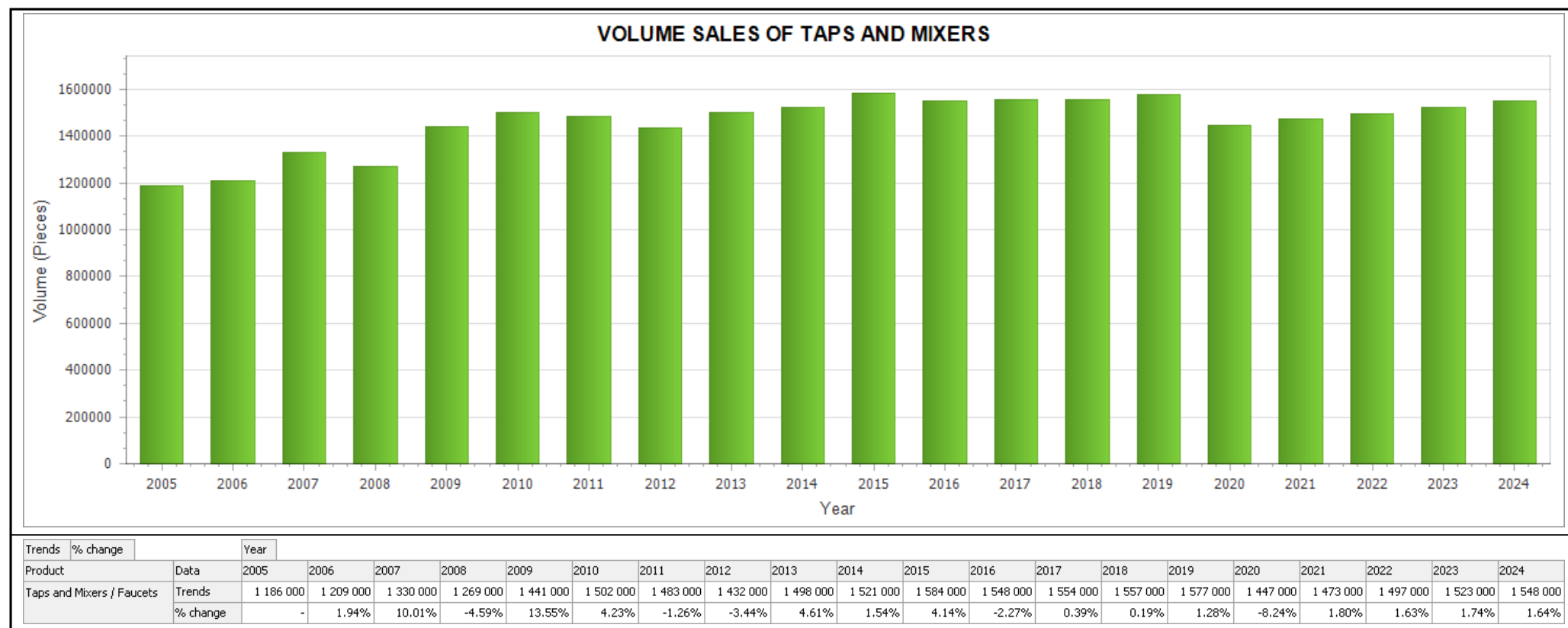
After 2021, the taps and mixers market is predicted to recover with a steady growth over the rest of the forecast period. The main sales driver is the RMI segment and to some extent the non-housing segment. New build activities are expected to decline during the forecast and are likely to have gradually declining sales during the forecast period. The wide range of quality products on the market, and relative low price levels when compared to other bathroom products, is likely to motivate consumers to upgrade their taps and mixers before other bathroom products. It remains to be seen if the role of DIY stores as main distributors might change the behaviour of consumers towards replacement. For a much cheaper price, end users might be more willing to replace their taps and mixers sooner.

Regarding product mix, BRG does not expect any major changes. The overall market is predicted to be dominated by washbasins, followed by shower and kitchen mixers, which are mostly installed with one head models. All three mixer sales are likely to increase in volume terms, thanks to the predicted declining but still high level of new housing and replacement activities. Moreover, shower mixer sales should profit from the shift away from baths towards showering. Kitchen mixer sales should benefit from the trend to upgrade kitchens. Moreover, the market for bath mixers should also increase, due to the promising macroeconomic indicators. The sales of bidet mixers are predicted to remain limited, due to the trend towards smaller bathrooms with more space issues.

Regarding types of mixers, the trend towards electronic and concealed models should continue. Aesthetics and product design, in combination with the MSP, are predicted to remain key concerns for manufacturers. One head mixers should retain their popularity. New designs are also likely to be increasingly available at lower price points, as the internet channel continues to gain share, placing continued pressure on MSP margins.

3.2 Historical Trends and Forecasts : Taps and Mixers

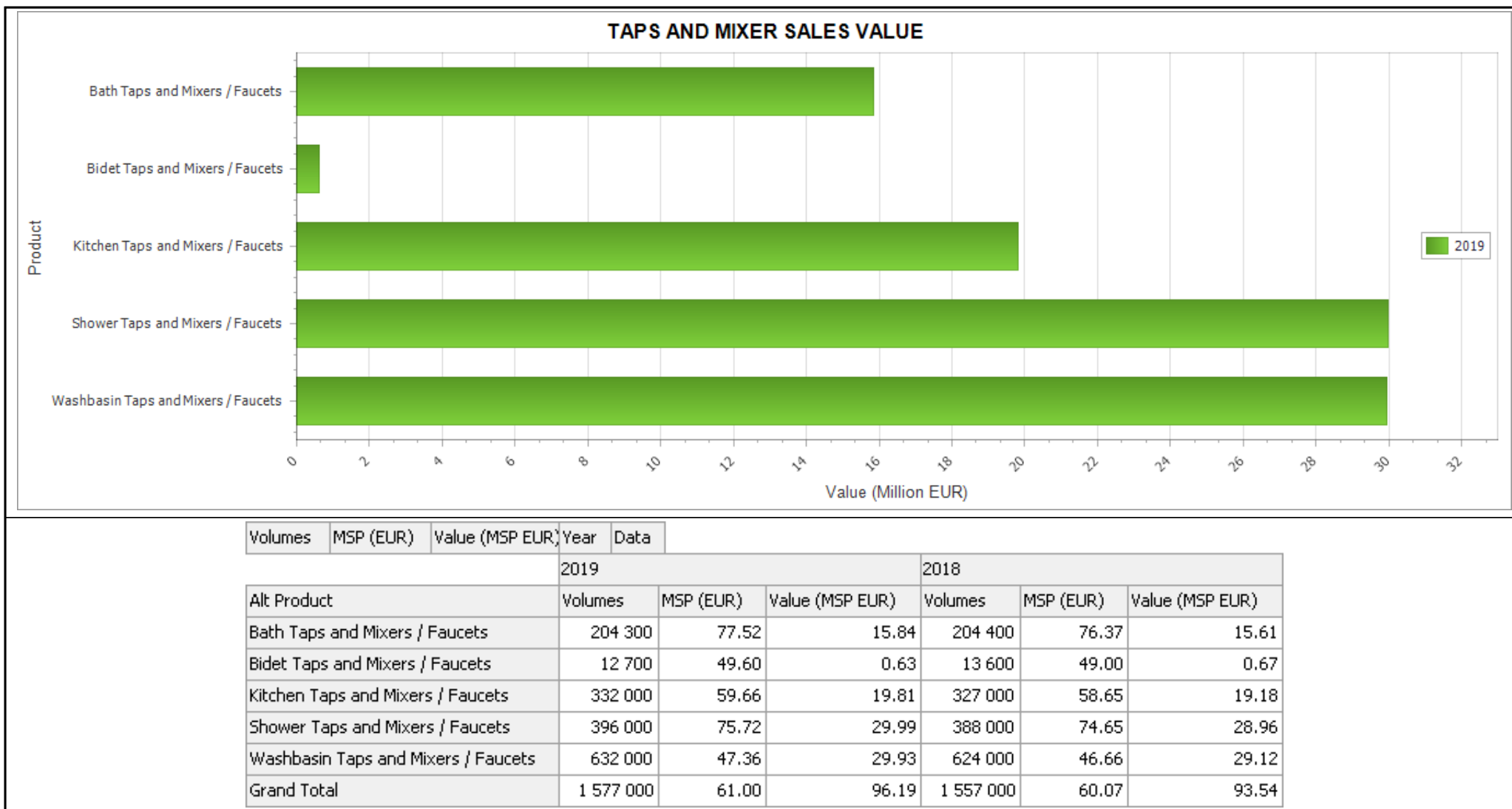
AT - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

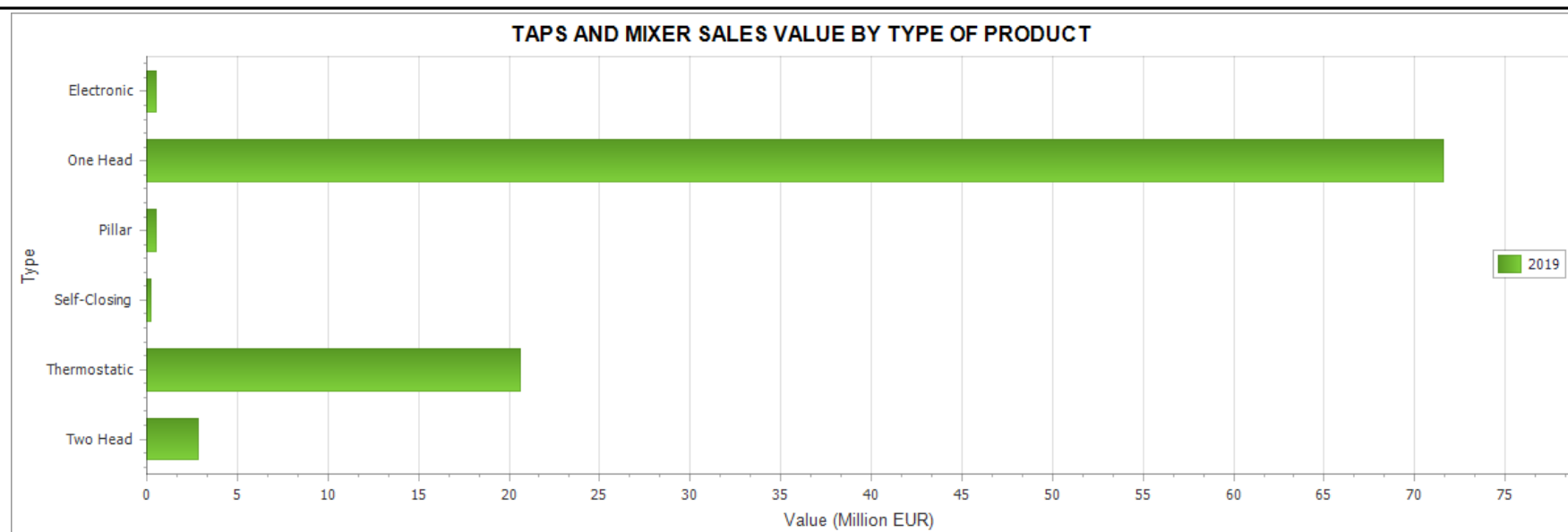
AT - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

AT - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT

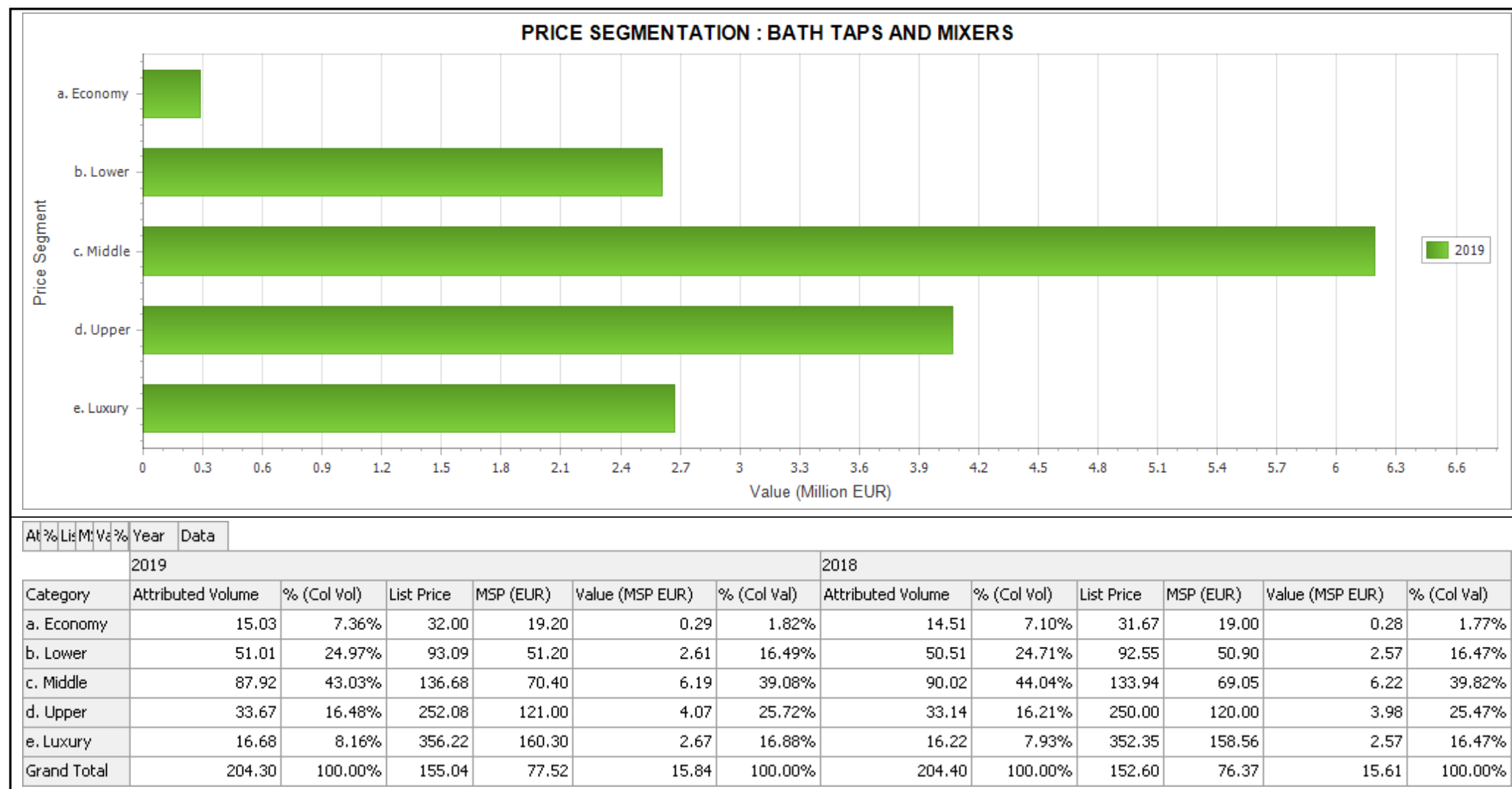


At	%	M	Val	%	Year	Data						
2019						2018						
Category	Attributed Volume		% (Col Vol)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume		% (Col Vol)	MSP (EUR)	Value (MSP EUR)	% (Col Val)
Electronic	3.67		0.23%	131.96	0.48	0.50%	3.56		0.23%	130.96	0.47	0.50%
One Head	1 290.56		81.84%	55.48	71.60	74.43%	1 276.84		82.01%	54.75	69.90	74.74%
Pillar	15.11		0.96%	35.00	0.53	0.55%	15.25		0.98%	34.60	0.53	0.56%
Self-Closing	2.19		0.14%	91.09	0.20	0.21%	2.16		0.14%	90.09	0.19	0.21%
Thermostatic	209.47		13.28%	98.26	20.58	21.40%	201.61		12.95%	97.26	19.61	20.96%
Two Head	56.01		3.55%	49.97	2.80	2.91%	57.59		3.70%	49.20	2.83	3.03%
Grand Total	1 577.01		100.00%	61.00	96.19	100.00%	1 557.01		100.00%	60.07	93.53	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

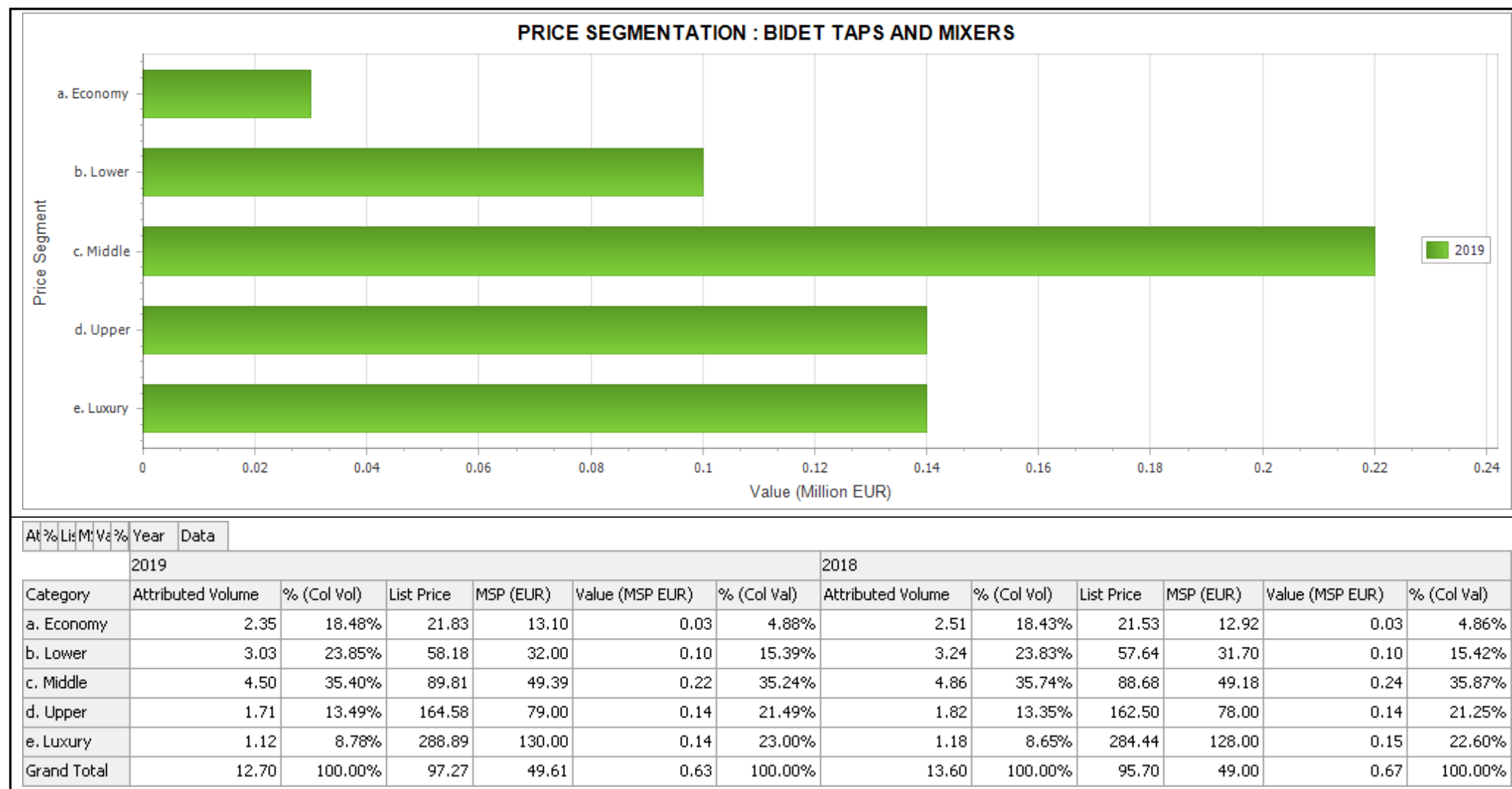
AT - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€45, Lower €45-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

3.3.4 Price Segmentation : Bidet Taps and Mixers

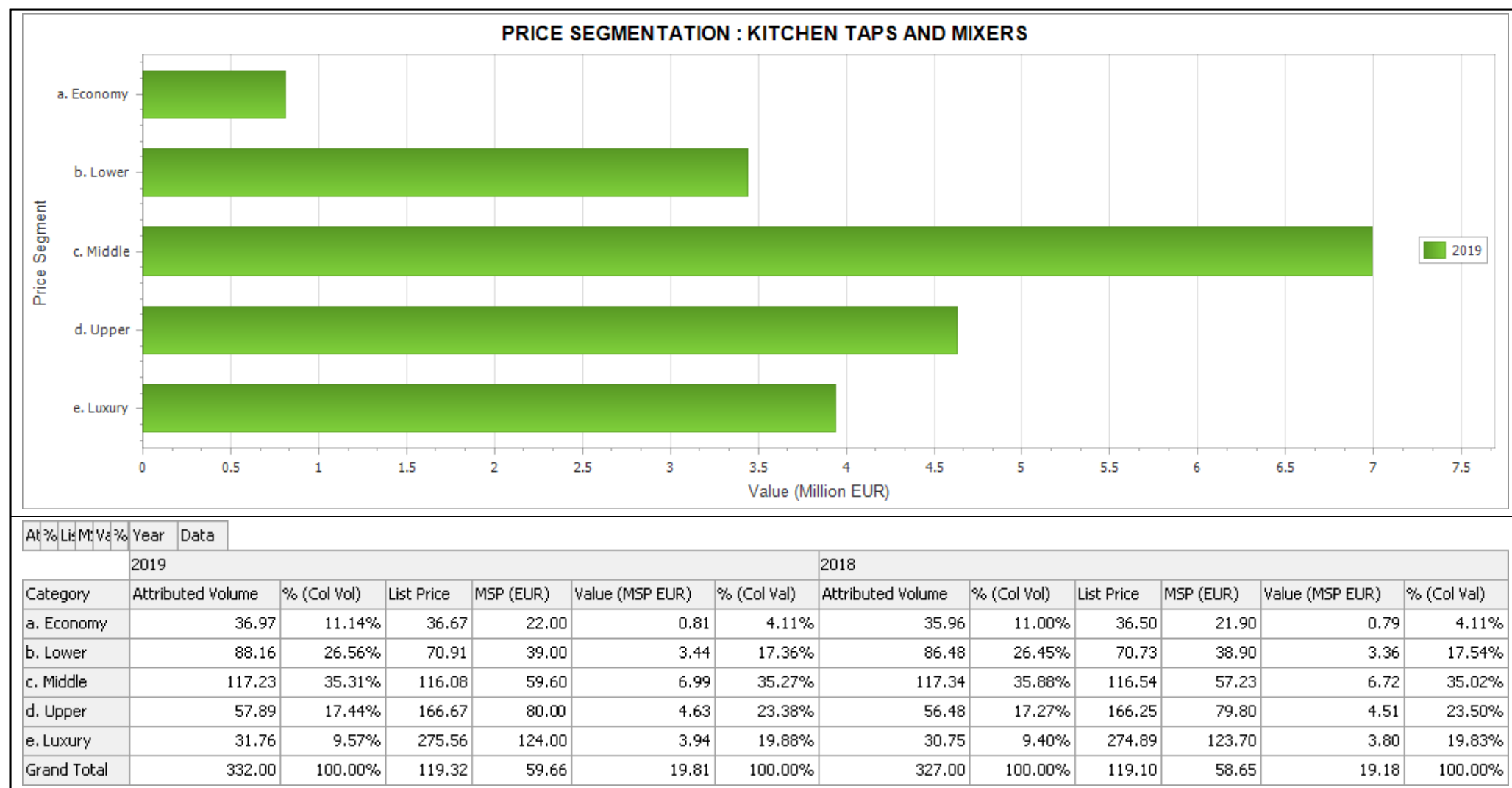
AT - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.5 Price Segmentation : Kitchen Taps and Mixers

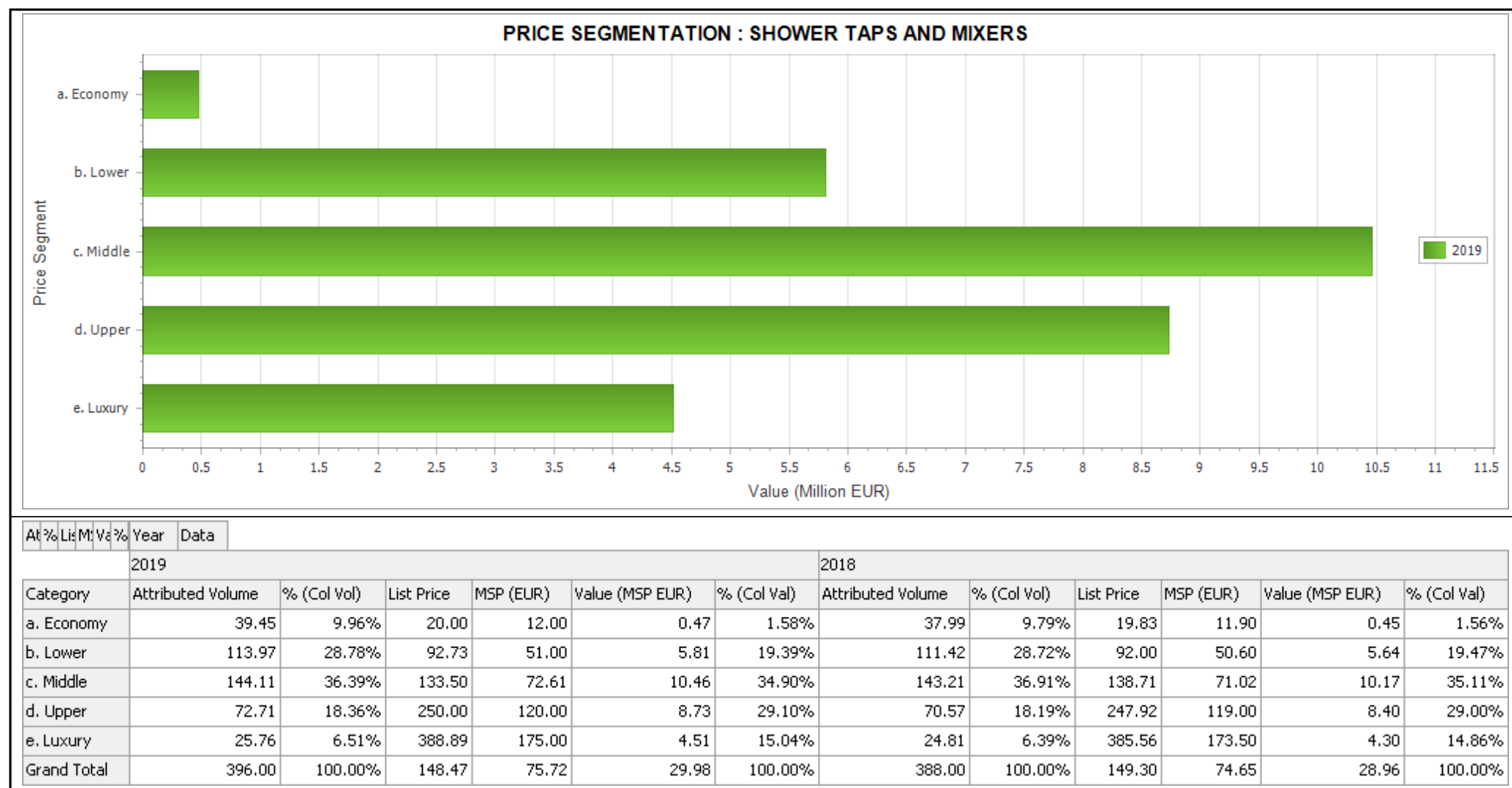
AT - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€50, Middle €50-€70, Upper €70-€110 and Luxury >€110

3.3.6 Price Segmentation : Shower Taps and Mixers

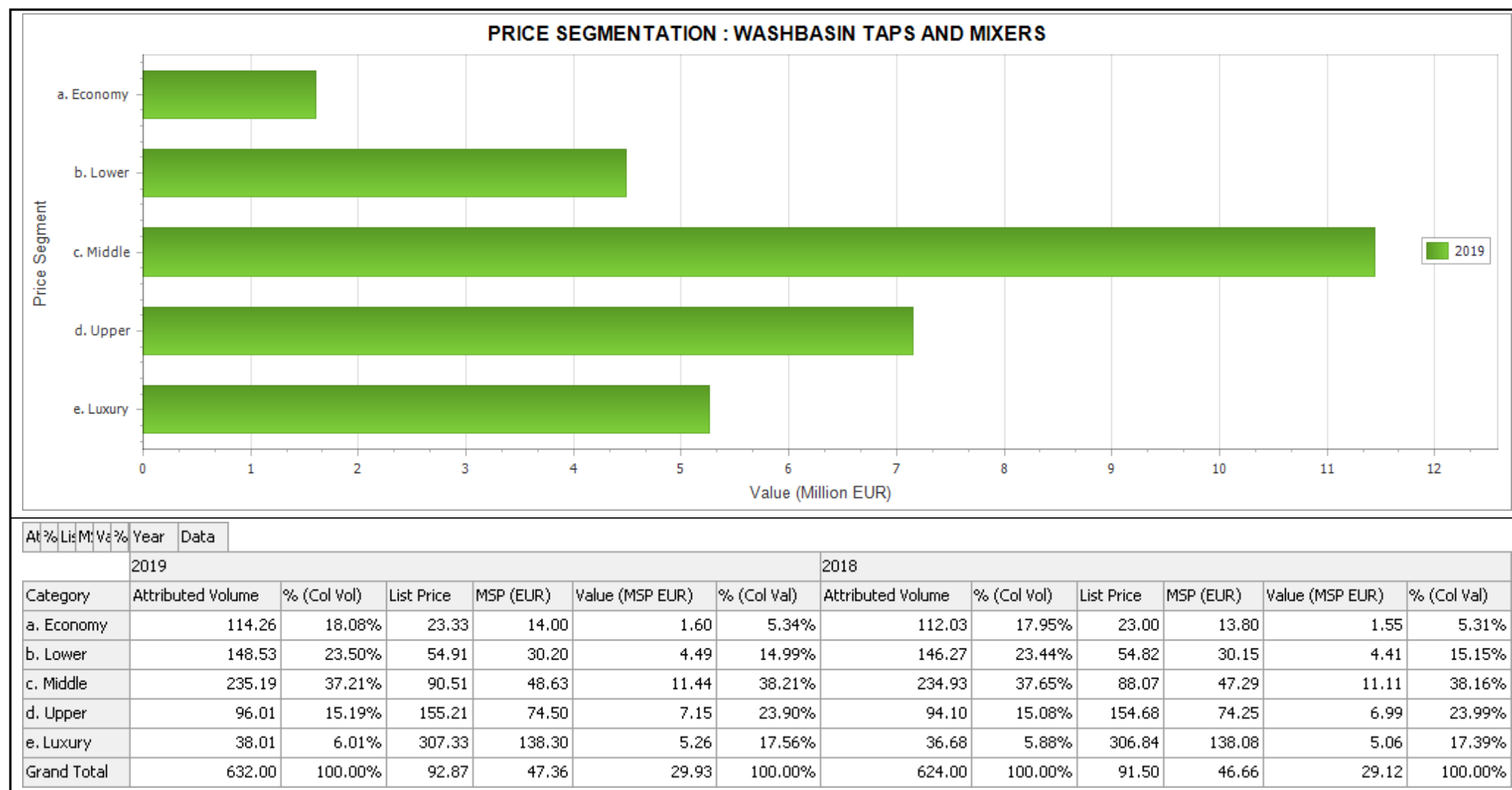
AT - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€45, Lower €45-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

3.3.7 Price Segmentation : Washbasin Taps and Mixers

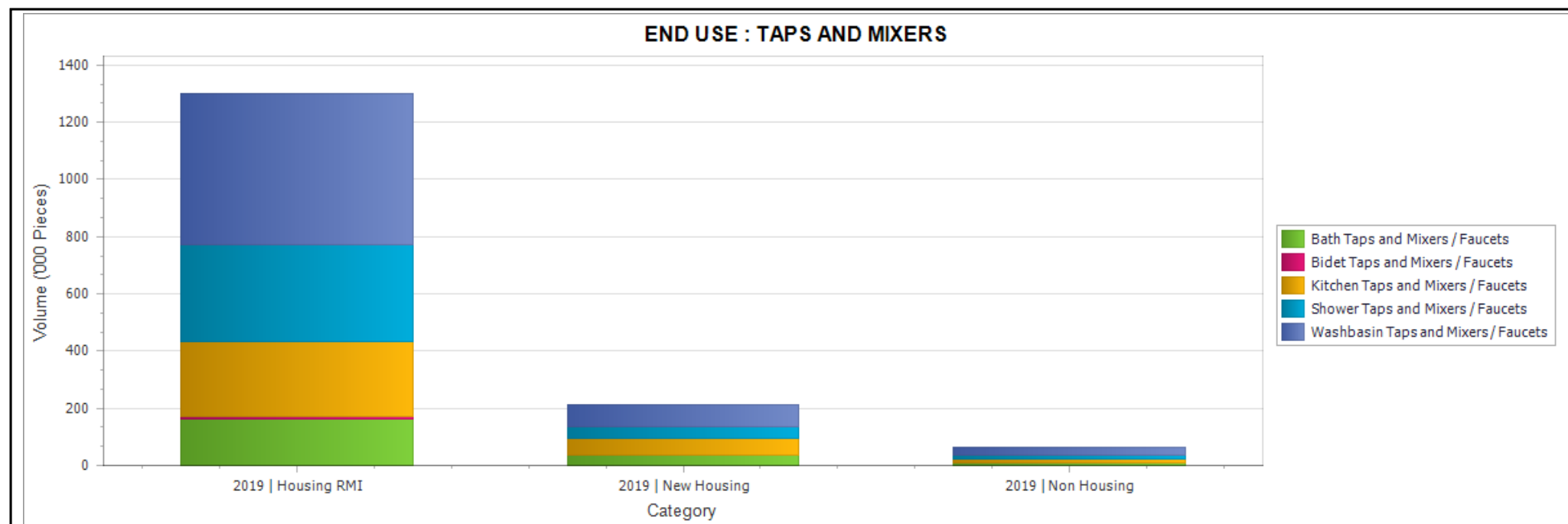
AT - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.4.1 End Use : Base Year

AT - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)

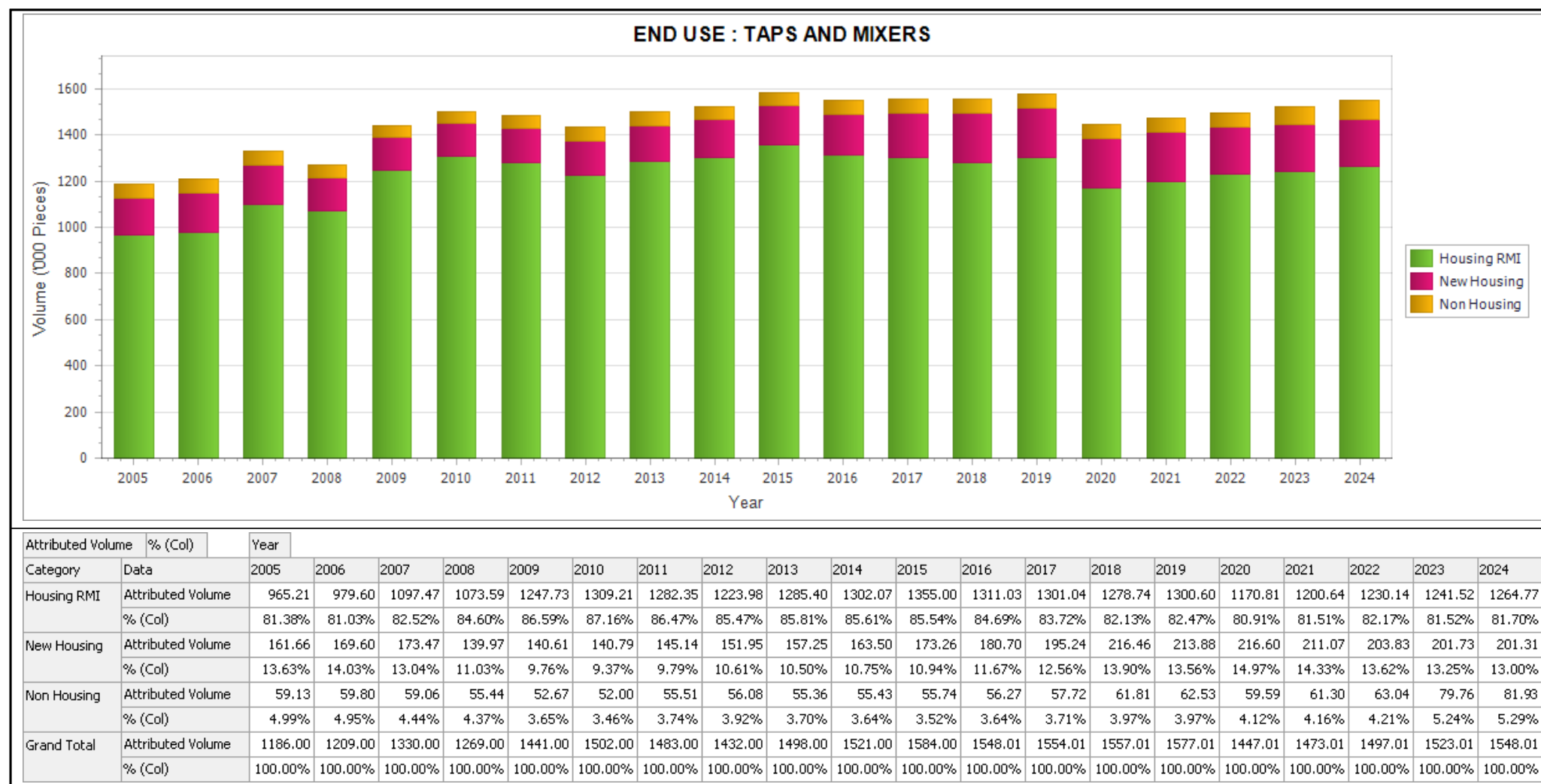


Attributed Volume	% (Col)	% (Row)	Year	Category	Data								
						2019					2019 Total		
						Housing RMI		New Housing		Non Housing			
Alt Product	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	
Bath Taps and Mixers / Faucets	162.49	12.49%	79.53%	34.50	16.13%	16.89%	7.32	11.70%	3.58%	204.30	12.96%	100.00%	
Bidet Taps and Mixers / Faucets	10.12	0.78%	79.67%	1.85	0.86%	14.56%	0.73	1.17%	5.76%	12.70	0.81%	100.00%	
Kitchen Taps and Mixers / Faucets	260.89	20.06%	78.58%	58.37	27.29%	17.58%	12.74	20.37%	3.84%	332.00	21.05%	100.00%	
Shower Taps and Mixers / Faucets	336.46	25.87%	84.96%	42.33	19.79%	10.69%	17.22	27.53%	4.35%	396.00	25.11%	100.00%	
Washbasin Taps and Mixers / Faucets	530.65	40.80%	83.96%	76.83	35.92%	12.16%	24.53	39.23%	3.88%	632.00	40.08%	100.00%	
Grand Total	1300.60	100.00%	82.47%	213.88	100.00%	13.56%	62.53	100.00%	3.97%	1577.01	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

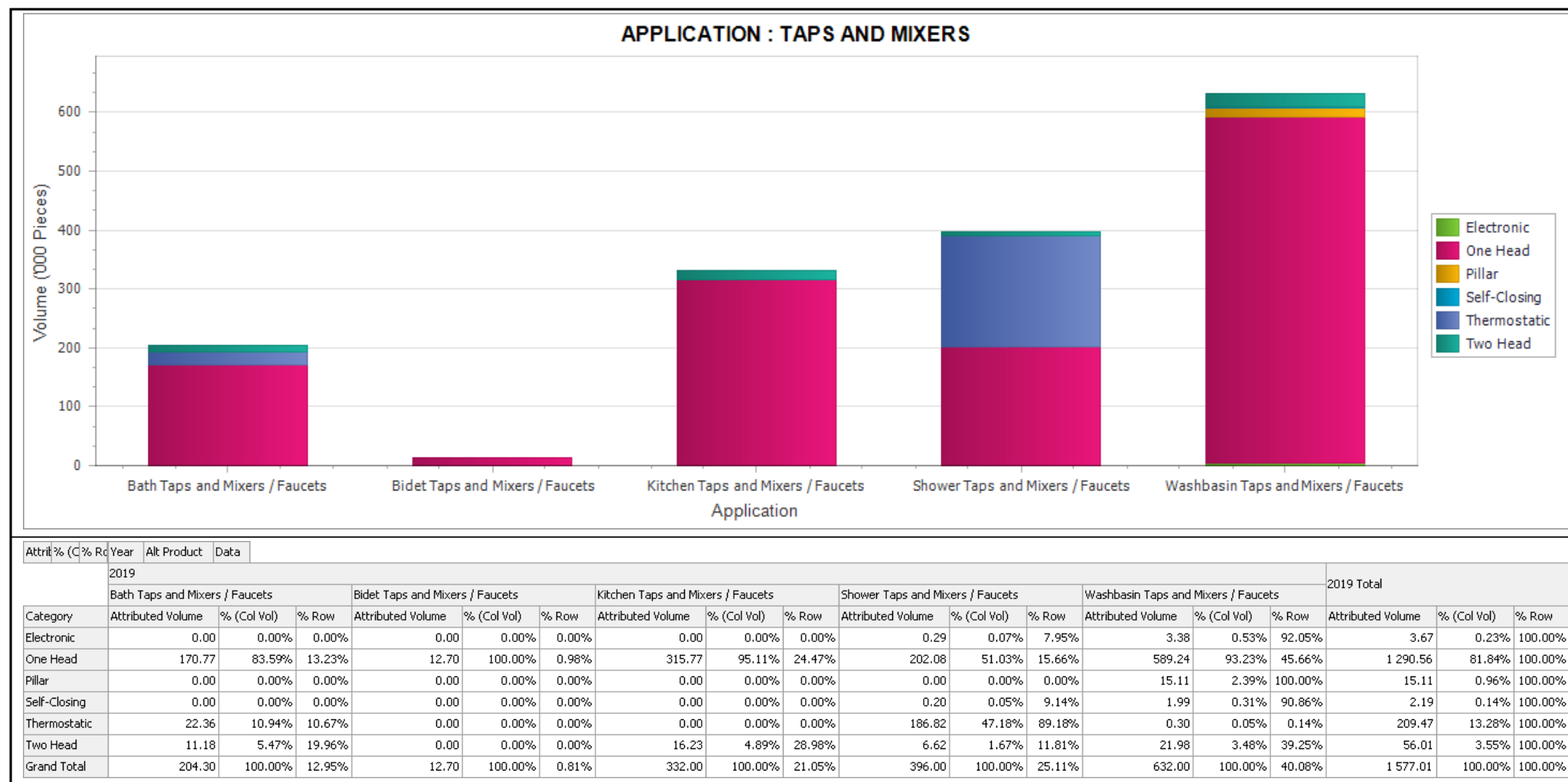
AT - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

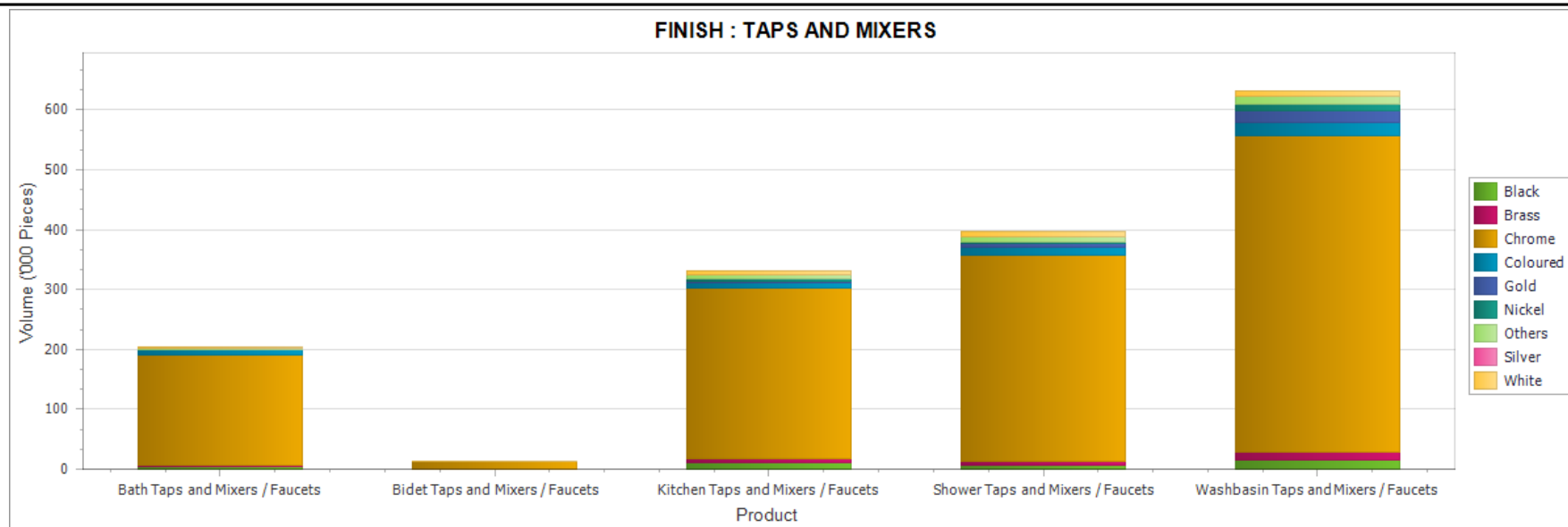
3.4.3 Sales by Type and Application : Taps and Mixers

AT - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

AT - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)

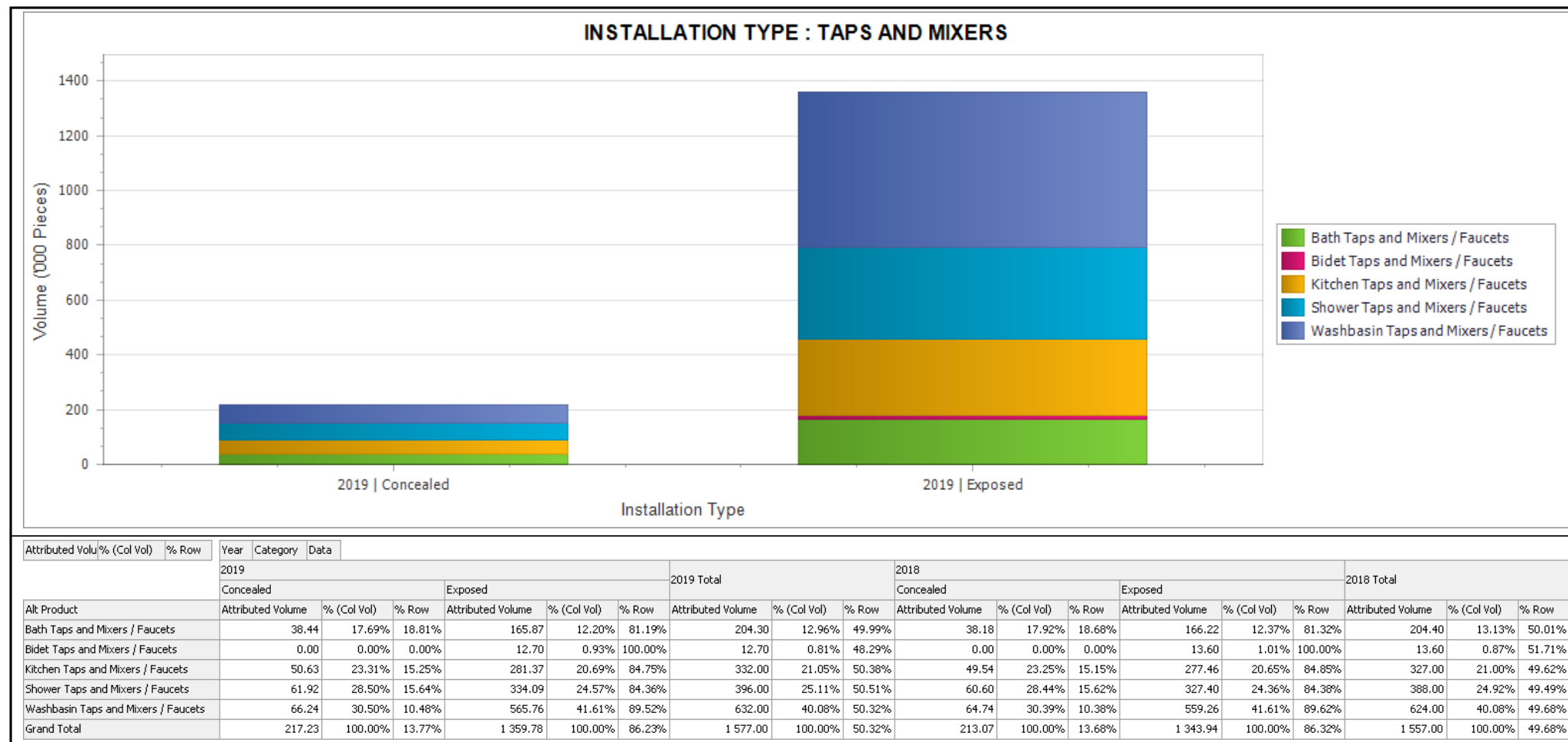


Attribu % (Col)	Year	Alt Product	Data									
	2019										2019 Total	
	Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets		Washbasin Taps and Mixers / Faucets			
Category	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)
Black	4.70	2.30%	0.18	1.40%	11.95	3.60%	5.94	1.50%	16.43	2.60%	39.20	2.49%
Brass	1.23	0.60%	0.00	0.00%	4.65	1.40%	7.52	1.90%	12.01	1.90%	25.41	1.61%
Chrome	185.91	91.00%	11.98	94.29%	285.52	86.00%	344.13	86.90%	529.62	83.80%	1 357.15	86.06%
Coloured	6.74	3.30%	0.00	0.00%	9.96	3.00%	13.07	3.30%	20.86	3.30%	50.63	3.21%
Gold	1.02	0.50%	0.00	0.00%	1.33	0.40%	7.13	1.80%	18.96	3.00%	28.44	1.80%
Nickel	1.02	0.50%	0.19	1.50%	4.98	1.50%	1.98	0.50%	11.38	1.80%	19.55	1.24%
Others	2.04	1.00%	0.13	1.00%	6.64	2.00%	9.11	2.30%	12.64	2.00%	30.56	1.94%
Silver	0.00	0.00%	0.18	1.40%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.18	0.01%
White	1.64	0.80%	0.05	0.40%	6.97	2.10%	7.13	1.80%	10.11	1.60%	25.90	1.64%
Grand Total	204.30	100.00%	12.70	100.00%	332.00	100.00%	396.00	100.00%	632.00	100.00%	1 577.01	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

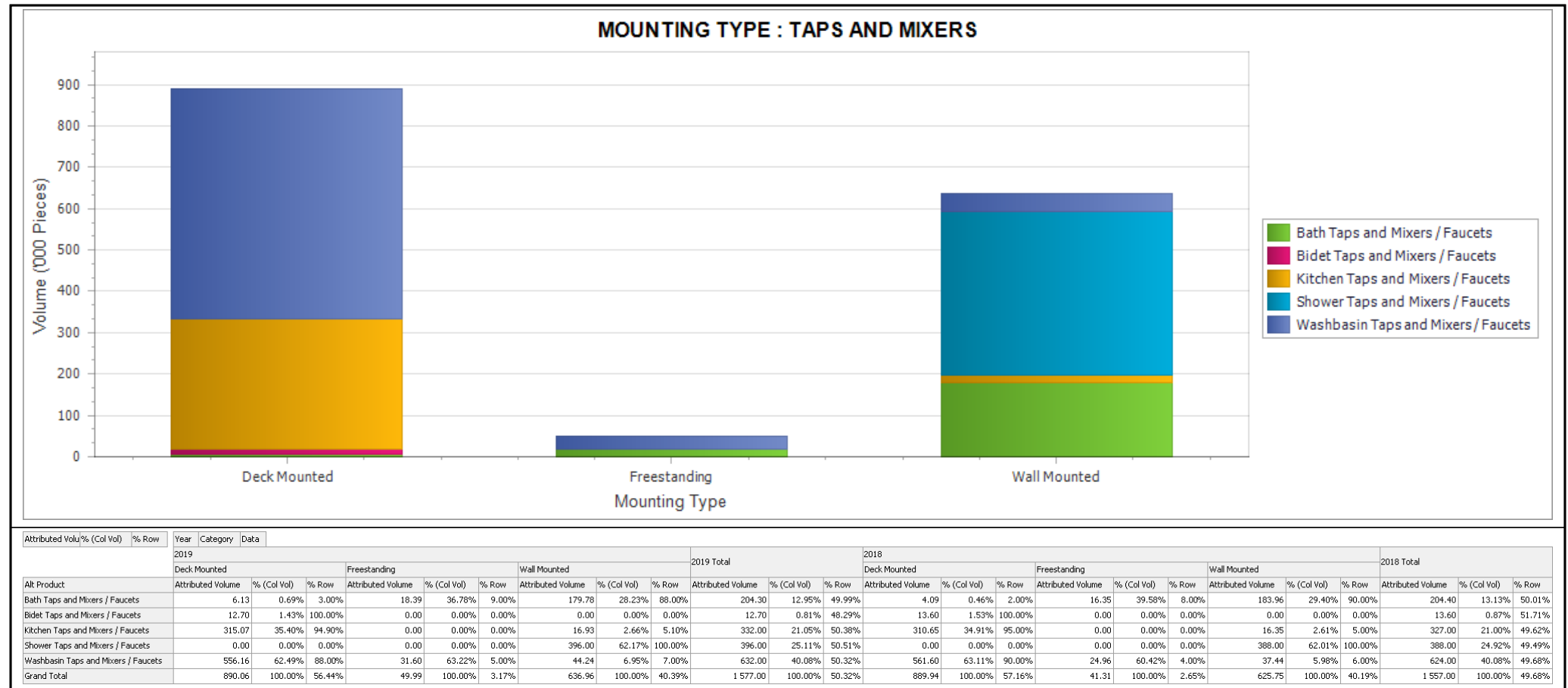
AT - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

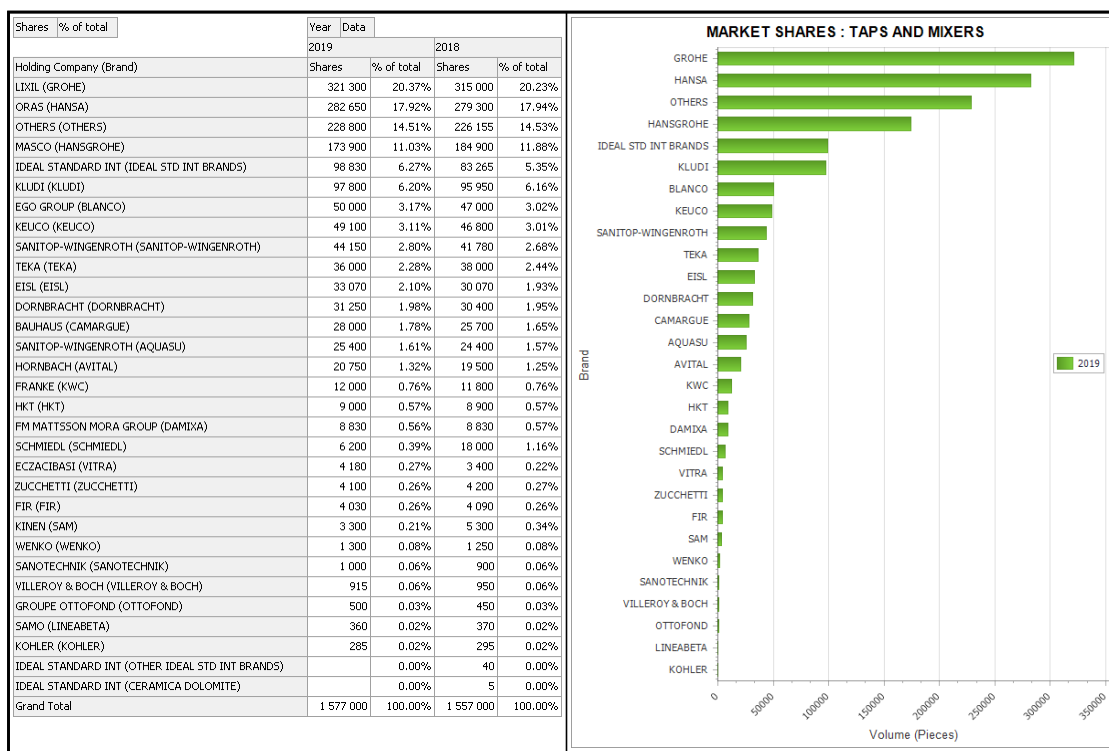
AT - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

AT - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 AT - IMPORTS OF TAPS & MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	5 188	77.2%	98 780	75.5%	4 264	69.2%	91 863	73.3%
China	526	7.8%	5 082	3.9%	967	15.7%	8 790	7.0%
Italy	274	4.1%	7 375	5.6%	226	3.7%	6 086	4.9%
Bulgaria	127	1.9%	1 707	1.3%	102	1.7%	1 325	1.1%
Denmark	117	1.7%	2 504	1.9%	195	3.2%	3 453	2.8%
Belgium	113	1.7%	2 039	1.6%	109	1.8%	1 944	1.6%
Switzerland	89	1.3%	6 208	4.7%	87	1.4%	6 015	4.8%
OTHERS	290	4.3%	7 209	5.5%	216	3.5%	5 774	4.6%
Total	6 724	100.0%	130 904	100.0%	6 165	100.0%	125 250	100.0%

Source : Trademap

3.6.2 AT - EXPORTS OF TAPS & MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 689	65.5%	31 828	66.8%	2 214	68.3%	39 368	70.3%
Czech Republic	138	5.4%	2 518	5.3%	175	5.4%	3 035	5.4%
Hungary	114	4.4%	1 436	3.0%	153	4.7%	1 733	3.1%
Italy	97	3.8%	1 542	3.2%	65	2.0%	1 359	2.4%
Romania	84	3.3%	1 235	2.6%	101	3.1%	1 426	2.5%
Poland	78	3.0%	790	1.7%	161	5.0%	1 463	2.6%
Switzerland	74	2.9%	2 978	6.2%	77	2.4%	2 927	5.2%
Slovenia	55	2.1%	1 057	2.2%	80	2.5%	1 604	2.9%
Croatia	47	1.8%	548	1.1%	67	2.1%	682	1.2%
Slovakia	44	1.7%	707	1.5%	54	1.7%	756	1.3%
Spain	30	1.2%	394	0.8%	3	0.1%	43	0.1%
OTHERS	128	5.0%	2 639	5.5%	91	2.8%	1 628	2.9%
Total	2 578	100.0%	47 672	100.0%	3 241	100.0%	56 024	100.0%

Source : Trademap

3.7.1 Route to Market: Taps & Mixers / Faucets
AT - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.6%
	Wholesalers / Merchants
	73.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.3%	11.1%	13.2%	24.1%	10.6%	23.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.4%		37.3%		33.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.3%	13.0%	2.1%	11.1%	9.6%
Installers				
37.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.0%	2.1%	10.1%	25.9%	23.0%	34.9%	0.0%	0.3%	0.2%	0.3%	1.0%	2.2%			
	Residential						Non-Residential								
	96.0%						4.0%								
New Build				Residential RMI				New Build				Non-Residential RMI			
13.6%				82.5%				1.4%				2.6%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
11.1%		2.5%		10.0%		72.5%		1.0%		0.4%		1.0%		1.6%	

3.7.2 Route to Market: Taps & Mixers / Faucets
AT - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.0%
	Wholesalers / Merchants
	75.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.5%	11.2%	13.1%	24.2%	9.8%	23.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.7%		37.3%		32.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	13.0%	2.2%	11.1%	9.0%
Installers				
35.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.1%	3.2%	10.2%	25.8%	22.7%	32.7%	0.0%	0.4%	0.3%	0.4%	1.1%	3.1%
	Residential						Non-Residential					
	94.7%						5.3%					
New Build						Residential RMI						
13.0%						81.7%						
Project		Non-Project		Project		Non-Project		Project		Non-Project		
11.0%		2.0%		10.0%		71.7%		1.5%		0.5%		

New Build				Non-Residential RMI			
2.0%				3.3%			
Project		Non-Project		Project		Non-Project	
1.5%		0.5%		1.0%		2.3%	

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Taps and Mixers / Faucets

AT - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2019

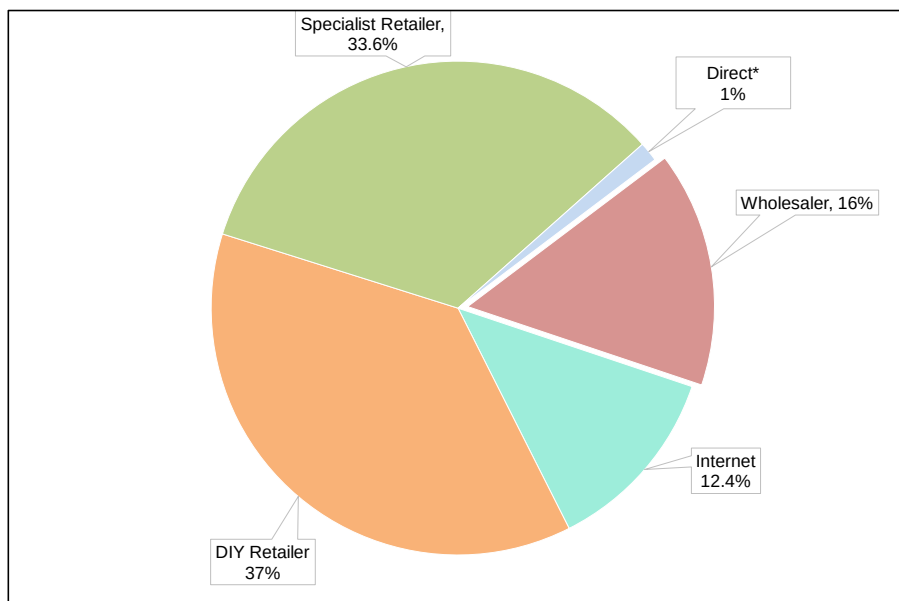
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.4%	12.4%	37.3%	33.6%	1.3%	21.1%	2.0%	74.9%	2.0%
100%					23.1%		76.9%	

3.7.4 Route to Market - Consolidated View : Taps and Mixers / Faucets

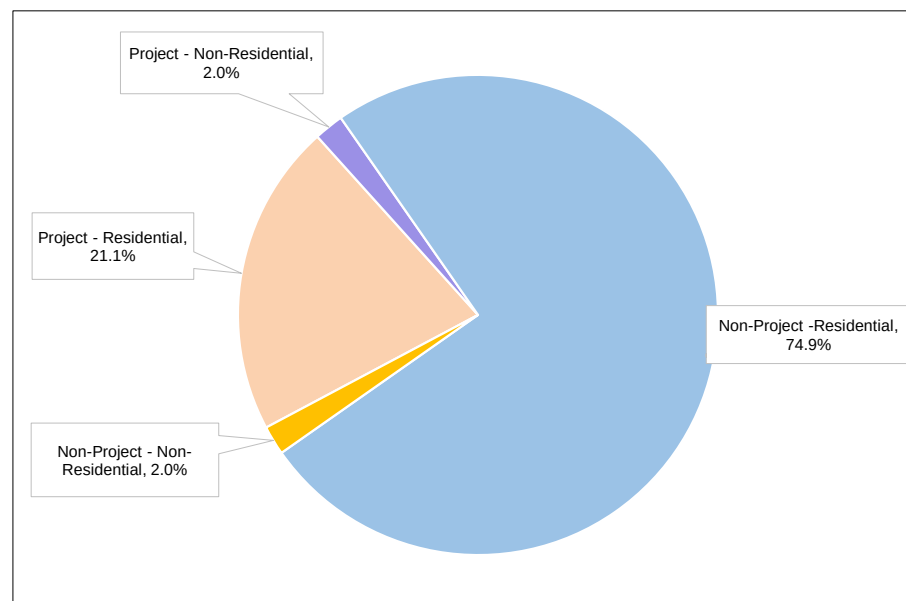
AT - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.6%	12.7%	37.3%	32.8%	0.6%	21.0%	2.5%	73.7%	2.8%
100%					23.5%		76.5%	

AT - SALES OF TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



AT - SALES OF TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



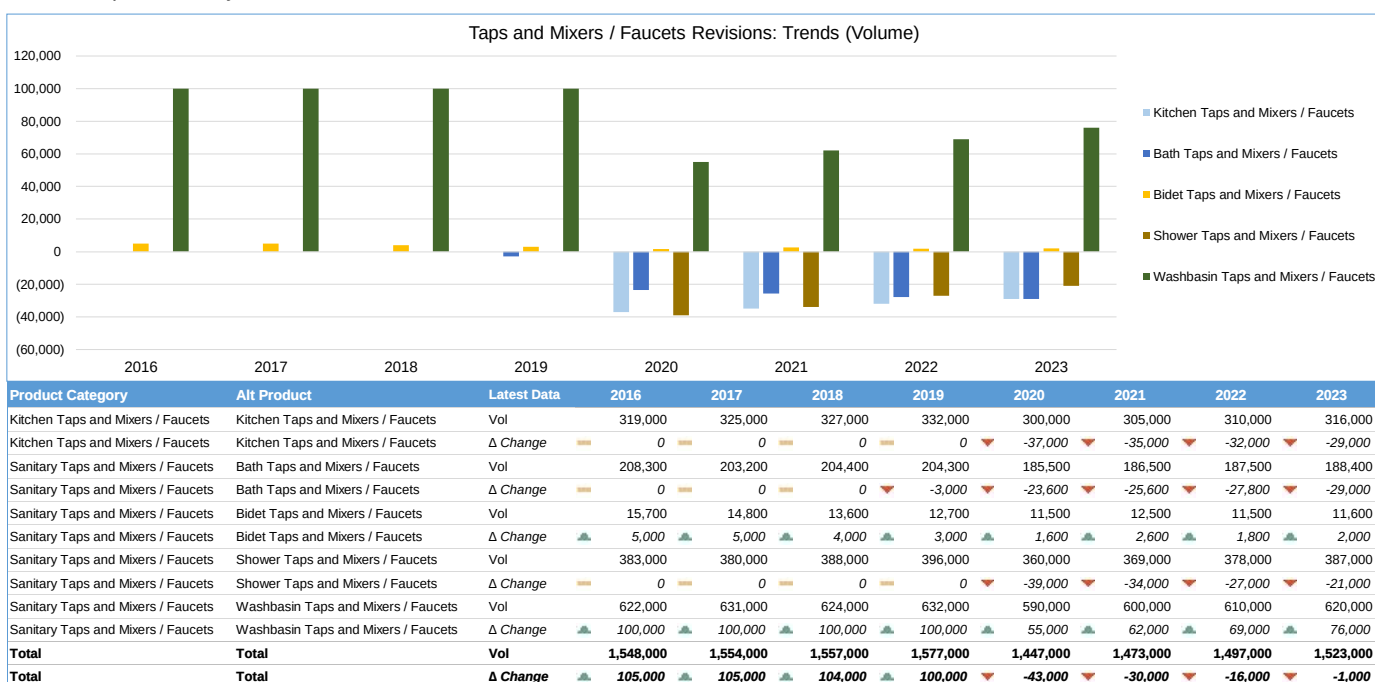
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Austrian Taps and Mixers / Faucets Market (July 2020)

AT - REVISIONS IN THE AUSTRIAN TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: July 2019



The market volumes for bidet and washbasin taps and mixers were revised up according to the revisions made to the ceramic sanitary ware market. The market volumes were revised historically and adjusted accordingly in the forecast.

AUSTRIA

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Shower enclosures and bath screens first appeared on the Austrian market in the mid-1970s, but sales only really took off in the early 1980s. Most of the growth came from the DIY sector, while sales through the *Fachgroßhandel* (wholesalers) and direct sales to installers stagnated to a certain extent.

The overall shower wall market is a mature market that strongly depends on construction activity and private investments. For a long time, the development in the shower wall market followed that of the shower tray market closely; however, this all changed with the introduction of walk-in showers. In addition, not all baths were equipped with a bath screen when installed and there is, therefore, an important retrofitting park. Another area where the shower wall market does not necessarily follow the shower tray market is that shower curtains are often used in public buildings and cheap hotels, where barrier free shower entry must be guaranteed, but also in rented dwellings, where the replacement purchasing decision is guided by price levels.

Conventional shower cubicles have nearly disappeared from the Austrian market. Most models are for pure like-for-like replacement purposes. Such products range from low levels of prices, usually sold in DIY stores, to high-end products.

The strong conservatism of Austrian consumers and the high price of glass long hampered the development of glass shower wall products; however, since 1993, the market for glass has been booming. Glass products nowadays (*Echtglas/Sicherheitsglas*) account for almost all sales in volume terms, and plastics (*Kunstglas*) for the minority. Nowadays, the prices of synthetic models are only slightly below the prices of glass models, which further drives the growing popularity of glass enclosures, especially for showers.

The lifespan of shower walls in Austria is estimated to be one of the longest in Europe, as Austrians are quality-focused and low-quality products, therefore, are not in high demand in Austrian households. Due to the large park of shower walls installed, replacement activity remains the main driver for the overall shower wall market. RMI housing is linked to private consumption and housing transactions, which benefit (and should in the foreseeable future) from low levels of interest rates.

Recent Market Trends

In 2019, sales volumes in the Austrian shower wall market were mostly consistent with those seen throughout 2018. Demand was positive for all different products except for bath screens, which experienced a marginal decline in 2019, when compared to the previous year. The positive development over the whole shower wall market certainly benefited the most from the high level of dwellings completions (especially new houses where more shower wall products are installed

as opposed to new apartments) in 2019. Additionally, the non-housing activity was driven by solid GDP growth along with private consumption, and ongoing high levels of public investments. Growth of the shower wall market in 2019 was driven by increased demand for shower enclosures, whilst demand for bath screens dropped slightly compared to 2018. Conventional shower cubicles, which is the smallest segment within the shower wall market, experienced the highest increase compared to 2018. Hydrotherapy shower cubicle sales also experienced some growth, thanks to the trend away from baths towards showering as well as the positive macroeconomic developments in 2019.

As in previous years, the average prices of conventional shower cubicles proved to be too high to allow such products to compete with shower enclosures, which have also benefited from the growing demand for shower trays, and with bath screens perceived as easy-to-install and cheap solutions. The shower wall market remained in 2019 largely dominated by sales of shower enclosures, which enjoyed greater demand from consumers for glass products. Sales of shower enclosures remained characterised in 2019 by the popularity of side wall and hinged models.

In terms of distribution, the market continued to move away from the traditional wholesale and specialist retailer/showroom channels towards the growing DIY channel, where consumers are increasingly looking for cheaper products.

Prices and Market Values

Hydrotherapy shower cubicles are the most expensive shower wall type, often sold in the luxury segment. Customers opting for this product have stronger purchasing power and can spend more on these types of niche products. Shower enclosures are the most popular shower wall type. Shower wall products are usually offered to dealers with a margin of approximately 30% off the list price. Such a margin, however, can increase to up to 50% when dealers agree to sign a longer-term agreement with manufacturers.

The average MSP for all types of shower wall products grew in 2019, mainly because of increased sales of glass models which are gradually becoming the standard in Austrian bathrooms, and to offset the growing labour costs. The rise in the MSP came from the rises seen across all price ranges. In share terms, an ongoing switch away from the middle price segment towards economy/lower and upper/luxury priced products continued.

New Housing

Generally, shower enclosures and bath screens are not installed in new housing at the time of handover, as buyers sometimes only install them when they move into the new home. These installations are still considered to be new housing demand by BRG. New housing has a relatively small share compared to the RMI segment. As, gradually, new dwellings are equipped only with shower trays instead of baths, this sector is dominated by shower enclosures. The use of conventional shower cubicles is negligible in this end-use segment. Some new houses may be equipped

with more than one type of shower wall such as shower enclosures and bath screens. This is mainly the case in new one- and two-family dwellings as they have usually two bathrooms, including shower trays and baths. As is the case for other bathroom products, the new housing sector is not the main market driver for shower walls in Austria. Demand for all types of shower walls slightly declined in 2019 in alignment with fewer new housing completions.

Housing RMI

The RMI segment accounts for the largest volume of shower walls and they are a common replacement product. Sales of all types of shower walls, except for baths screens, increased in 2019 when compared to previous year. The most significant market driver is shower enclosures, which account for the great majority of sales. Demand for shower walls is expected to decline strongly in 2020 due to the negative impact of the COVID-19 crisis. End-users are avoiding unnecessary renovations to remain isolated and some prefer to postpone projects for when the economic conditions are more secure. In 2021 demand is expected to recover quickly and the RMI segment is predicted to return to a solid growth in the coming years.

In some cases, a conventional shower cubicle is installed to upgrade a toilet room or even in a spare room, when people's mobility is limited, or when a flat was originally not equipped with a shower. The lifespan of shower wall products is on average much shorter than for shower trays and baths, which results in higher replacement demand in the shower wall market. Sales of shower wall products to housing RMI are set to increase in 2021 and 2022 onwards to make up for postponed projects during the COVID-19 crisis.

Non-Housing

The share of shower walls installed in the non-housing segment remained the smallest market segment in 2019. Shower enclosures are the most popular product in the non-housing segment, with a significant share generated by the hospitality sector. Demand slightly increased in 2019 when compared to the previous years, which saw a much stronger growth. It is believed that most sales of shower walls end up in hospitals and hotels. Austria is a popular tourism destination with a great variety of hotels, some of which are active in the low-end market. In the low-end price segment, shower curtains are a popular choice. They are less expensive to replace and maintain when compared to shower walls. In middle and especially upper priced accommodations as well as hotel chains, modern bathrooms would be more likely to be equipped with a walk-in shower. Except for 2020, when demand is negatively impacted by COVID-19 crisis, BRG expects that demand for shower wall products is likely to remain positive over the forecast period.

Supply Structure

The market for shower wall products is fragmented and a high share of products is imported, with a significant share coming from Italy and Germany. Most players are

active in the bath screen and shower enclosure segments. The share of DIY sales is high, with the majority of products in this channel believed to be manufactured in China. The share of products that is sold directly to installers is also high.

The market leader in the shower enclosure market is PALME, which is the largest domestic supplier. PALME sells exclusively through the wholesale channel and offers bath screens in addition to shower enclosures. The market leader is followed by ARTWEGER, the second largest Austrian market player, which sells products in the medium and upper price segments and directly to installers. Another important player in this segment is the Italian DUKA, which primarily distributes its products through the wholesale channel but also sells directly to installers. Other companies that sell directly to installers are German manufacturers BADUSCHO and BREUER.

NOVELLINI and DUSCHOLUX sell through the wholesale channel, although NOVELLINI is also present in the DIY channel.

Only a small number of players are active in the market for conventional shower cubicles, and they often also supply shower enclosures. The market leader is ARTWEGER, followed by DUKA. Other players in the market are PALME and BADUSHO. The latter sells exclusively through the wholesale channel.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

In the first half of 2020 the shower wall products have experienced a negative development when compared to 2019. This development is the result of the Covid-19 crisis, and in particular due to the temporary closure of construction sites in March and on further restrictions thereafter. Although new housing completions are expected to increase slightly, demand from the RMI and non-housing segment is predicted to decline strongly in 2020. The new housing market will not compensate the loss caused by the crises and all shower wall products are expected to experience a strong decline in 2020.

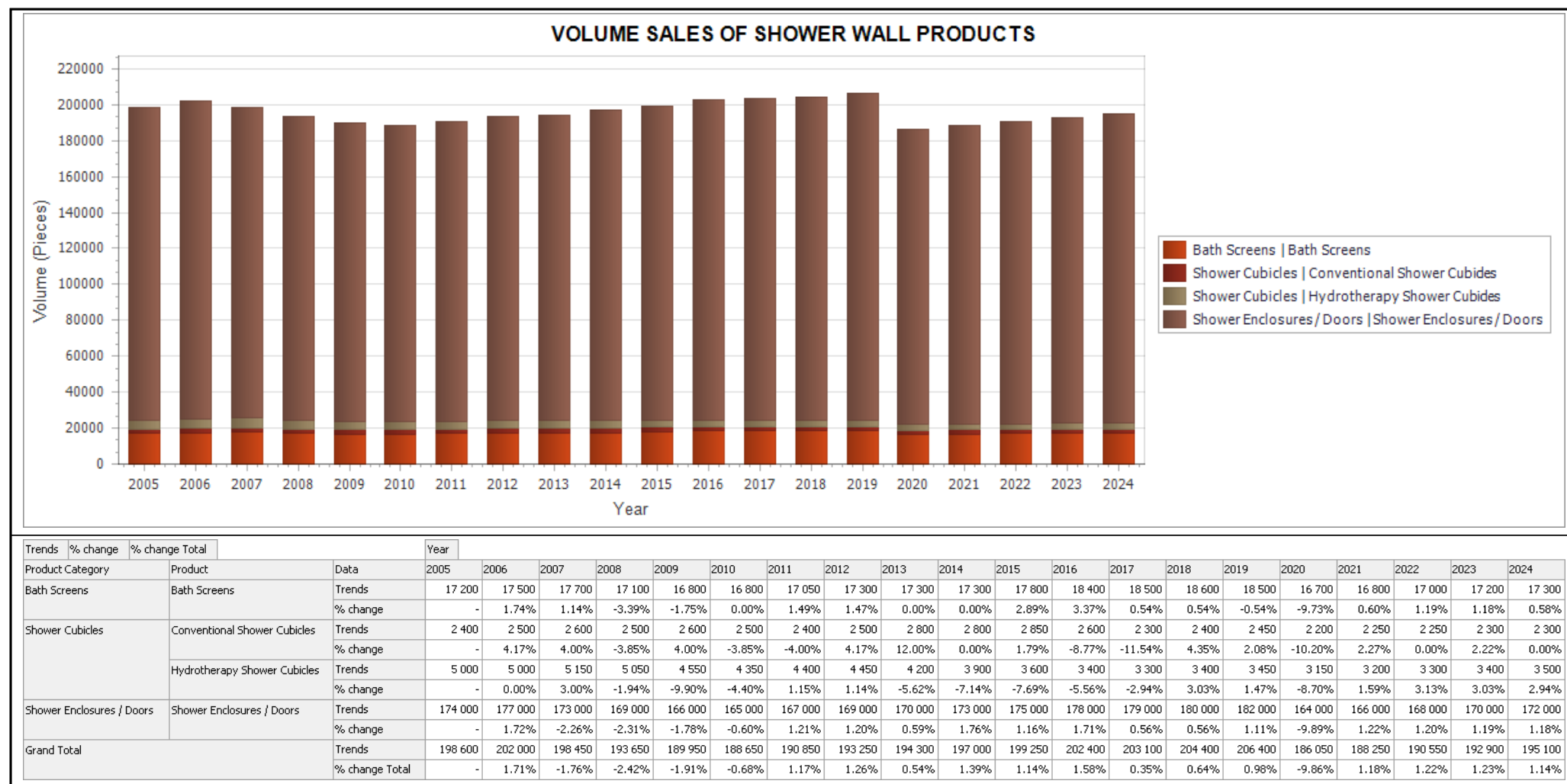
The medium-term outlook from 2021 for the overall Austrian shower wall market is predicted to be positive, but the growth should slightly slow down by the end of the forecast period. The role of DIY stores in the distribution chain might lead to increased price competition; however, the growth in internet distribution is likely to enable consumers to obtain higher quality products at lower prices, which should put pressure on traditional distribution channels such as independent merchants and DIY. Shower enclosures are expected to grow from 2021 onwards. They will further dominate the shower wall market. The trend towards smaller apartments and houses in the coming years is likely to benefit the development towards

showering instead of bathing.

In comparison to that, bath screen sales are directly linked to bath sales, which are being challenged by the trend towards showering away from bathing. To some extent, this development marginally benefits the bath screen market, which is predicted to experience a marginal increase over the forecast period from 2021 onwards thanks to replacement activity. As far as conventional shower cubicles are concerned, their demand might increase only slightly from 2021 onwards. The reason for this is that they are outdated products which are only used if there is no other option to install a shower.

4.2 Historical Trends and Forecasts : Shower Wall

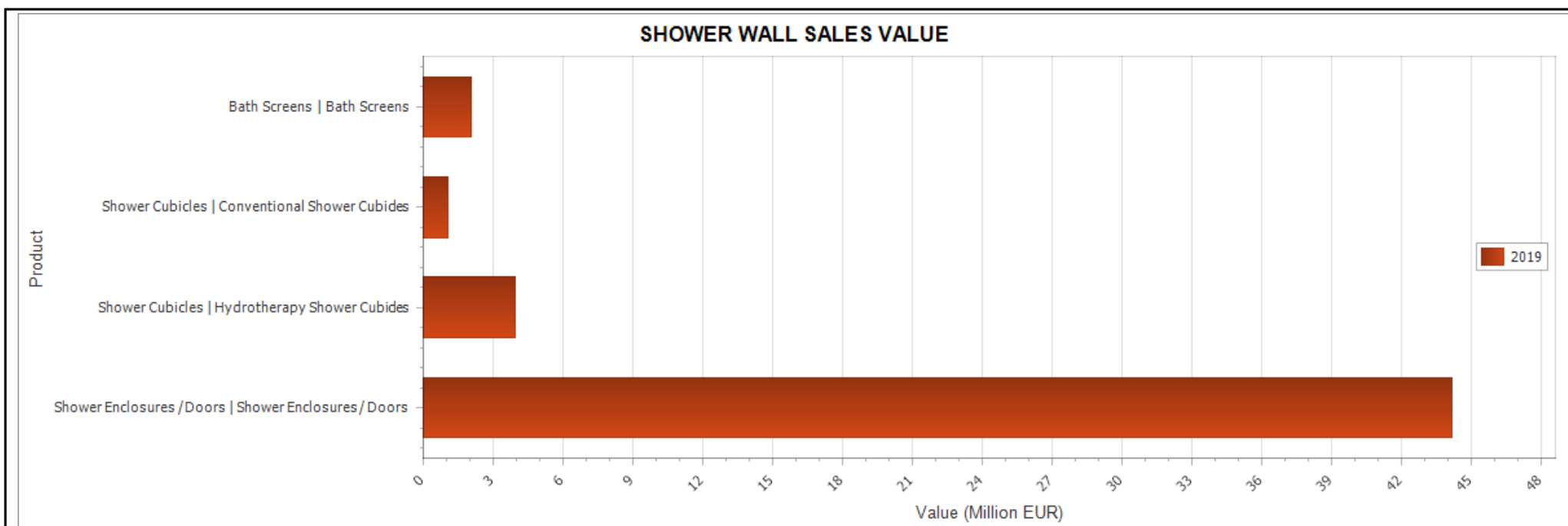
AT - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

AT - ESTIMATED VALUES OF THE SHOWER WALL MARKET

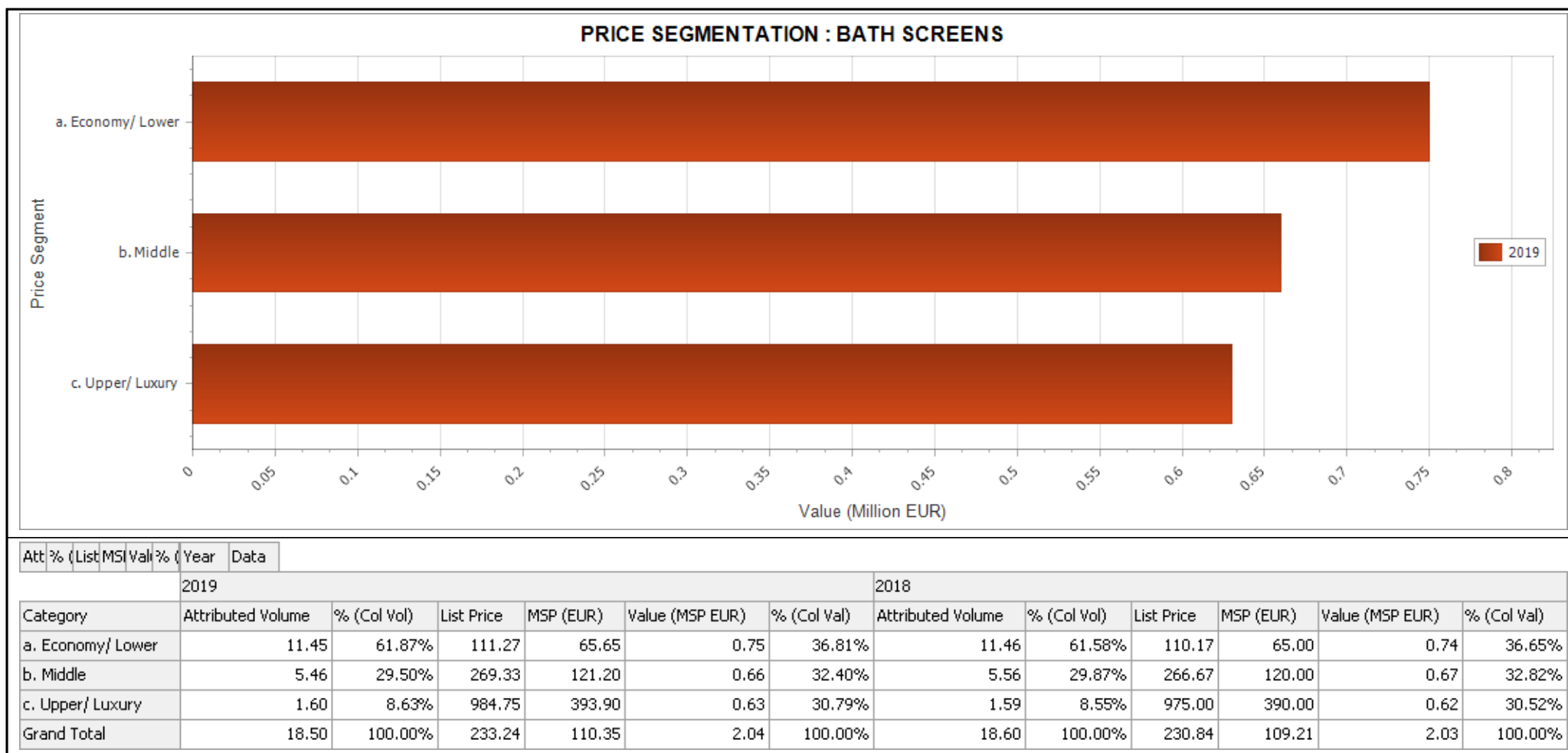


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
		2019			2018			
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Bath Screens	Bath Screens	18 500	110.35	2.04	18 600	109.20	2.03	
Shower Cubicles	Conventional Shower Cubicles	2 450	436.48	1.07	2 400	432.16	1.04	
	Hydrotherapy Shower Cubicles	3 450	1,150.22	3.97	3 400	1,138.06	3.87	
Shower Enclosures / Doors	Shower Enclosures / Doors	182 000	242.84	44.20	180 000	240.31	43.26	
Grand Total		206 400	248.43	51.28	204 400	245.57	50.19	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

AT - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

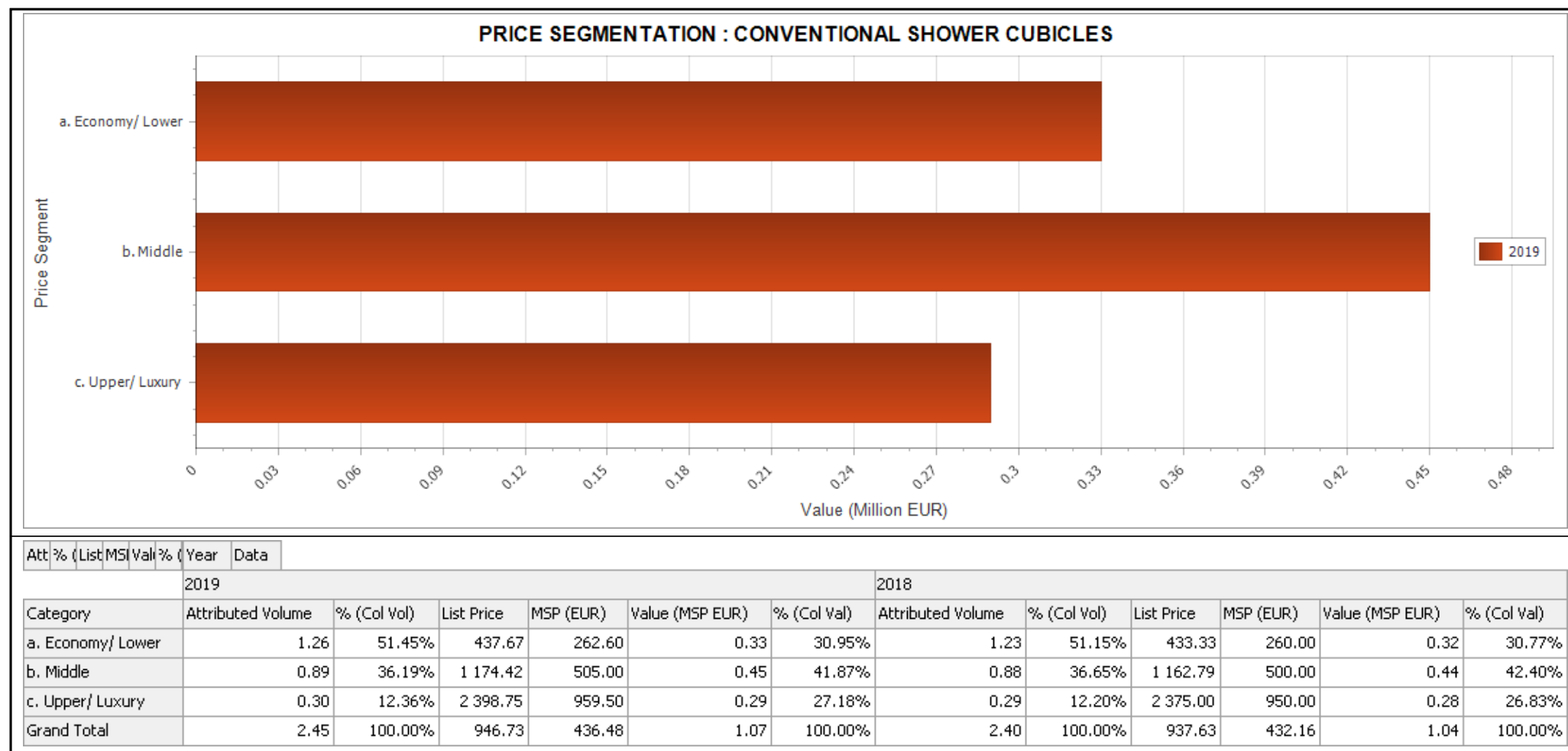


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

4.3.3 Price Segmentation : Conventional Shower Cubicles

AT - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

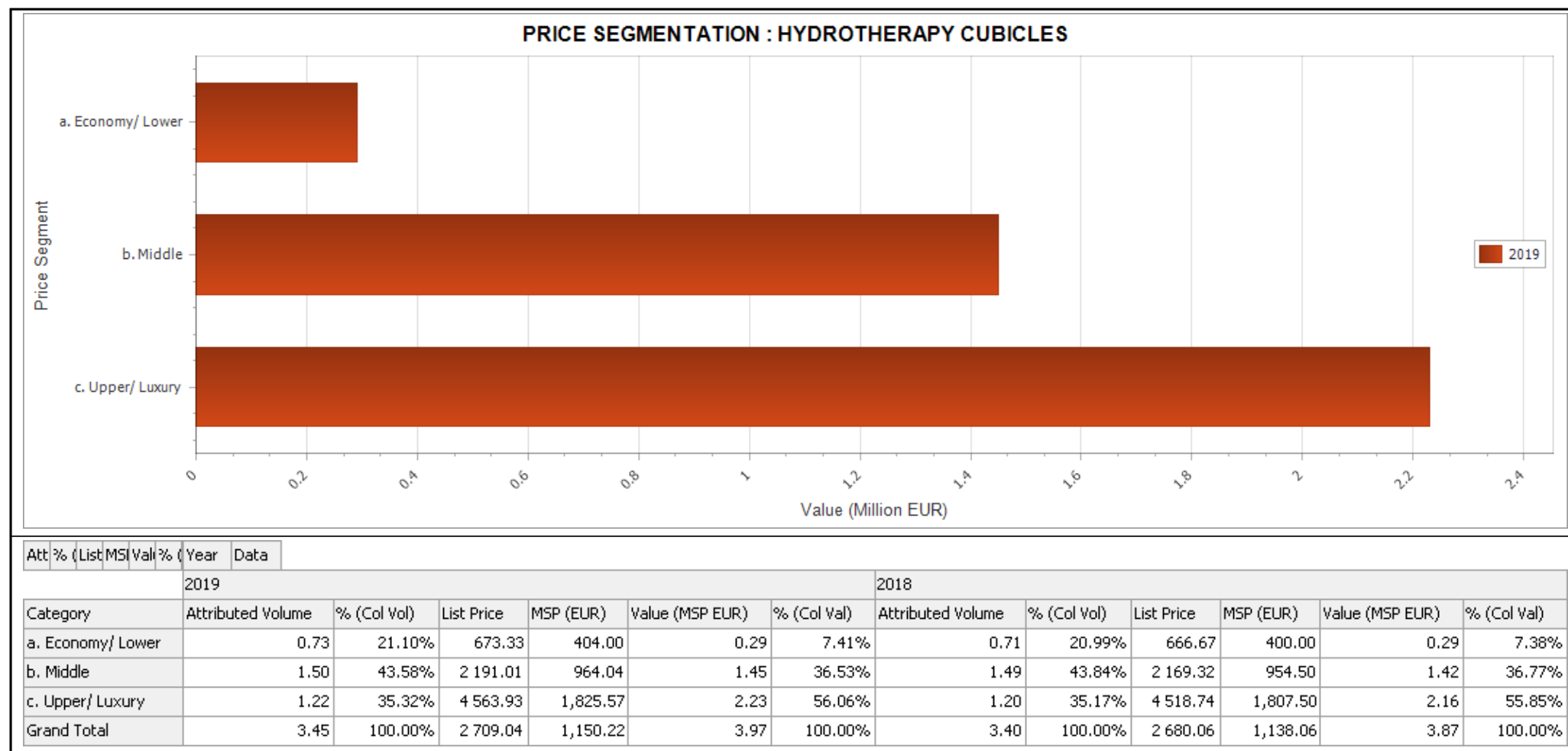


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€400, Middle €400-€600, Upper/ Luxury >€600

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

AT - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

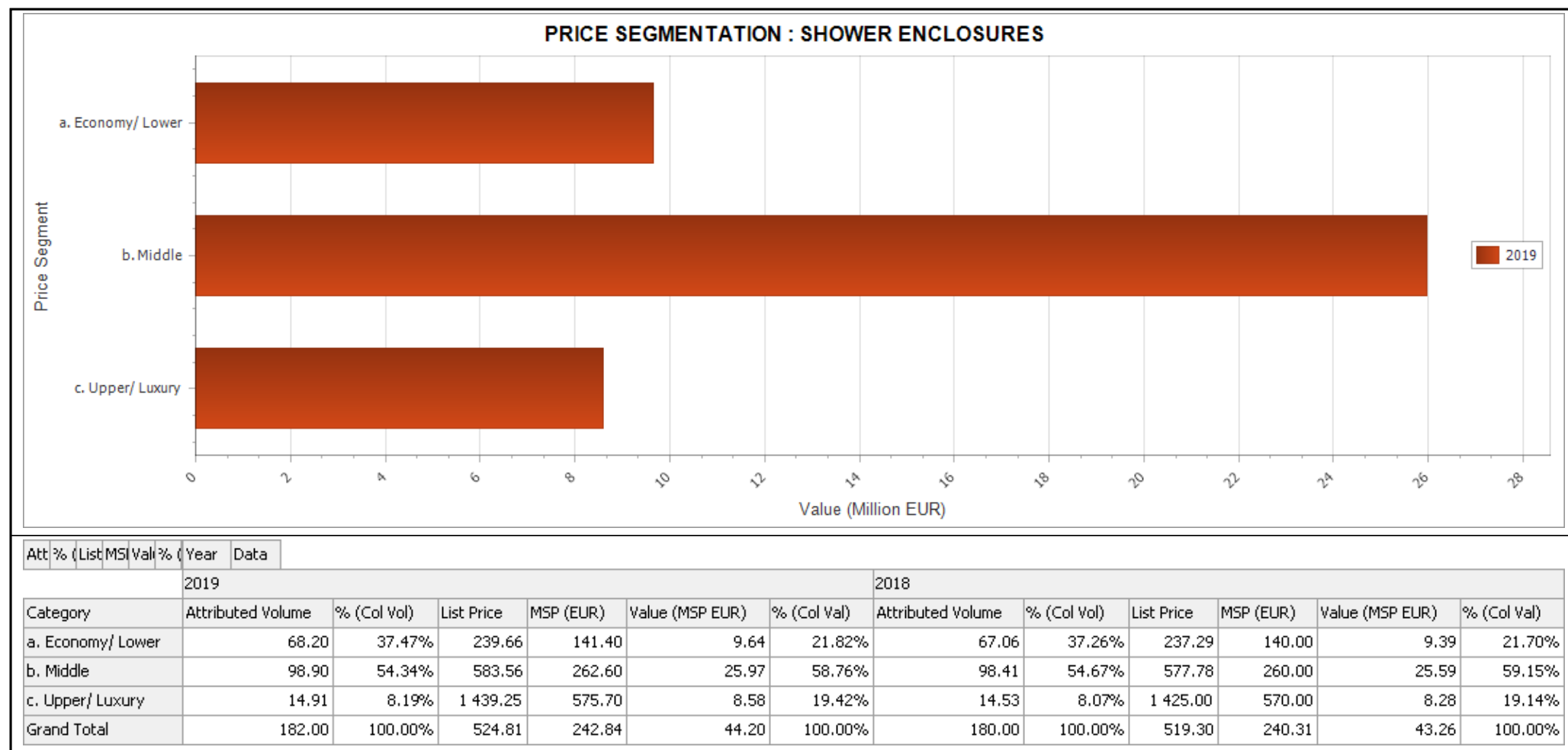


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€750, Middle €750-€1,500, Upper/ Luxury >€1,500

4.3.5 Price Segmentation : Shower Enclosures

AT - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

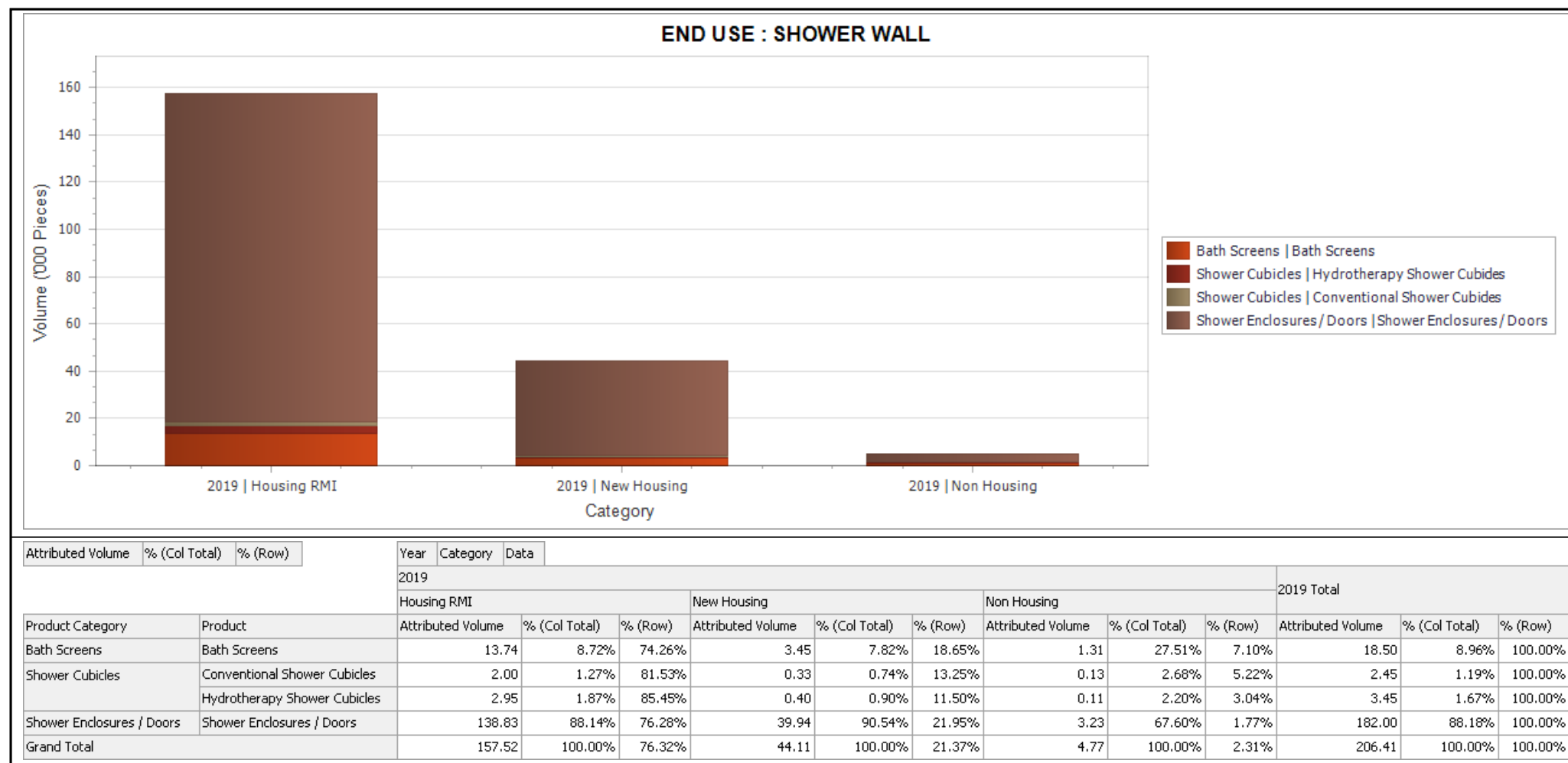


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

4.4.1 End Use : Base Year

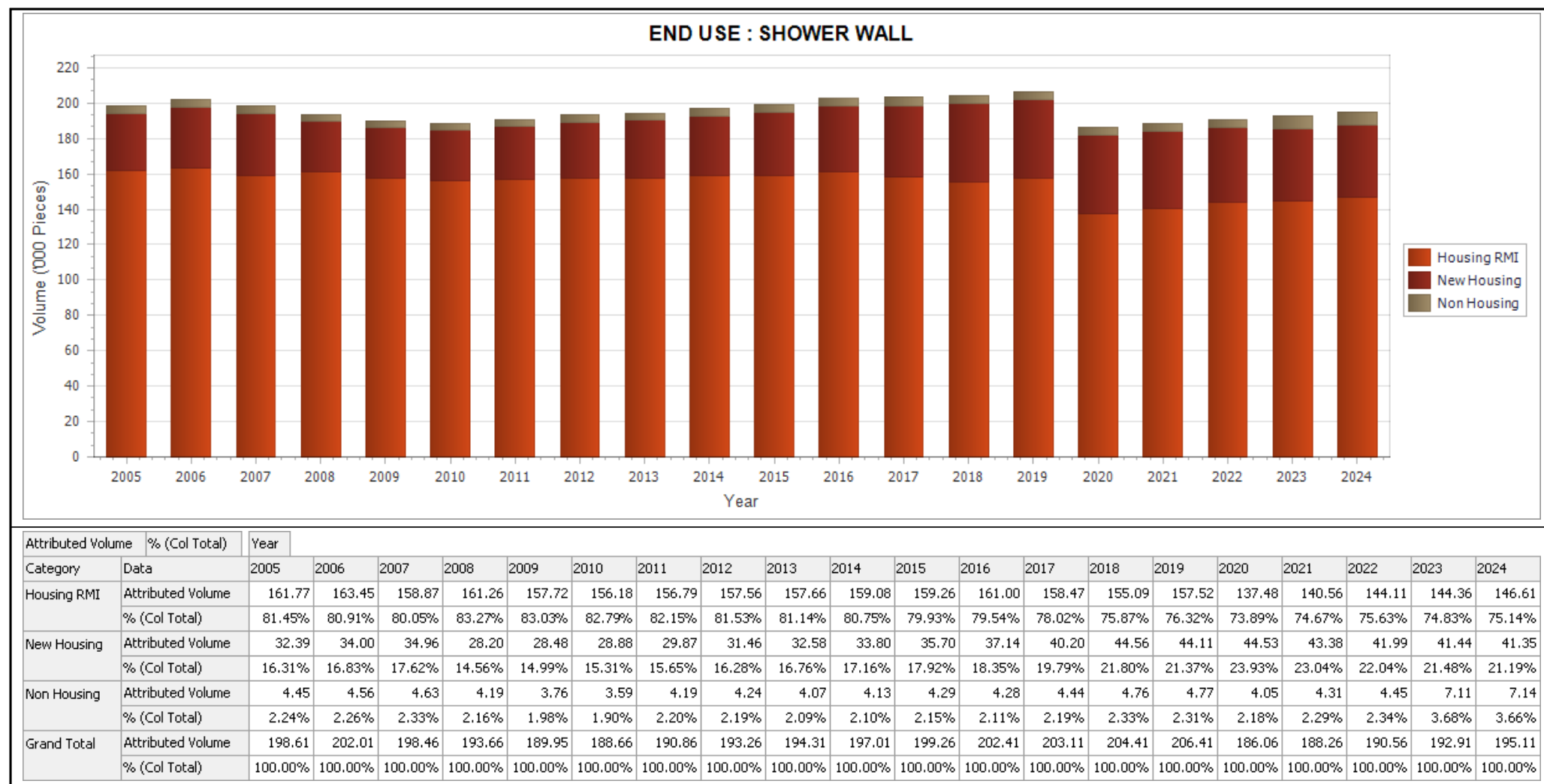
AT - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

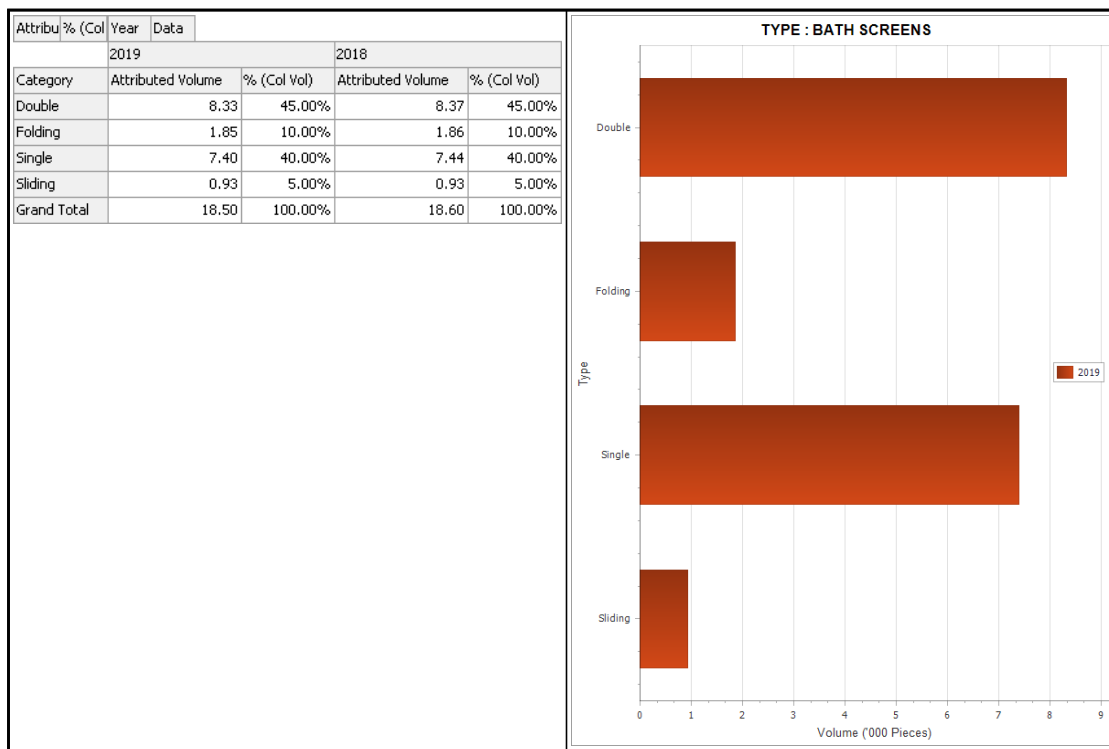
AT - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

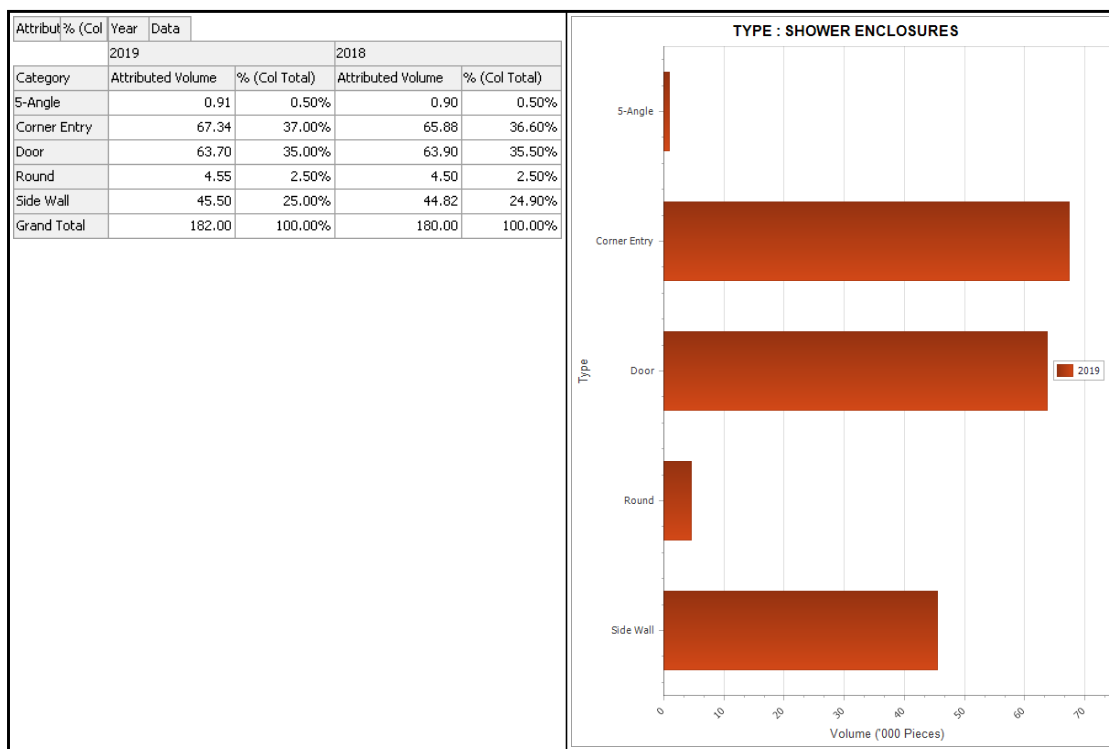
AT - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

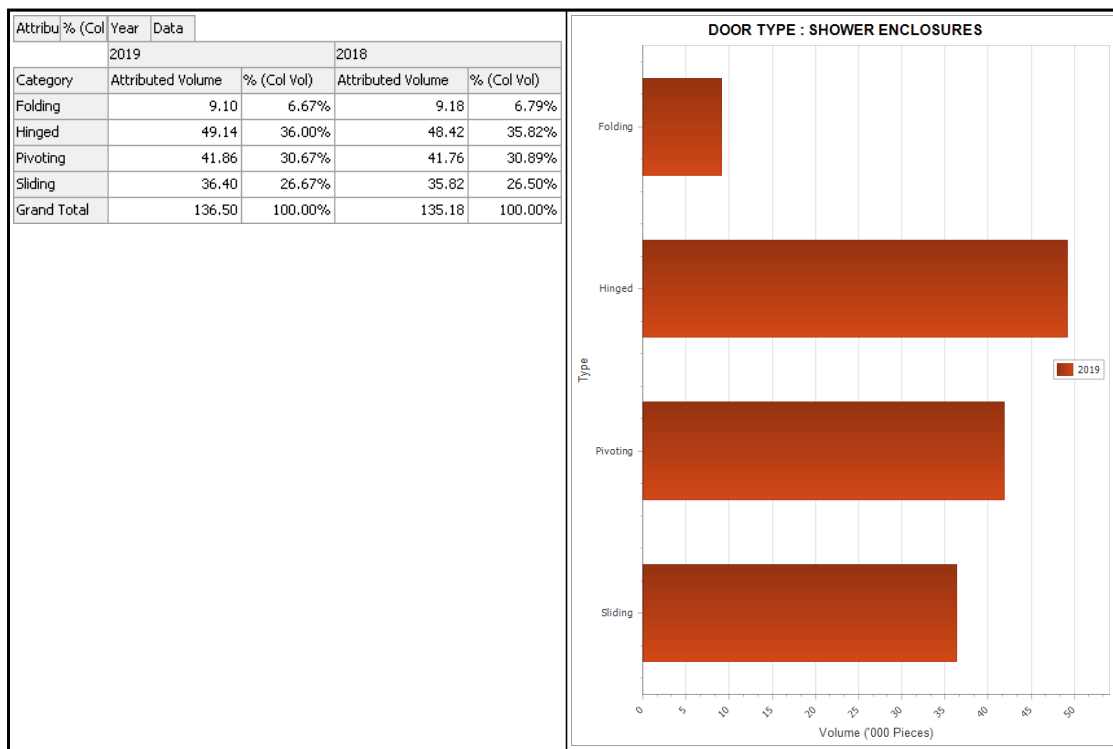
AT - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

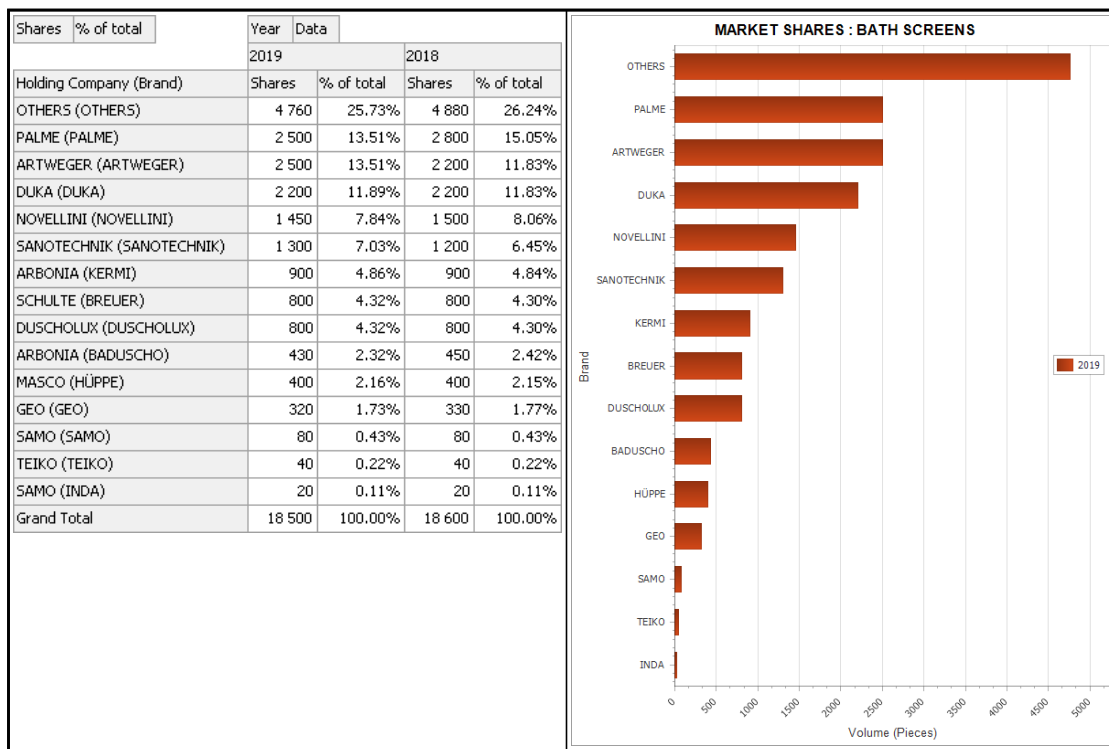
AT - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

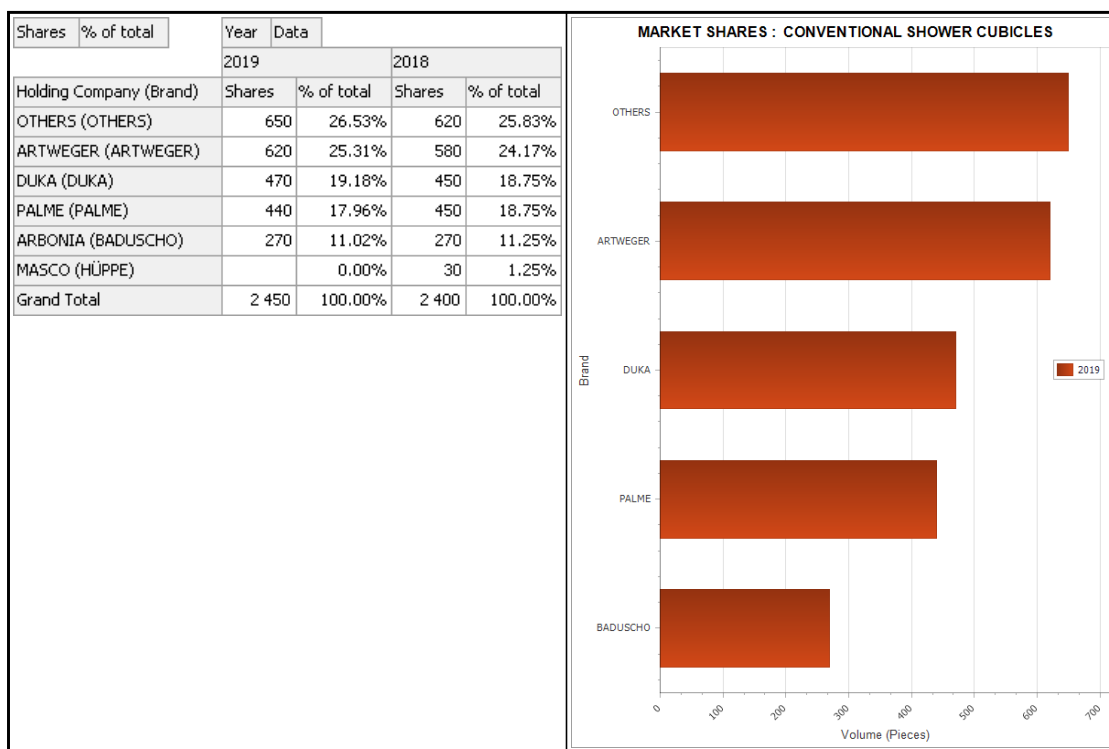
AT - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

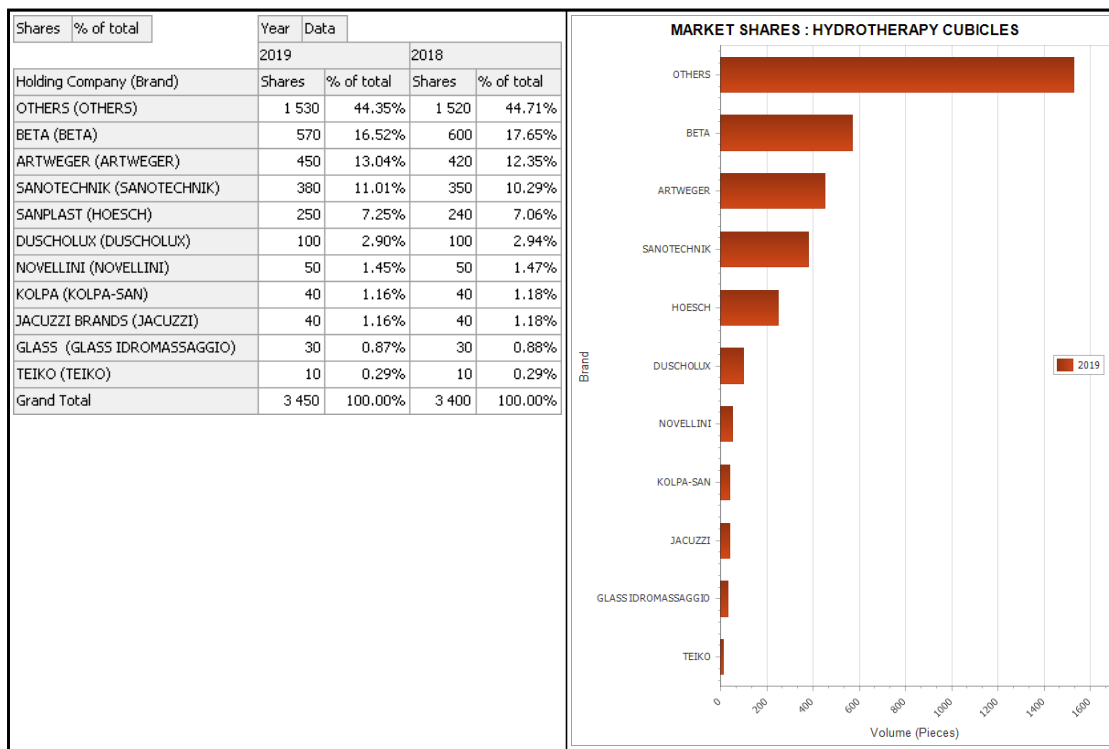
AT - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

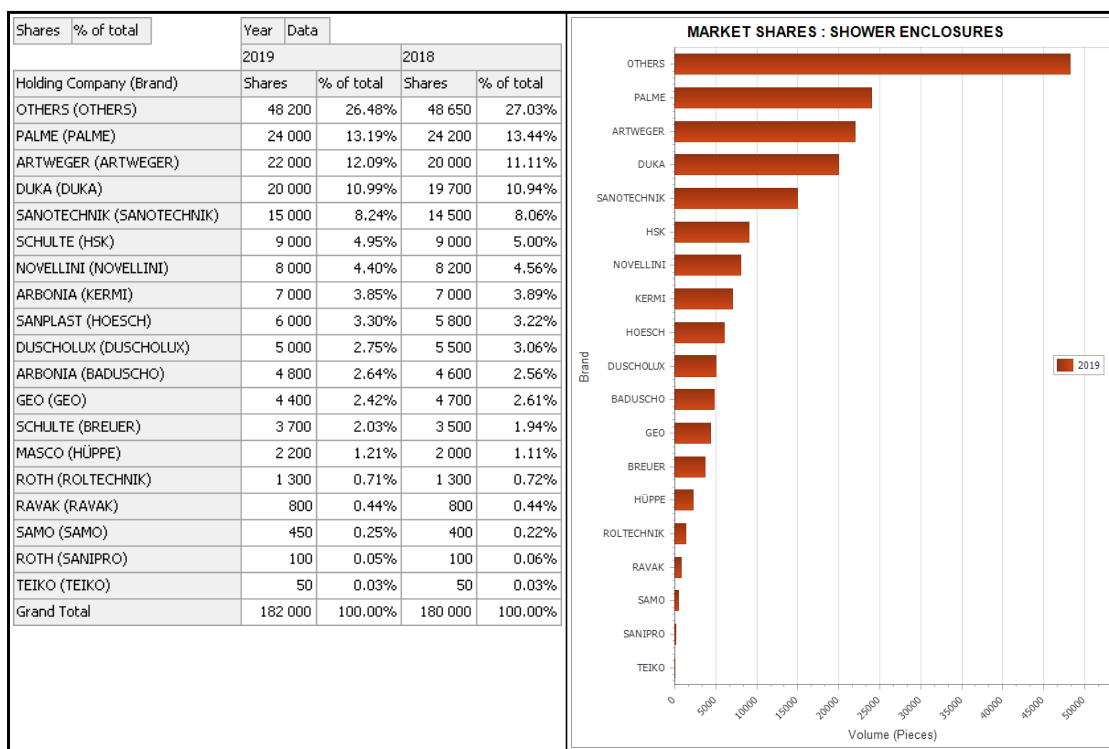
AT - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

AT - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
AT - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	41.0%
	Wholesalers / Merchants
	41.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.1%	3.2%		12.8%		5.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.3%		17.9%		50.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.3%	20.0%	1.5%	3.5%	12.3%
Installers				
40.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.0%	2.5%	3.6%	14.2%	38.0%	39.4%	0.0%	0.2%	0.2%	0.2%	0.5%	1.2%			
	Residential						Non-Residential								
	97.7%						2.3%								
New Build				Residential RMI				New Build				Non-Residential RMI			
21.4%				76.3%				1.1%				1.2%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
19.0%		2.4%		12.0%		64.3%		0.8%		0.3%		0.8%		0.4%	

4.6.2 Route to Market: Shower Wall
AT - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	41.9%
	Wholesalers / Merchants
	41.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.0%	3.4%		13.4%		5.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.4%		18.6%		47.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.8%	20.0%	1.4%	3.6%	9.0%
Installers				
38.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.4%	3.0%	3.7%	14.7%	38.0%	36.5%	0.0%	0.3%	0.3%	0.3%	0.5%	2.3%			
	Residential						Non-Residential								
	96.3%						3.7%								
New Build				Residential RMI				New Build				Non-Residential RMI			
21.2%				75.1%				1.5%				2.2%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
19.0%		2.2%		13.5%		61.6%		1.3%		0.2%		1.7%		0.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

AT - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

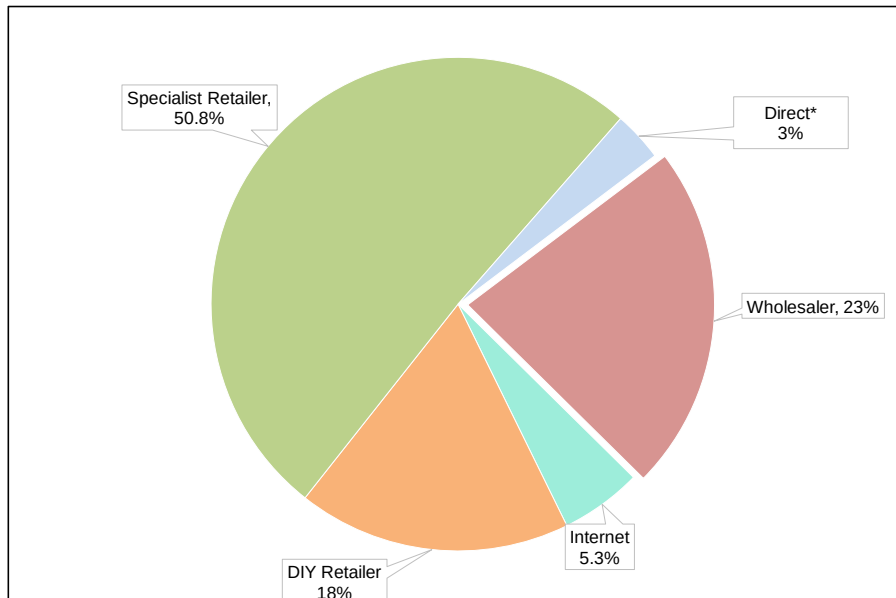
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.7%	5.3%	17.9%	50.8%	3.3%	31.0%	1.6%	66.7%	0.7%
100%					32.6%		67.4%	

4.6.4 Route to Market - Consolidated View : Shower Wall

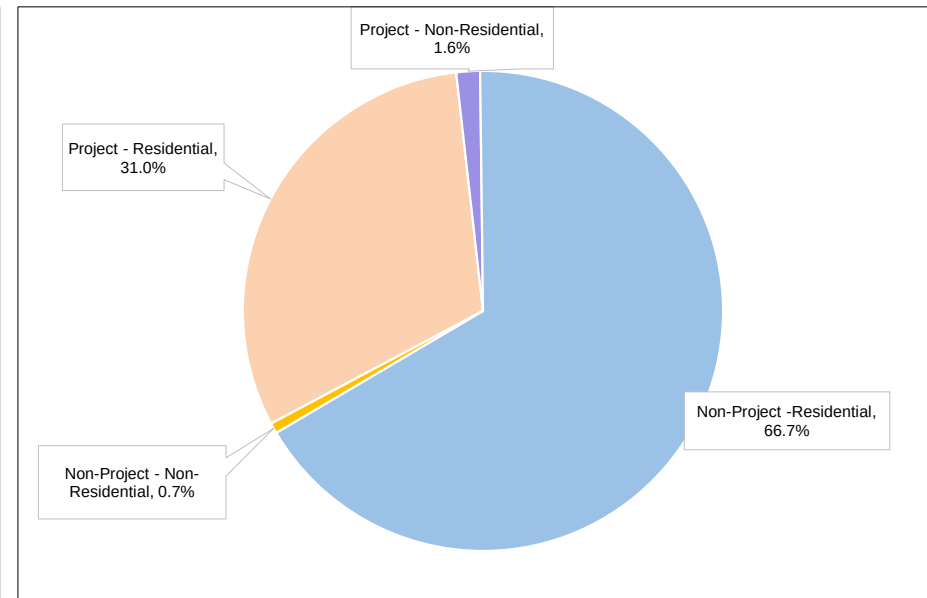
AT - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.3%	5.4%	18.6%	47.5%	5.2%	32.5%	3.0%	63.8%	0.7%
100%					35.5%		64.5%	

AT - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



AT - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



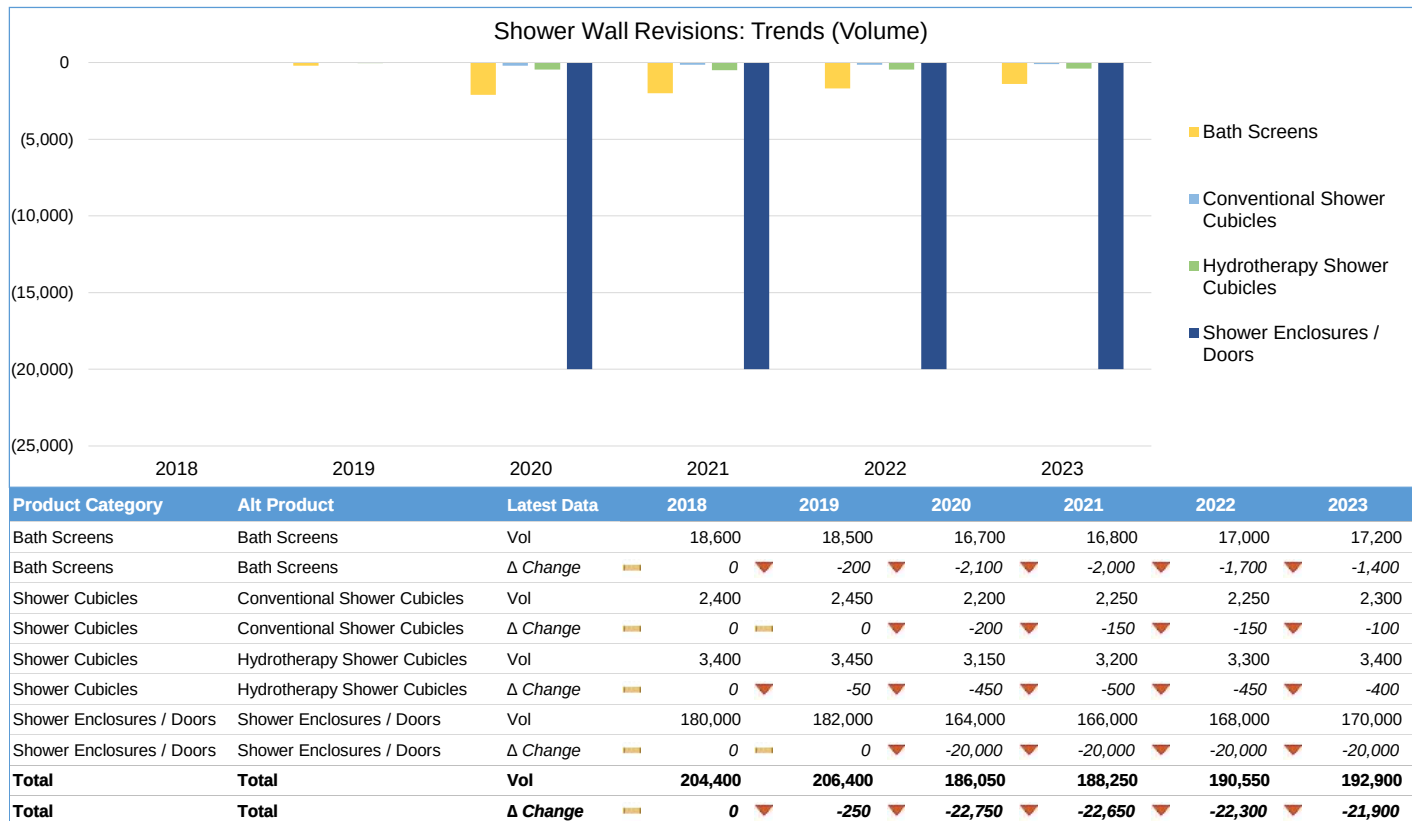
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Austrian Shower Wall Market (July 2020)

AT - REVISIONS IN THE AUSTRIAN SHOWER WALL MARKET

Data Comparison: July 2019



Only minor or no changes were made to the historical and base year trends for shower wall products.